CIO Insights 1Q26

The Long Game

Macro Positive

Fed's policies to end quantitative tightening and cut interest rates, alongside AI-related capex spending, will support US growth. Asia, including China, to resume growth momentum as tariff uncertainties ease.

Favour AI/Healthcare/Asia Equities, IG Bonds

Today's Big Tech is unlike the 2000-01 Tech, Media, and Telecom bubble. AI, healthcare, and Asian equities are compelling, while investment-grade bonds offer steady income.

Stay Invested, Stay Diversified

Position for the long game by remaining fully invested. A diversified portfolio of quality equities, bonds, and alternatives will outperform inflation, in light of longer life and health spans.

Anchor with Alternatives

Overweight gold amid robust bullion demand from central banks and institutional investors. Private equity and private credit remain favoured building blocks in any portfolio.

DBS

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Foreword

Dear valued clients,

As we step into 2026, one theme stands out with particular clarity: longevity. We are living longer, more active lives, and that reality reshapes how we work, support our families, and define legacy. Longevity is no longer just about lifespan; it is about sustaining purpose, well-being, and wealth over a much longer journey.

At DBS Bank, our commitment is to help you design for that longer arc. For decades, we have stood alongside families, entrepreneurs, and business owners as a trusted wealth partner. That trust is built over time, even as the tides of financial markets ebb and flow. We build resilience into every dimension of your wealth plan so that it endures beyond a single generation.

Longevity also demands sharper insight. As an institution with roots in Asia, we are deeply focused on being a thought leader that appreciates the nuances of what it means to stand in the midst of a dynamic region: understanding ageing populations, rising affluence, intergenerational transitions, and the emergence of new Asian champions. Our on-the-ground perspectives, combined with global research, aim to transform these trends into long-term opportunities for you and your family.

At the same time, longevity requires fresh thinking. DBS Bank is committed to being a thoughtful disruptor, challenging the status quo in how advice is delivered, how portfolios are built, and how technology is used to personalise and sustain your wealth experience over a lifetime.

I wish you enduring prosperity and longevity – in all that you cherish, both tangible and intangible.

Shee Tse Koon
Group Head, Consumer Banking & Wealth Management

Executive Summary

Dear valued clients,

Our flagship portfolio, built on the barbell strategy, delivered a strong net return of 19.4% YTD, as at 27 Nov 2025. Since its inception in Aug 2019, the portfolio has generated a total return of 67.7% (annualised return of 8.6%).

To reiterate, the barbell portfolio strategy strikes a balance by combining outsized exposure to growth equities on one end and income assets on the other.

In terms of growth, our conviction in I.D.E.A. (Innovators, Disruptors, Enablers, and Adapters) companies thriving in an increasingly AI-driven world paid off with 21.6% returns YTD. On income, our preference for short duration (1-3Y) Investment Grade bonds proved a reliable income generator, amid sticky inflation and a cautious Fed stance. Our longstanding position in gold as a risk-diversifying asset also recorded a robust 59.2% gain.

What is our outlook in 2026 and how should investors position themselves?

The buzz around an AI bubble is certainly growing louder, with many drawing parallels to the Technology, Media, and Telecommunications (TMT) bubble of 2000-01. While price corrections for AI-related stocks are not unexpected, given their remarkable rally in recent years, Big Tech fundamentals remain solid. Unlike the internet bubble era, future massive capex outlays are being funded by real earnings — not debt.

We also like healthcare as a sector. Being a laggard performer, healthcare offers the characteristics of a defensive innovation play.

We recommend for portfolios to stay invested and stay diversified. Continue to play the long game by investing in companies that exhibit strong balance sheets and pricing power.

In this edition of *CIO Insights*, we spotlight the theme of longevity and explore investment opportunities that ride on it.

I wish you continued success and prosperity in the year ahead!

Hou Wey Fook, CFA
Chief Investment Officer

An Era of Extremes

Asset Allocation 1Q26

Elements of an AI bubble are already in place amid rising valuation and concentration risks. However, unlike the dot-com bubble, today's macro and policy conditions are far better supported. Ride the waves through "adapters" that embrace AI to improve operational efficiency, while remaining least impacted by the capex-revenue conundrum. Given the rising risk of fiscal dominance, protect portfolio values against inflation via real assets.

Asset Class Views

Economic impulse in the US remains on an upswing, with macro momentum underpinned by AI capex spending, fiscal easing, and monetary accommodation. But mind the gap; persistent deficits and rising fiscal dominance risks will reignite inflation concerns and drive investors' demand for higher risk premiums. Protect portfolio values against inflation via exposure to real assets such as infrastructure, real estate, commodities, and precious metals. Meanwhile, the outperformance of high-beta stocks and HY credit is reaching an extreme, and we advocate that investors go for quality plays in equities and credit.

	Asset Class	- Views +	Commentary
Macro	US		Backed by tech investments, fiscal impetus, and impending Fed easing on a cooling job market, the US enters 2026 largely recession-proof. Still, underlying concerns on cyclical strength, central bank independence, and a strained fiscal outlook bear watching.
	Eurozone		Europe's economic growth should hinge on delayed fiscal spending and robust domestic demand, fuelled by stable inflation and low unemployment. However, downside risks may emerge from slowing fiscal consolidation, supply chain disruptions, and restrictive trade policies.
	Japan		New PM Takaichi's expansionary policies, designed to combat inflation and bolster strategic sectors, are set to boost domestic consumption and global investments. BOJ's gradual normalisation is likely to continue, yet her influence over monetary decisions could affect the pace. Monitor elevated yen volatility and steepening JGB yield curve.
	Asia		China to stay focused on quality-driven growth and push for tech autonomy and industrial resilience. India and ASEAN, bolstered by low inflation, central bank easing, fiscal support, and reduced trade uncertainty, are poised for sustained economic momentum.
Equities	US		With S&P 500 facing elevated valuation and high concentration risk, time to seek resilience via quality plays. While there is no full-blown AI bubble as yet, investors should ride the wave via "adapters" that embrace AI to improve operational efficiency. Maintain constructive outlook on US equities.
	Europe		Europe's cyclical leverage on improving global growth, reasonable valuations, and a strong earnings recovery should support their further gains. While structural hurdles and limited catalysts may temper near-term outperformance, selective sectors—energy transition, defence, and advanced industrial tech—offer compelling, policy-backed long-term opportunities.
	Japan		Earnings rebound awaits Japan equities, fuelled by the new PM's fiscal expansion, yen depreciation, and moderating US tariffs. Corporate reforms should remain a key pillar for re-rating and sustaining elevated valuations. Upgrade industrials to overweight as Japan accelerates defence and nuclear investments.
	Asia ex-Japan		Asia ex-Japan equities have rebounded strongly in 2025, led by North Asia's tech sector and a favourable macro backdrop. With earnings growth set to outpace global peers and valuations still attractive, the region offers compelling opportunities for investors seeking growth and resilience.
Credit	Investment Grade		IG credit remains attractive as a defensive allocation, benefitting from regained hedging properties, supportive fiscal and monetary policy, and a global shortage of safe assets. Tight spreads are justified by strong fundamentals and ongoing rate cuts are expected to sustain outperformance over cash. Stay in high-quality (A/BBB) credit and maintain a portfolio duration sweet spot of 5-7Y.
	High Yield		HY credit faces risk-reward imbalances, with spreads at historically tight levels and little compensation for additional risk. HY is priced to perfection, and risks underperformance in the event of uncertainty or mean reversion, making an up-in-quality stance more favourable.
Rates	Global		Global policy rates should approach neutral in 2026, though paths differ across central banks. The ECB is already near neutral, the Fed is set for limited insurance cuts, and the BOJ's slow normalisation continues.
	Asia		Asia maintains a mild easing bias supporting government bonds in 2026, but rate cuts are limited. Export risks linger amid tougher external investment. Rising DM rates and firm USD may heighten currency concerns, widening compressed LCY yield premiums vs G10.
Currencies	US Dollar Index		The anticipated decline in the USD has not materialised. The technical outlook now favours USD bulls, with key support levels holding, as the Fed appears to have been less dovish than expected. While there is potential for tactical USD upside in 1Q26, a long-term USD-negative view persists unless US economic exceptionalism strengthens.
	G7		No widening Eurozone–US growth gap suggests limited EUR–USD upside. GBP faces fiscal concerns and risks of a BOE rate cut. CHF carries downside risks due to reduced haven demand and yield differentials. JPY weakness persists, requiring a significant widening of Fed–BOJ divergence for any reversal. AUD remains resilient, supported by strong fundamentals.
	Asia		The SGD remains soft against its basket. RMB lacks upward momentum owing to yield differentials and constraints from the PBOC. HKD spot and rates are expected to stay range-bound.
Alternatives	Private Equity		Private equity's outlook is supported by expected rate cuts, which may ease financing costs, help exit activity recover, and lift valuation multiples. Opportunities appear more balanced in small to mid-market deals, given their lower leverage and greater focus on profit margin optimisation. Broader valuation discount against S&P 500 adds to private equity's appeal.
	Private Credit		Private credit yields remain supported by wide spreads, though recent defaults in adjacent syndicated markets have raised caution. Smaller deals show stronger credit metrics and fewer PIK toggles, yet PIK interest is climbing. Anticipated rate cuts may reduce interest burdens and default risk, helping to curb PIK interest, though impact hinges upon the pace of rate cuts.
	Hedge Funds		Hedge funds continue to offer diversification and alpha-generation, with macro and multi-strategy approaches best positioned for shifting volatility regimes. Macro funds can exploit global macroeconomic trends, while multi-strategy funds provide flexibility across asset classes.
	Gold		Gold's correction last October was a blip in its long-term uptrend; monetary debasement, uncertainty, and central bank reserve diversification continue to power its ascent. Physical gold offers investors a way to express the theme of scarcity in an environment of ample liquidity. 1H26 TP | 2H26 TP: USD4,500/oz. | USD5,100/oz.
	Commodities		A trade truce and rate cut tailwinds contribute to a more sanguine macro-outlook for commodities in 2026. However, the persistence of tariffs underscores our preference to remain selective. Industrial metals, in particular copper and rare earth elements, look well positioned given their structural importance.

Market Data

Equities

	2025 EPS Growth (% y/y)	2026 EPS Growth (% y/y)	Forward P/E	P/Book (x)	P/Sales (x)	ROE (%)
Global	10.4	12.7	21.6	3.5	2.6	15.1
Developed Markets	9.6	12.0	22.7	3.8	2.8	15.6
Emerging Markets	10.6	17.2	15.6	2.1	1.8	13.2
US	14.3	13.5	25.8	5.4	3.5	19.1
Europe	-0.6	9.8	16.4	2.3	1.7	12.9
Japan	5.1	7.5	18.1	1.8	1.4	9.4
UK	0.1	8.8	14.4	2.2	1.6	13.6
Asia ex-Japan	10.4	17.8	16.8	2.0	1.9	12.2
Latin America	15.9	5.8	11.2	1.7	1.4	15.7
EMEA	9.8	17.0	12.4	1.8	2.2	15.1
China	1.8	13.6	14.0	1.6	1.5	11.1
India	16.0	8.4	25.8	3.7	2.7	15.2

Source: Bloomberg, DBS (as at 28 Nov 2025)

Fixed Income

	Yields (%)	Average Rating	Average Time to Maturity (Years)	Average Coupon (%)	Market Valuation (USDbn)
10Y UST	4.0	-	-	-	-
2Y UST	3.5	-	-	-	-
US IG	4.8	A3/Baa1	10.5	4.5	7,406
Europe IG	3.1	A3/Baa1	5.2	2.8	2,940
Asia IG	4.4	A2/A3	7.3	4.2	599
US HY	6.6	Ba3/B1	4.8	6.6	1,469
Europe HY	5.8	Ba3/B1	4.2	5.3	396
Asia HY	7.7	Ba3/B1	3.9	6.0	80
EM USD	5.8	Baa2/Baa3	9.8	5.2	2,296
Asia USD	4.8	A3/Baa1	7.7	4.5	559
Global AT1s	5.5	Baa3/Ba1	4.8	6.1	360

Source: Bloomberg, DBS (as at 28 Nov 2025)

Forecast: Interest Rates

		1Q26	2Q26	3Q26	4Q26	1Q27
US	2Y	3.60	3.55	3.45	3.45	3.45
	10Y	4.00	3.90	3.90	4.05	4.20
Japan	2Y	0.95	1.00	1.05	1.10	1.20
	10Y	1.70	1.80	1.90	2.00	2.00
Eurozone	2Y	1.95	2.00	2.10	2.20	2.25
	10Y	2.70	2.70	2.80	2.90	3.00
China	2Y	1.30	1.25	1.20	1.15	1.15
	10Y	1.70	1.65	1.60	1.60	1.60
India	2Y	5.70	5.60	5.60	5.60	5.60
	10Y	6.40	6.30	6.30	6.30	6.30

Source: Bloomberg, DBS (as at 28 Nov 2025)

Forecast: Currencies

Exchange rates / eop	1Q26F	2Q26F	3Q26F	4Q26F	1Q27F
USD/CNY	7.06	7.02	7.00	7.02	7.04
USD/SGD	1.27	1.26	1.24	1.25	1.25
AUD/USD	0.67	0.68	0.69	0.69	0.68
USD/CAD	1.38	1.36	1.35	1.35	1.36
EUR/USD	1.18	1.20	1.21	1.20	1.20
USD/JPY	149	145	141	142	142
NZD/USD	0.59	0.60	0.61	0.61	0.60
USD/CHF	0.79	0.79	0.78	0.79	0.79
GBP/USD	1.34	1.36	1.37	1.37	1.37
DXY Index	97.1	95.6	94.0	94.8	95.5

Source: Bloomberg, DBS (as at 26 Nov 2025)

Forecast: Oil

(USD per barrel)	4Q25F	1Q26F	2Q26F	3Q26F	4Q26F
Brent Crude Oil	64.5	61.0	64.5	65.0	64.0
WTI Crude Oil	61.5	58.0	61.5	62.0	61.0

Source: Bloomberg, DBS (as at 7 Nov 2025)

Forecast: GDP, Inflation, and Policy Interest Rates

	GDP growth, % y/y		CPI inflation, % y/y, ave			Policy interest rates, eop				
	2026F	2027F	2026F	2027F		1Q26F	2Q26F	3Q26F	4Q26F	1Q27F
China	4.5	4.0	0.5	0.8	China**	2.80	2.65	2.65	2.65	2.65
India	6.3	6.2	3.5	4.5	India	5.25	5.25	5.25	5.25	5.25
India (FY basis)	6.5	6.5	4.0	4.3	Eurozone^	2.00	2.00	2.00	2.00	2.00
Eurozone	1.0	1.0	2.0	2.0	Japan	0.75	0.75	0.75	1.00	1.00
Japan	0.5	0.5	1.8	1.8	US	3.50	3.50	3.50	3.50	3.50
US*	1.5	1.7	2.8	2.5						

Source: CEIC, Bloomberg, DBS (as at 28 Nov 2025)

*eop for CPI inflation

** 1Y Loan Prime Rate; ^ Deposit Facility Rate

Asset Allocation

Hou Wey Fook, CFA
Chief Investment Officer

Dylan Cheang
Strategist

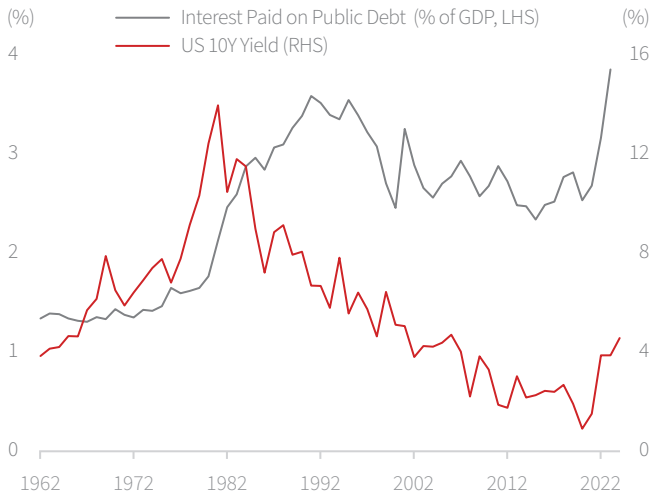
A troubled world. Trump 2.0 has fundamentally reshaped the world. From the breakdown of the Transatlantic alliance to an unprecedented global tariff war, Trump has achieved all of this in a short span of time. The embrace of an America-first agenda means economic decoupling from the world, which irrevocably damages the post-WWII global consensus on free trade and international cooperation. In an attempt to disunite Russia and China, Trump executed a "reverse Kissinger" by trying to align with Russia on countering China's rise – a move that unsettled traditional NATO allies and cast doubt on the commitment of the US' security guarantees in Europe.

And yet, these geopolitical shifts are unfolding against a backdrop of spiralling US debt and unsustainable fiscal largesse. Trump's One Big Beautiful Bill Act, which entailed unrestrained government spending and tax cuts, has all but confirmed the end of fiscal conservatism as the pursuit for short-term political advantage becomes the order of the day. Today, US debt-to-GDP stands at 100%, and based on projections by the Congressional Budget Office, it is expected to reach 107% by 2029 – exceeding the post-WWII peak of 106%. Rising debt levels mean rising interest payments, and at the current level of 17% (for fiscal year 2025), this amount already exceeds US defence spending.

Fiscal dominance and higher-for-longer inflation. Persistent deficits and spiralling debt mean the US government requires low interest rates to sustain its operations, bringing us to the inconvenient truth of rising fiscal dominance risk in the country. Previously a phenomenon more closely associated with emerging economies, fiscal dominance has now become a threat in the developed world. Trump's frequent attempts to bend monetary policy to his will are clear signs that US fiscal needs will increasingly dominate monetary policy in the coming years. But the gradual erosion of Fed independence – perceived or real – will reignite inflation concerns and compel investors to demand higher risk premiums, a situation already evident in widening spreads between short- and long-term bonds.

In the new normal, portfolio constructors will have to brace for higher inflation as the Fed conducts monetary easing in a non-recessionary environment. Rising price pressures in services and housing are canaries in the coal mine for what lies ahead. It is important to note that the key driver of inflation is not so much tariffs or supply constraints; rather, it stems predominantly from the absence of an overarching fiscal framework to control the upward trajectory of public debt. Monetary policy alone is insufficient to contain inflation without fiscal consolidation. While the Fed controls the short end of the curve, long-term yields are determined by macroeconomic factors and inflation expectations. Unrestrained fiscal and monetary easing will only drive prices higher, with profound implications for risk assets and portfolio construction.

Rising rates translate to rising debt servicing cost



Source: International Monetary Fund, Bloomberg, DBS

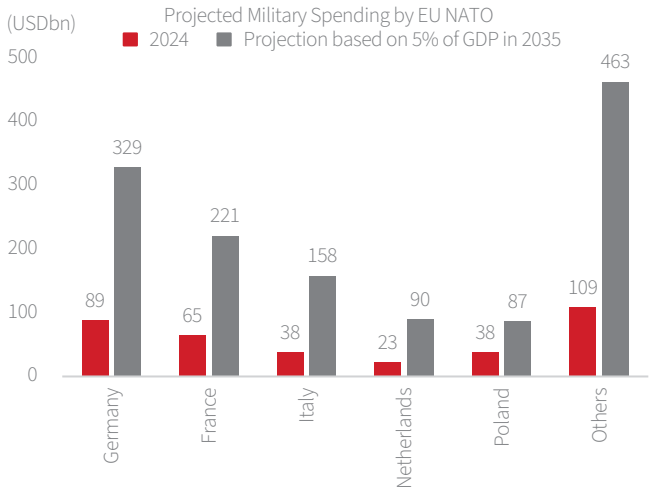
Deglobalisation vs capex super-cycle. Trump's America-first agenda has ignited a global tariff war as the administration aims to bring manufacturing jobs home. Data from The Budget Lab at Yale shows the average effective tariff rate currently standing at 17.9% – the highest since 1934 – a situation that will have negative bearings on domestic consumption and corporate profitability. Prior to the current fiasco, it is important to note that deglobalisation began way before Brexit and the MAGA movement. Using imports as a percentage of GDP as a proxy, globalisation peaked in 2007 before declining in the aftermath of the Global Financial Crisis.

The negative impact of deglobalisation is two-fold. First, it results in lower trade flows as companies localise their supply chains. Second, it translates into higher production costs for companies, as manufacturing identical goods would be cheaper in other locations. Estimates by the World Trade Organization show that global trade volume will grow by just 1% per annum by 2030, compared to the 3% average growth seen in the prior two decades.

Despite tariff headwinds, we expect macro momentum to remain resilient, as weakness on the trade and consumption front will be offset by a new capex super-cycle powered by AI and defence spending. In AI, the anticipation of high returns from the technology must be accompanied by a significant ramp-up in data centre construction and energy supply. This explains why hyperscalers are aggressively increasing their data centre capacity, with combined capex expected to hit USD1.4tn between 2025 and 2027.

In the case of defence, the breakdown of the Transatlantic alliance has triggered a strategic rethink among NATO members regarding defence spending in the face of rising Russian aggression. Europe has since embarked on a multi-year rearmament programme, with NATO's defence spending increasing from 2 to 5% of GDP, while the EU has also set up a EUR800bn "ReArm Europe" initiative.

Military spending in Europe is on the rise



Source: SIPRI, DBS

Are we in a bubble?

We were very early in the game for the artificial intelligence (AI) theme, having published *"CIO Vantage Point: Into the AI Frontier"* back in Jun 2023.

Since then, the Bloomberg Artificial Intelligence Index has undergone a sharp rally as AI usage has seen wide adoption, particularly in the consumer space, where the number of daily users is expected to reach 378mn by 2025. Essentially, the rapid growth of AI is underpinned by two key factors: (1) the race to reach Artificial General Intelligence, and (2) the need to generate returns to justify capex spending. In a winner-takes-all technological race, the huge promises of AI have seen Big Tech pouring billions into the buildout of data centres. Amazon, Meta, Alphabet, and Microsoft, for instance, will be spending c.USD336bn on capex this year, the bulk of which is earmarked for AI infrastructure.

But the massive infrastructure build up, coupled with soaring valuations, will inevitably lead us to the following questions:

- Are we in an AI bubble?
- Is the AI capex boom overly excessive?

AI bubble – Demystified. In all innovation cycles, bubbles are created when the frenzied surge in share prices (which we are currently seeing) pushes valuations to a point where future cashflows can no longer justify them. A bubble signifies exuberance and a disconnect between prevailing market prices and fundamental underlying value. Looking back at history, several innovation-driven bubbles have occurred since the 1600s:

- Canal mania (1790s–1810s): Canals revolutionised transportation during the British Industrial Revolution as they offered a more reliable way to transport goods. The success of early canal projects sparked an investment mania, which ended once financing dried up during Britain's war with France.

- Railway mania (1840s): Post-canal mania, railways sparked the next wave of transport revolution, garnering strong investment demand as interest rates fell. However, railway share prices eventually collapsed when interest rates rose in 1845.

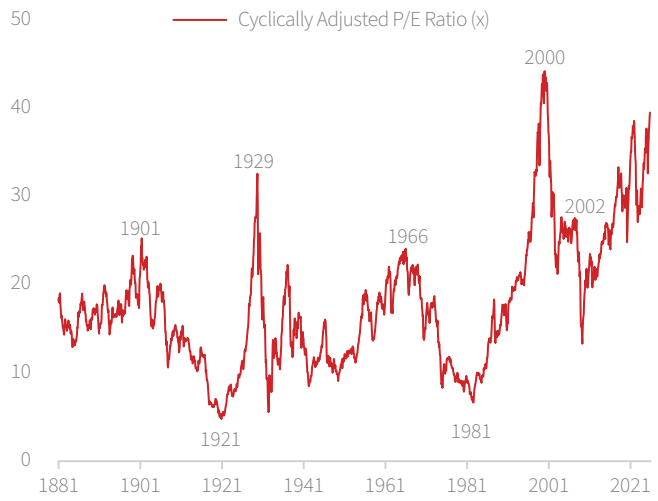
- Dot-com bubble (1995–2000): The arrival of the Internet in the 1990s sparked an investment frenzy as investors poured funds into companies with little to no profits. The rally eventually came crashing down in Mar 2000, with most dot-com companies falling into bankruptcy.

To assess whether we are currently in bubble territory, we look at three key factors: (1) valuation, (2) liquidity, (3) concentration, and compare the current situation with the dot-com era.

1. Valuation: In our analysis, we use the S&P 500 Shiller P/E ratio to provide a longer historical context. The S&P 500 serves as an "AI proxy" given that the bulk of the index is driven by the Magnificent Seven. At 39.5x P/E, valuation has exceeded the peak of 32.6x P/E seen right before the Wall Street crash of 1929. However, it remains 11% lower than the peak of 44.2x P/E registered during the dot-com bubble.

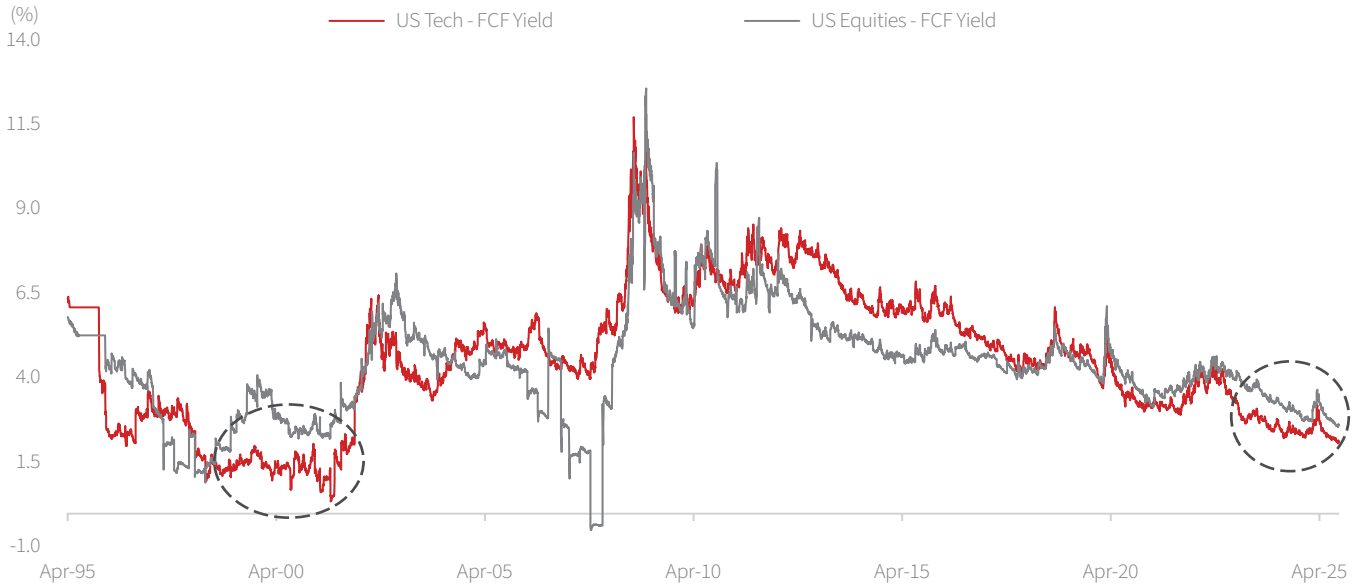
   It is often said that tech companies generate strong free cash flow (FCF) and hence the valuation premium is justifiable. Using US Tech as proxy, this assumption is indeed true on a standalone basis, as FCF has increased by c.140% since 2015. However, this robust growth has been substantially priced in by the market, as share prices surged c.660% over the same period. This contributes to the downtrend in FCF yield, which at the current level of c.2.05%, is broadly similar to the dot-com era.

Valuation for the S&P 500 looks rich on a cyclically adjusted P/E basis



Source: Shillerdata.com, DBS

The current low level of free cashflow yield is broadly in-line with the dot-com era



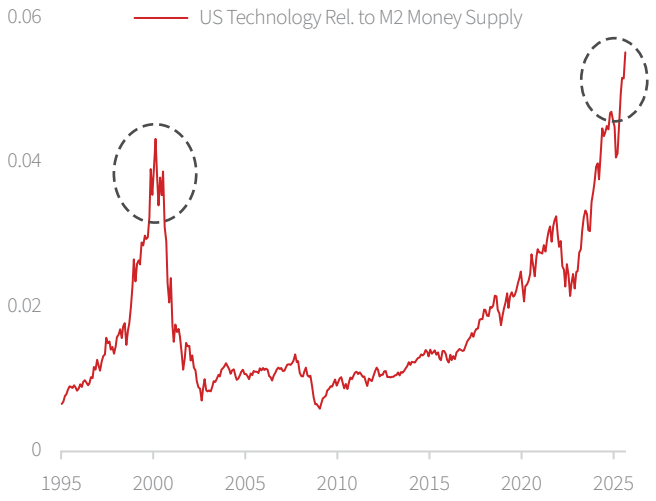
Source: Bloomberg, DBS

2. Liquidity: Taking our analysis one step further, we examine the ratio of US tech relative to money supply (M2). Historically, an increase in money supply leads to higher asset prices as liquidity seeks a home. When money supply grows at a faster rate than economic fundamentals, valuations tend to be driven up (as is currently the case). Per the chart, the S&P 500 as a ratio to money supply has far exceeded the dot-com bubble era.

3. Concentration: In equities, a market faces concentration risk when only a few stocks account for a large proportion of the index weight. During the peak of the "Internet era", the top 10 largest US companies (including Microsoft, Intel, and IBM) constituted c.23% share of the index. The story today in the "AI era" is vastly different.

The top 10 US companies (including the likes of Nvidia, Microsoft, and Apple) account for c.41% of the index as of Nov 2025 – almost twice the level seen in the previous cycle. Over-concentration risk brings fragility to the rally, as the index becomes susceptible to sharp corrections should mega-cap companies fail to deliver on earnings and fall short of investors' expectations.

US Tech as a ratio to prevailing money supply has surpassed the dot-com era



Source: Bloomberg, DBS

Prevailing valuation, liquidity, and concentration data suggest that the key ingredients for a "bubble-like" environment are already in place. But not all bubbles are created equal. Some can stay inflated in the absence of external triggers (macroeconomic or otherwise) or if the bubble is anchored by companies with sound business models, which is currently the case. Using these parameters, we compare the dot-com era with the current situation:

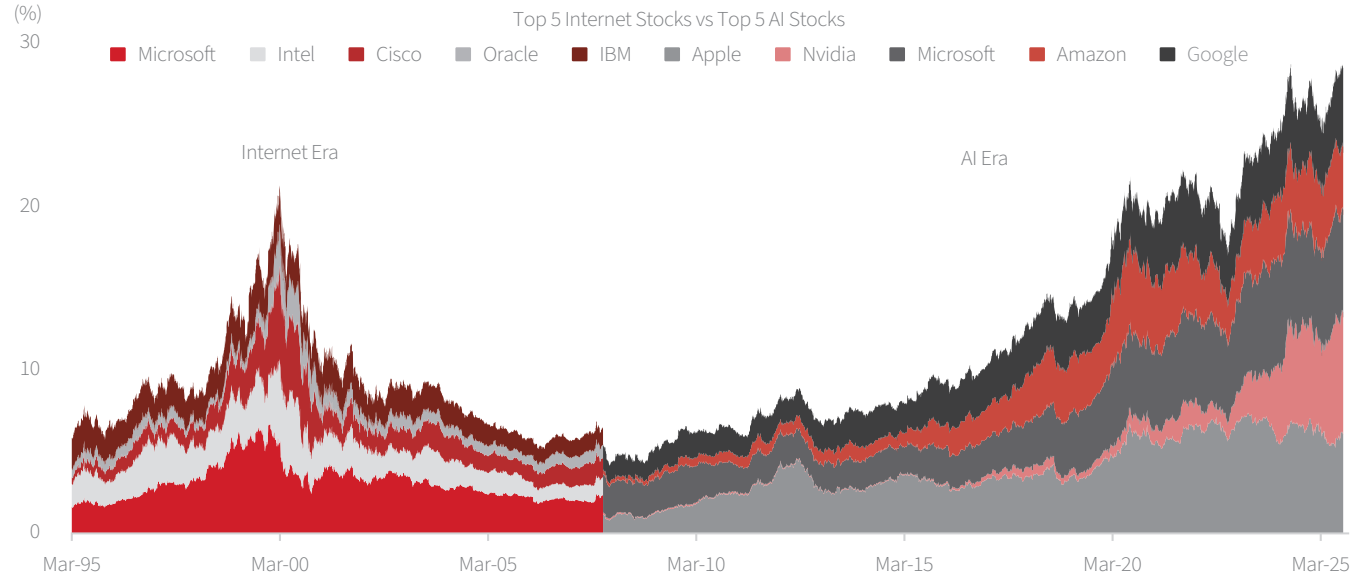
Dot-com bubble: Back in the year 2000, the bursting of the dot-com bubble was triggered by a series of events:

1. The Fed unleashed a series of rate hikes during 1999–2000, bringing the policy rate to 6.5%.
2. An economic recession in Japan triggered a flight to safety.
3. Dot-com companies traded at steep valuations with flawed business models and minimal revenue (or were loss-making).

Current situation: Compared to the dot-com era, the situation today shares some similarities but also key differences:

1. The Fed is embarking on an easing cycle as the US jobs situation deteriorates.
2. The plausibility of a global economic recession remains low at this juncture (though the outlook could evolve if the tariff situation worsens).
3. Key AI players are Big Tech companies with strong cash flow generation and robust balance sheets.

Huge concentration risk in US with top 5 AI stocks accounting for 28% of the S&P 500



Source: Bloomberg, DBS

AI capex boom – Demystified. The numbers are staggering: (1) Amazon, Alphabet, Oracle, Microsoft, and Meta have announced a combined capex of c.USD805bn on data centres for this year and the next, and (2) the BofA Global Research predicts total capex on data centres could hit close to USD1tn by 2030.

Yet, despite these astronomical numbers, the outlook for AI-related revenue remains modest. OpenAI, for instance, announced an annual recurring revenue of USD10bn, which is nowhere near the scale of capex spending. As companies continue to invest heavily in AI, obvious questions arise: Is this AI capex boom excessive? When will capex translate to shareholders' returns?

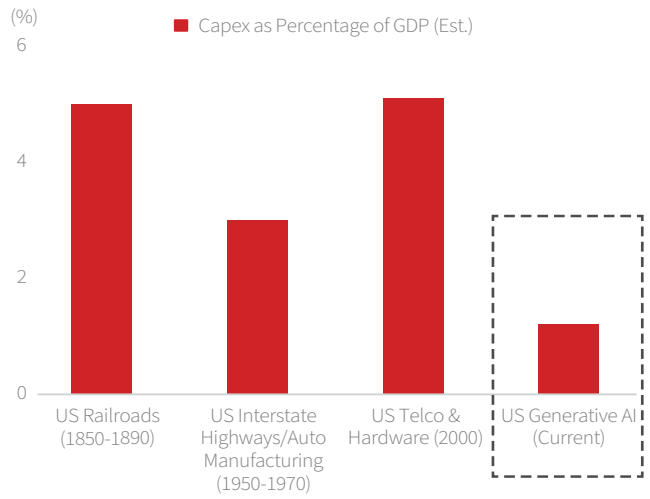
As Big Tech announces their capex plans for 2026, the recent divergence in share price performance between Meta and Microsoft suggests rising scepticism about capex spending. To analyse this from a macro perspective, we look at capex spending as a percentage of GDP for some of the major bubbles over the past two centuries. The findings are:

- Capex as % of GDP: Despite the huge numbers announced, AI capex today as a percentage of GDP is estimated at only c.1.2%. Historically, this pales in comparison with the US railroad bubble (1850s–1890s) at c.5.0%, the auto infrastructure bubble (1950s–1970s) at c.3.0%, and more recently, the tech bubble (2000) at c.5.1%.

- Productivity gains: Unlike the tech bubble, the current AI capex cycle is contributing to earnings growth and productivity gains. Indeed, Big Tech has announced historical job cuts as they embrace AI and streamline operations. Since the launch of ChatGPT in Nov 2022, total job openings in the US have plunged c.33.7%. According to a Wharton study, the adoption of AI tools translates to labour cost savings of c.25% on average, growing to 40% in the coming decades.

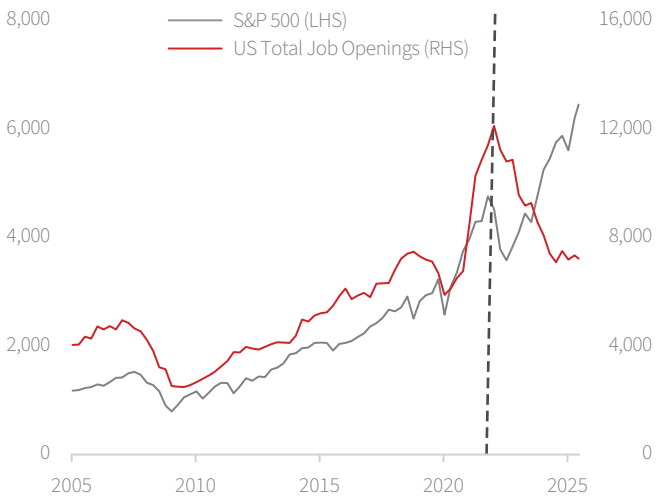
No full-blown bubble yet; but no room for complacency. To conclude, as the table on the next page shows, some key elements of an AI bubble are already in place—particularly, rising valuations and concentration risks. However, unlike the previous tech bubble, today's macro and policy conditions are far better supported. The economic outlook remains sanguine, and the Fed is on an easing cycle. Above all, despite the huge spending announced, Big Tech's capex plans are manageable relative to GDP.

Gen-AI capex as a percentage of GDP is relatively low compared to previous bubbles



Source: Robert Fogel, Robert Gordon, Mark Doms, Federal Reserve Bank of San Francisco, Compustat, Fabricated Knowledge, Bloomberg, DBS

The release of ChatGPT translated to a decline in job openings



Source: Bloomberg, DBS

That said, there is also no room for complacency. The prevalence of "circular financing" is worrisome and warrants close monitoring. The recent spate of interconnected deals is raising eyebrows as they create an illusion of robust growth. Yet, the complexity surrounding these deals makes it difficult to fully assess real demand. Similarities between the current situation and "vendor financing" arrangements of the late 1990s are striking. This is an area to watch closely.

Key views summarised here:

Items	Dot-com bubble	AI bubble
High valuation risk	Yes	Yes
High liquidity risk	Yes	Yes
High concentration risk	Yes	Yes
Fed policy headwinds	Yes	No
Major economic headwinds	Yes	No
Unsustainable business models	Yes	No
Excessive capex as % to GDP	Yes	No
Circular/vendor financing	Yes	Yes

Portfolio Strategies for 2026

These are not normal times. While macro conditions and geopolitical uncertainties have improved, investors are confronted with steep valuations across all asset classes, from equities to corporate bonds and gold. Yet, as central banks turn on the liquidity tap again, inflation is poised to trend higher, making "staying in cash" an unviable option. Henceforth, navigating financial markets in 2026 will require skilful portfolio construction. Here are our key calls:

- Ride AI wave via "adapters": The AI train is not going to end anytime soon, as investments continue to pour into this space. However, while riding the upside, one should remain cognisant of prevailing headwinds – namely heightened valuations and circular financing risks. Our preferred AI strategy is to gain exposure to "adapters" that embrace AI to improve operational efficiency while being least impacted by the capex-revenue conundrum. The plunge in job openings since the launch of ChatGPT is a clear sign that companies are leveraging AI to reduce workforces and streamline operations.

- Manage "sticky" inflation via real assets: As the Fed cuts rates in a non-recessionary environment, inflation is poised to grind higher. To protect portfolio values against inflation, investors are advised to gain exposure to real assets like infrastructure, real estate, commodities, and precious metals. Historically, real assets typically outperform in inflationary environments. Using silver as a proxy for real assets, the relative performance between silver and the S&P 500 (a proxy for financial assets) suggests that investor positioning has reached an extreme, presenting opportunities for those looking to diversify portfolios.

- Seek value plays via Asia ex-Japan equities: In the current "everything rally" environment, risk assets are priced for perfection, making it paramount to search for value in portfolio construction. In equities, we continue to favour Asia ex-Japan as the region trades at a c.32.4% discount to developed markets (DM), despite having stronger growth momentum. Based on consensus forecasts, Asia ex-Japan earnings are poised to grow at c.18.9% in 2026 (vs c.11.8% for DM equities). We see room for further rally in China equities as policy stimulus, AI-related capex resurgence, and the "anti-involution" campaign underpin potential profit reflation in the market.

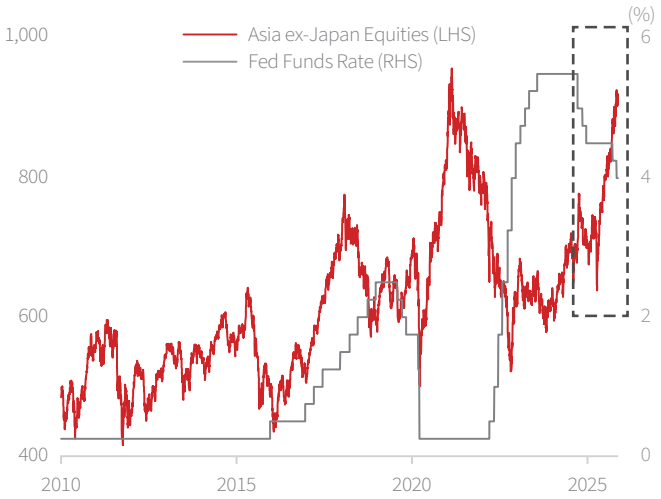
- Go for quality plays in both equities and credit: Post "Liberation Day", the S&P 500 High Beta Index (which consists of stocks most sensitive to market movements) has vastly outperformed the S&P 500 Quality Index as investors rushed to gain exposure to the AI/Tech theme through high-beta speculative plays. Additionally, the increase in fund flows into leveraged ETFs has forced issuers to take enlarged positions in underlying securities. The outperformance of high beta stocks is now reaching an extreme and a reversal is on the cards. We reiterate our preference for quality equities, particularly if volatility spikes in the coming quarters.

  In a similar vein, we advocate for investors to stay in quality investment-grade (IG) bonds rather than gaining exposure to high-yield (HY) credit. Given prevailing tightness in spreads, HY credit outperformance is clearly reaching its limits, and any potential tightening of liquidity would pose substantial headwinds to the segment.

Underperformance of real assets relative to financial assets has reached an extreme

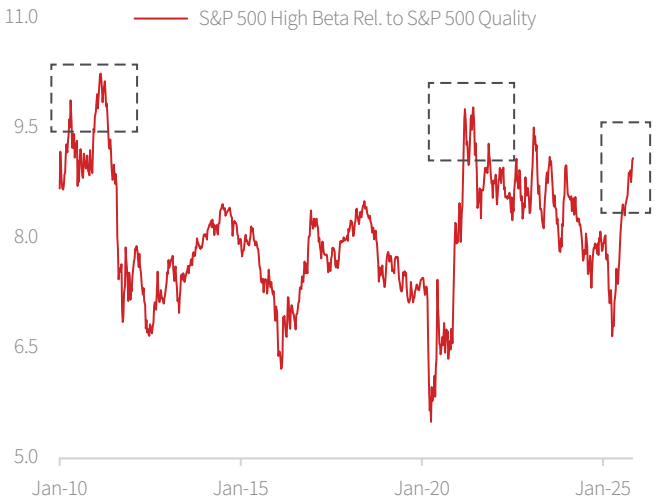
Source: Bloomberg, DBS

Fed easing is positive for the outlook of Asia ex-Japan equities



Source: Bloomberg, DBS

Outperformance of high-beta stocks over quality plays has reached an extreme



Source: Bloomberg, DBS

1Q26 Asset Allocation – Go for Quality

1Q26 CIO Asset Allocation (CIO AA)

Categories	Indicators	Score Range	Equities				Bonds		
			US	Europe	Japan	AxJ	DM Govt.	DM Corp.	EM
Fundamentals	PMI	-1 to +1	0	0	0	0	0	0	0
	Economic Surprise	-1 to +1	0	0	0	1	0	0	0
	Inflation	-1 to +1	-1	0	0	0	-1	-1	0
	Monetary Policies	-1 to +1	1	0	0	0	1	0	0
	Forecasted EPS Growth	-2 to +2	1	1	1	1	-	1	1
	Earnings Surprise	-2 to +2	2	1	1	1	-	1	1
Valuation	Forward P/E	-2 to +2	0	0	0	0	-	-	-
	P/B vs ROE	-2 to +2	1	0	0	0	-	-	-
	Earnings Yield - 10Y Yield	-2 to +2	-1	-1	-1	0	1	1	-1
	Free Cashflow Yield	-2 to +2	-1	0	1	0	-	-	-
	Credit Spread	-2 to +2	-	-	-	-	-	-1	-1
Momentum	Fund Flows	-2 to +2	1	1	0	1	1	2	2
	Volatility	-1 to +1	0	0	0	0	0	-	-
	Catalysts	-2 to +2	0	0	0	0	0	0	0
Raw Score			3	2	2	4	2	3	2
Adjusted Score*			0.14	0.10	0.10	0.19	0.18	0.19	0.13

*Note: The "Adjusted Score" is calculated using the "Raw Score" divided by the maximum attainable score for each category.

Source: DBS

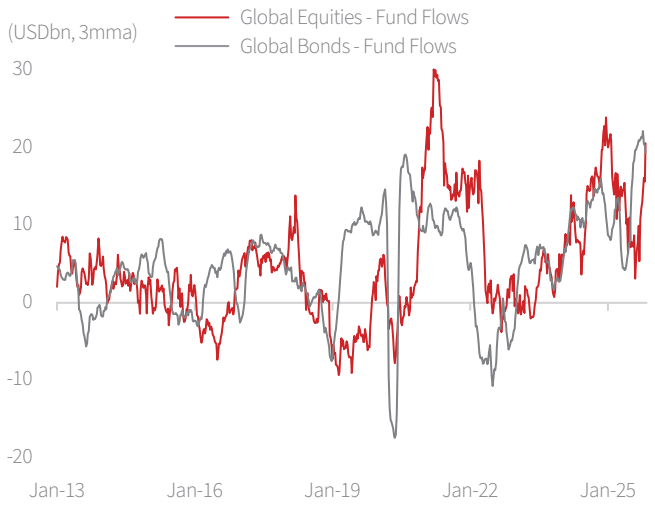
Cross Assets – Bonds remain in play. The latest scoring on our CIO AA framework indicates a preference for bonds over equities.

Fundamentals: Economic impulse in the US remains on the upswing with the Atlanta Fed GDPNow Indicator forecasting GDP growth of 4.0%, while surveys and professional forecasts compiled by Bloomberg suggest only a 30% chance of a US recession. This sanguine outlook aligns with our house view as we remain firmly in the no-recession camp, with US macro momentum underpinned by: (1) AI and energy-related investments, (2) strong fiscal stimulus in the form of tax cuts, and (3) monetary accommodation as the Fed embarks on an easing cycle. On corporate earnings, consensus expects global earnings growth of c.13% in 2026, with stronger momentum anticipated in Asia ex-Japan.

Valuation: On a cross-assets basis, we maintain our preference for bonds over equities as bond yields (using the UST 10Y yield as a proxy) remain substantially above the US earnings yield.

Momentum: Fund inflows into both global equities and bonds remained robust at USD105bn and USD86bn, respectively, during 4Q25 (as of 29 Oct). Compared to 9M25, equity momentum is marginally stronger this quarter as investors pile into the AI theme. Within equities, the US equities accounted for the bulk of inflows, given the dominance of tech exposure in the market. In fixed income, flows into DM government bonds have fallen substantially in 4Q25 as investors focused their attention on the corporate space.

Fund inflows to bonds supersede equities

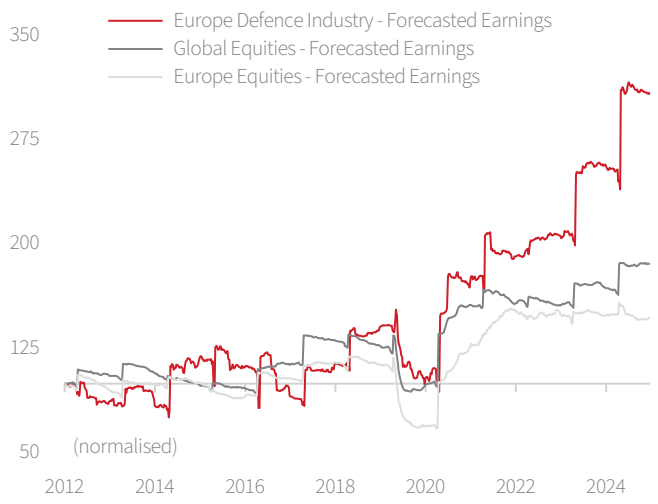


Source: EPFR Global, DBS

Equities: Adopting a more targeted approach in equity allocation. Global equity valuations have expanded considerably since the trough of the "Liberation Day" sell-down. Consequently, our equity allocation strategy for 2026 requires a more nuanced approach. At this stage of the market cycle, we advise investors to focus on: (1) markets trading at steep valuation discount to global equities, and (2) sectors underpinned by secular growth drivers. Based on these criteria, our preferred picks are:

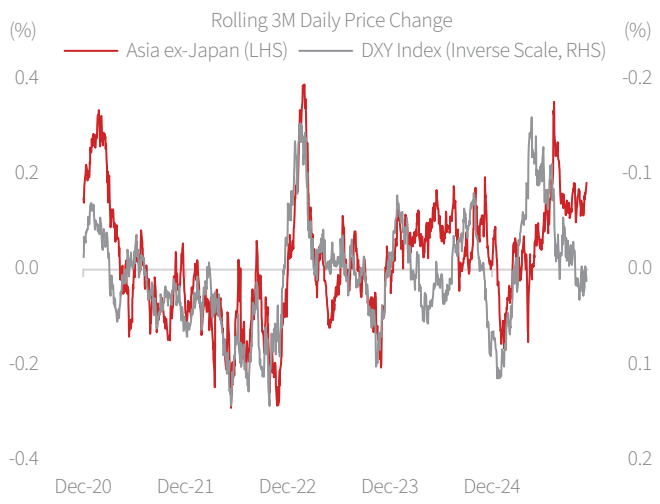
- Favour Asia ex-Japan equities amid dollar weakness and valuation discount: We expect dollar weakness to persist in 2026, with the DXY index reaching c.94.8 by 4Q26. Historically, dollar weakness tends to translate to stronger Asian equity performance given: (1) increased capital inflows, (2) lower interest expense for USD-denominated debt, and (3) higher commodity prices. Currently, Asia ex-Japan trades at a c.32.4% discount to developed markets, while its earnings growth outlook for 2026 is expected to be stronger at c.18.9%. We see further upside for China equities, propelled by the resurgence of AI-related capex and a stronger earnings outlook as result of the "anti-involution" campaign.
- Favour European defence industry amid NATO rearmament pledge: European defence stocks have undergone substantial re-rating as Europe embarks on a multi-year rearmament programme to counter rising geopolitical uncertainties in the region. Russia's invasion of Ukraine poses the biggest security threat to Europe since the Cold War. This, coupled with Trump's America-first policy, has compelled NATO to increase its defence spending to 5% of GDP by 2035 (a 13% CAGR during 2024–2035). Such initiatives present significant tailwinds for the European defence industry which is poised to deliver 24% earnings growth in 2026 (vs 10% for the broader European market).
- Favour AI "adapters" for productivity gains: The huge capex outlays from AI plays will continue to dominate sentiments as investors assess monetisation potential of these investments. A better risk-adjusted way to ride the AI wave is via exposure to "adapters" that embrace AI to drive efficiency gains and higher profitability. On this basis, we believe large-cap companies are better positioned to scale this technology as opposed to smaller caps, which will translate to widening AI-related productivity divergence between large and small firms over time.

Structural tailwinds for the European defence industry



Source: Bloomberg, DBS

Dollar weakness to buoy Asian equities

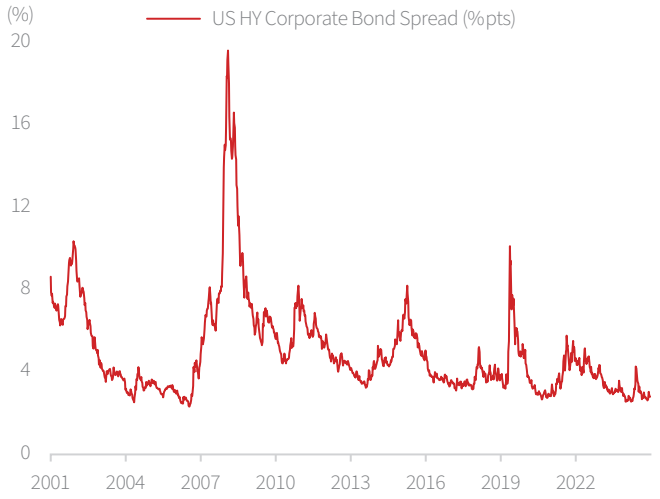


Source: Bloomberg, DBS

<u>Bonds</u>: Spread products to perform well despite rich valuation; maintain preference for IG over HY. While credit spreads are currently near historical tights, we do not foresee a substantial spread widening in 2026 as corporate balance sheets remain healthy. The likelihood of a recession next year is low, with macro momentum underpinned by strong fiscal easing, significant AI-related capex spending, and Fed accommodation. According to Bloomberg's recession probability forecast, the likelihood of a US recession over the next year stands at 30%, down from the peak of 65% in 2023. Historically, barring sudden growth shocks, tight spreads tend to remain tight and we expect 2026 to be no different.

On a relative basis, we see pronounced risk-reward imbalances for HY credit amid slowing growth momentum and tight spreads, which increases the potential for underperformance. Based on historical regression, our credit strategy team sees zero excess returns for HY credit on a 1Y basis if crisis-era distortions are excluded. Therefore, we maintain our preference for quality A/BBB credit in the 5-7Y bucket. Beyond corporate bonds, we also advocate exposure to government bonds like Treasury Inflation-Protected Securities (TIPS) and Mortgage-backed Securities (MBS) for alpha generation.

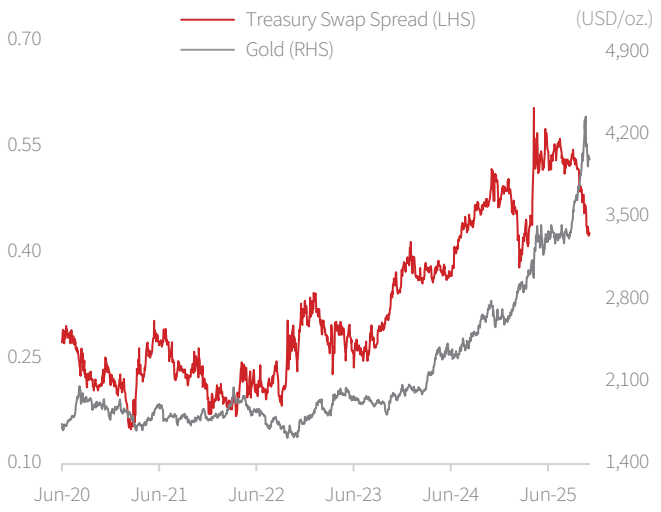
HY credit: Unattractive risk-reward



Source: Bloomberg, DBS

Alternatives: Looming "fiscal dominance" to underpin gold trajectory; private debt downgraded to neutral. The recent pullback in gold prices has prompted investors to question the sustainability of the rally. This is unsurprising as the precious metal has rallied sharply this year and vastly outperformed global equities. From a fundamental standpoint, we believe the catalysts that propelled gold to new highs this year will remain in play in 2026, namely: (1) US fiscal and debt sustainability concerns, (2) geopolitical and policy uncertainties, and (3) dollar debasement fears. We expect a combination of central bank demand and strong ETF flows to sustain gold prices in the year ahead.

Gold trending higher amid US fiscal concerns



Source: Bloomberg, DBS
*Calculated as the difference between the US 10Y Treasury yield and US 10Y SOFR OIS fixed rate

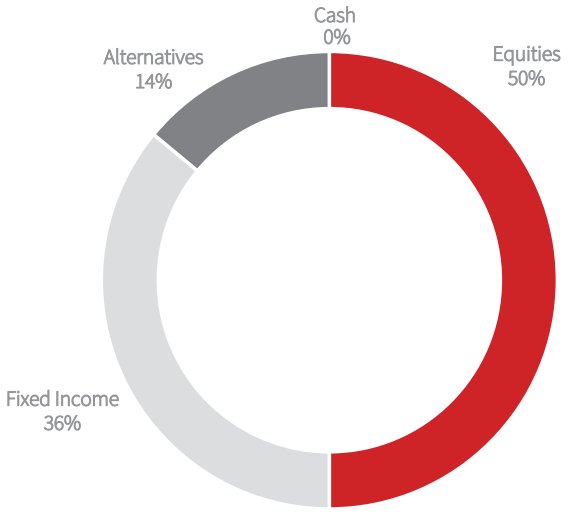
On private assets, we are downgrading private debt to neutral, given that compressed spreads are translating into significantly lower premiums and valuations for the trade-off in liquidity are no longer compelling. We will revisit our stance if spread valuations offer better premiums. The weights from private debt will, in turn, be reallocated to beta-neutral strategies like hedge funds.

1Q26 CIO Asset Allocation (CIO AA)

	3-Month Basis	12-Month Basis
Equities	Neutral	Neutral
US Equities	Neutral	Overweight
Europe Equities	Neutral	Underweight
Japan Equities	Underweight	Neutral
Asia ex-Japan Equities	Overweight	Overweight
Fixed Income	Overweight	Overweight
Developed Markets Government Bonds	Neutral	Neutral
Developed Markets Corporate Bonds	Overweight	Overweight
Emerging Markets Bonds	Underweight	Underweight
Alternatives	Overweight	Overweight
Gold	Overweight	Overweight
Private Assets & Hedge Funds	Overweight	Overweight
Cash	Underweight	Underweight

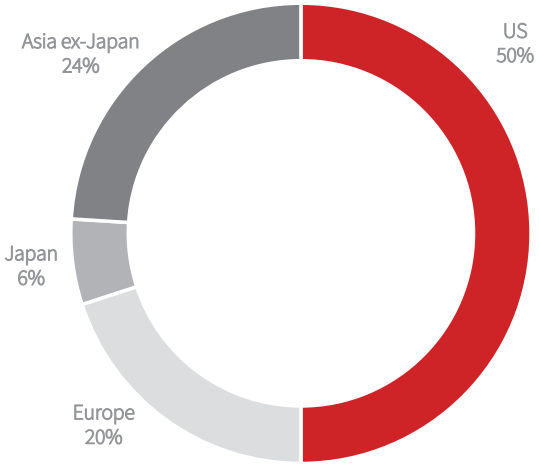
Source: DBS

CIO AA breakdown by asset class (Medium Risk)



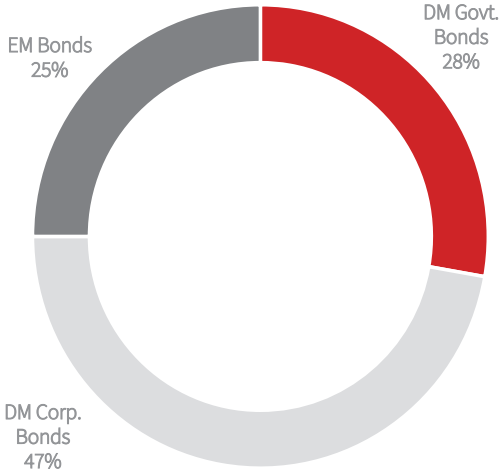
Source: DBS

CIO AA breakdown by geography within equities (Medium Risk)



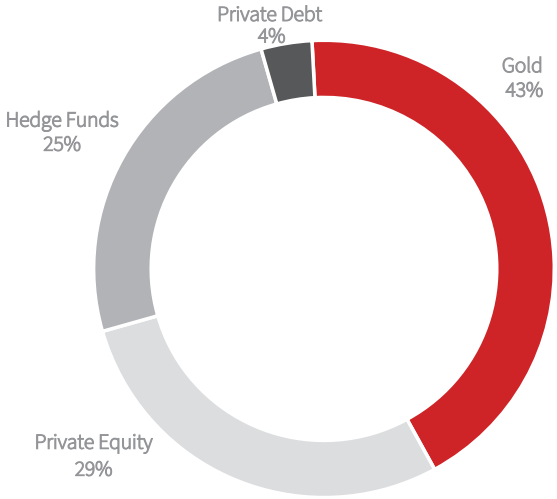
Source: DBS

CIO AA breakdown by bond types within fixed income (Medium Risk)



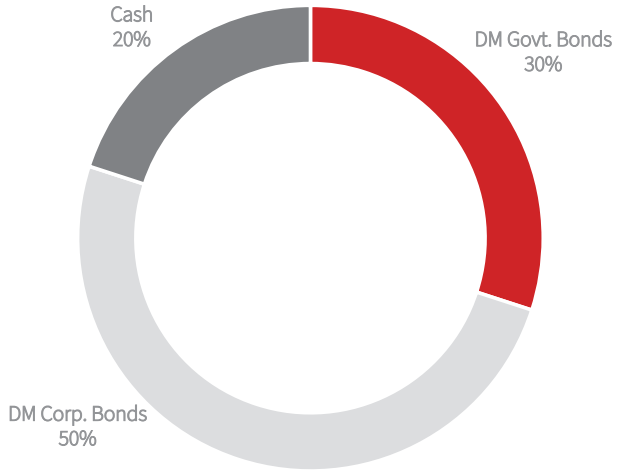
Source: DBS

CIO AA breakdown by segments within alternatives (Medium Risk)



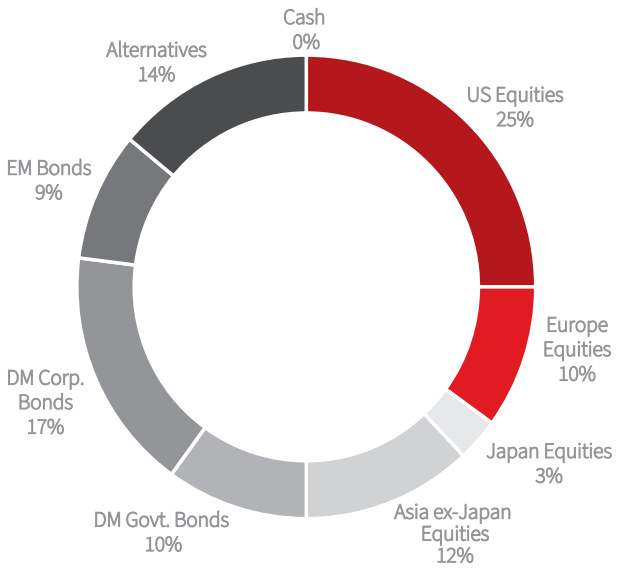
Source: DBS

Low Risk



Source: DBS

Medium Risk



Source: DBS

Low Risk

	CIO AA	SAA	Active
Equities	**0.0%**	**0.0%**	**-**
US	0.0%	0.0%	-
Europe	0.0%	0.0%	-
Japan	0.0%	0.0%	-
Asia ex-Japan	0.0%	0.0%	-
Fixed Income	**80.0%**	**80.0%**	**-**
Developed Markets - Government	30.0%	30.0%	-
Developed Markets - Corporate	50.0%	50.0%	-
Emerging Markets	0.0%	0.0%	-
Alternatives	**0.0%**	**0.0%**	**-**
Gold	0.0%	0.0%	-
Private Assets & Hedge Funds*	0.0%	0.0%	-
Private Equity	0.0%	0.0%	-
Hedge Funds	0.0%	0.0%	-
Private Debt	0.0%	0.0%	-
Cash	**20.0%**	**20.0%**	**-**

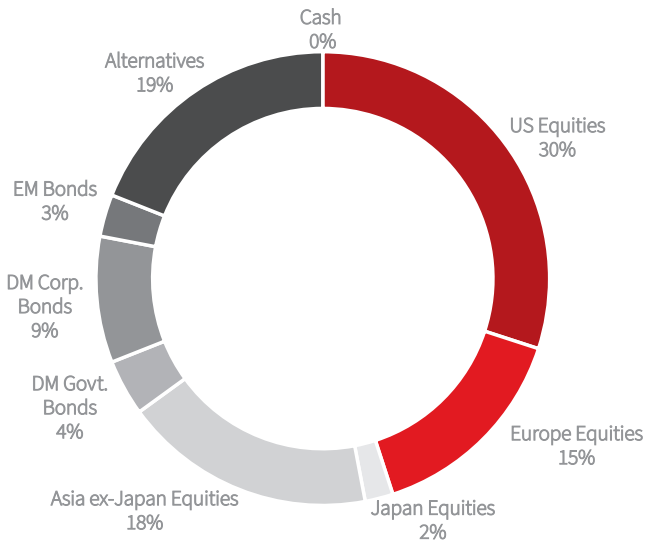
*Only P4 risk rated UCITs Alternatives

Medium Risk

	CIO AA	SAA	Active
Equities	**50.0%**	**50.0%**	**-**
US	25.0%	25.0%	-
Europe	10.0%	10.0%	-
Japan	3.0%	5.0%	-2.0%
Asia ex-Japan	12.0%	10.0%	2.0%
Fixed Income	**36.0%**	**35.0%**	**1.0%**
Developed Markets - Government	10.0%	10.0%	-
Developed Markets - Corporate	17.0%	15.0%	2.0%
Emerging Markets	9.0%	10.0%	-1.0%
Alternatives	**14.0%**	**10.0%**	**4.0%**
Gold	6.0%	5.0%	1.0%
Private Assets & Hedge Funds*	8.0%	5.0%	3.0%
Private Equity	4.0%	2.4%	1.6%
Hedge Funds	3.5%	2.0%	1.5%
Private Debt	0.5%	0.5%	–
Cash	**0.0%**	**5.0%**	**-5.0%**

*Only P4 risk rated UCITs Alternatives

High Risk



Source: DBS

High Risk

	CIO AA	SAA	Active
Equities	**65.0%**	**65.0%**	**0.0%**
US	30.0%	30.0%	-
Europe	15.0%	15.0%	-
Japan	2.0%	5.0%	-3.0%
Asia ex-Japan	18.0%	15.0%	3.0%
Fixed Income	**16.0%**	**15.0%**	**1.0%**
Developed Markets - Government	4.0%	4.0%	–
Developed Markets - Corporate	9.0%	7.0%	2.0%
Emerging Markets	3.0%	4.0%	-1.0%
Alternatives	**19.0%**	**15.0%**	**4.0%**
Gold	6.0%	5.0%	1.0%
Private Assets & Hedge Funds*	13.0%	10.0%	3.0%
Private Equity	6.0%	4.9%	1.1%
Hedge Funds	5.9%	4.0%	1.9%
Private Debt	1.1%	1.1%	–
Cash	**0.0%**	**5.0%**	**-5.0%**

*Only P4 risk rated UCITs Alternatives

Separate Paths

Macroeconomics 1Q26

Global growth in 2026 is shaped by diverging regional trends. The US and Eurozone remain resilient, while Asia stands out for adaptability, with Japan seeing modest expansion. Supportive policies, shifting trade flows, and innovation will drive macroeconomic outcomes, with regional differences defining the global landscape in the year ahead.

Macroeconomics

Taimur Baig, PhD
Chief Economist

Radhika Rao
Economist

Ma Tieying
Economist

Suvro Sarkar
Analyst

US

The US economy is not at risk of recession, despite unprecedented political noise and disruptions associated with Trump 2.0. Labour market data and consumer price trends point to dissipating economic momentum alongside inflation that persists above target. In weighing the two, Fed officials have signalled that slowing growth is a graver concern than persistent inflation, necessitating policy support. Therefore, analysts almost universally expect monetary policy to continue being accommodative. The Fed's toolbox includes not only interest rate cuts but also measures to ease liquidity, ranging from lowering the interest paid on Federal Reserve deposits, to the resumption of asset purchases.

Amid the debate over monetary easing, we find it striking that many aspects of the US economy and financial markets appear relatively healthy. While we acknowledge sporadic signs of weakness, we remain firmly in the no-recession camp, forecasting real GDP growth of around 1.5-2% this year and the next.

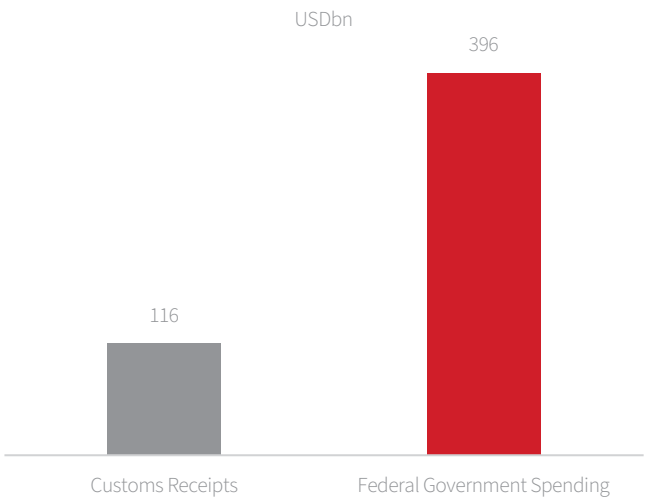
The US economy is leading a historic spike in tech investments, mostly related to data centres and hardware to train and deploy large language models (LLMs). With hundreds of billions spent this year and more in the pipeline for years to come, this secular investment boom would likely be as important a contributor to growth as consumption, which has been typically the mainstay of the US economy. Rising electricity demand from the tech sector is spurring investment in power generation; from renewables to natural gas, small nuclear reactors, and oil, the US accounts for 25% of global energy investment, and all signs point to further sectoral momentum in the near to medium term.

Meanwhile, various tax benefits for households and corporate sectors stipulated in the One Big Beautiful Bill will be trickling through the US economy in the coming quarters. Starting Jan 2026, tax refunds could be up to 20% higher for 70% of American households, which is likely to substantially boost consumption and overall demand.

Federal government spending is up nearly USD400bn so far this year, while tariff revenues have risen by USD116bn. Monthly tariff collections have stabilised to just under USD30bn, and if this pace continues, the US could be collecting over USD350bn a year in tariff revenues, amounting to 1% of GDP.

Unfortunately, even after this herculean and destabilising effort, the US fiscal position will remain in a challenging state, with spending increases likely to outpace revenue growth. The biggest offset to tariff revenues will come from substantial tax cuts in the pipeline of mega fiscal measures passed in 2025.

US customs revenue and spending, change between Jan-Sep 2025 over Jan-Sep 2024



Source: US Department of Customs and Treasury, DBS

Expectations of an economic slowdown and Fed rate cuts have already begun to push down interest rates – from consumer loans to mortgages. For the corporate sector, this would provide additional incentive to borrow from the public and private markets to boost AI-related spending. This scenario comes with attendant risks that we will consider later in this section.

Jobs growth, especially white-collar roles, may be weakening, but the Trump administration's immigration crackdown is also tightening the supply of lower-cost labour. As companies struggle to hire workers in construction, hospitality, agriculture, and fisheries, they will pay higher wages to legal workers. This, in turn, will support consumption.

While the year's narrative has been centred around trade, the fact remains that trade only accounts for 25% of US GDP. Nevertheless, its large companies derive substantial income from overseas, with almost 60% of S&P 500 companies' sales coming from outside the US. This would have been compounded by the sizeable earnings boost coming from the c.10% weakening of the USD in 2025. Even if the currency does not weaken more in 2026, this tailwind will remain through the first half of next year.

What could go wrong with this somewhat sanguine prognosis? A stock market correction would be the clearest risk. With market valuations at historically high levels and the bulk of US stock market gains concentrated in a handful of tech giants, a large selloff driven by earnings disappointments could ripple through the economy. This shock would also most likely affect global capital flows and investment sentiment.

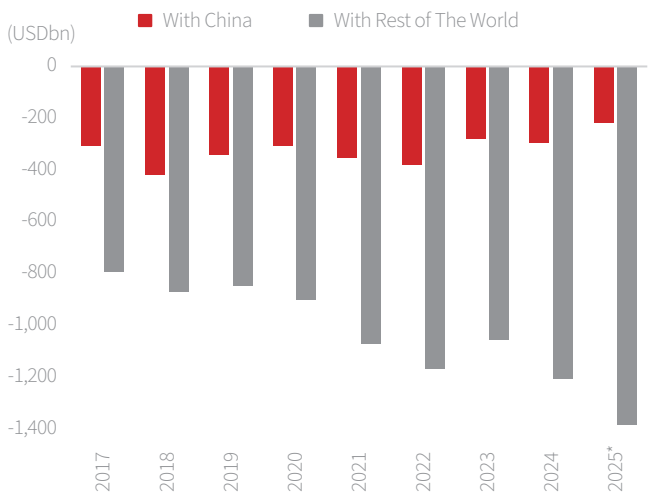
An additional risk to consider is the market's perception of Fed independence, and the repercussions of an increasingly light-touch regulatory environment. On the former – Fed officials are facing intense political pressure to lower rates, along with uncertainty about Fed leadership in the coming year. Regardless of policy direction, the Fed will be scrutinised through an increasingly political lens, which is a cause for concern.

Some late reservations about continued rate cuts notwithstanding, we expect a dovish-leaning Fed next year, with President Trump likely to push for more FOMC members in favour of cutting rates. Interest rate cuts, reduction in reserves rates, and outright QE are all likely to be put in motion in 2026, even if the 2% inflation target remains elusive.

If these steps lead to questions about Fed credibility and the yield curve begins to steepen, yield curve targeting could follow. The Treasury may step in with heterodox actions as well, such as interest rate caps and Treasury holding requirements by a host of financial intermediaries. Implications for the USD and corporate credit would be poor in these circumstances; there is no free lunch, as the White House will find out.

After proving to be more resilient than expected this year, the US is stepping into 2026 with little fear of recession, but a wider set of concerns over cyclical strength and the erosion of institutional integrity. The best of times may well be behind us.

US trade balance with China vs rest of the world



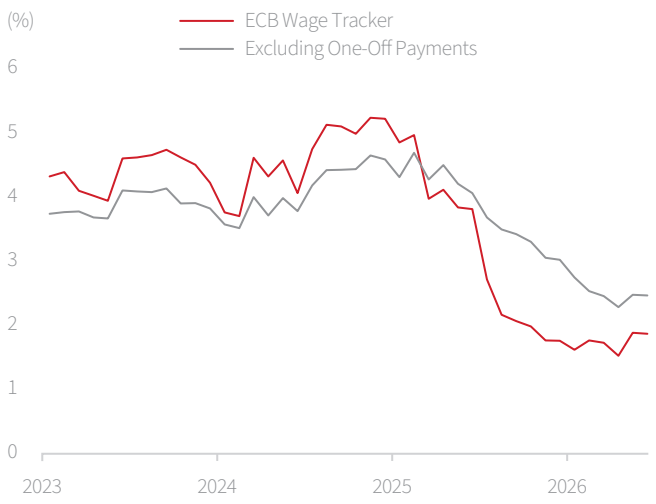
Source: CEIC, DBS

Eurozone

Domestic drivers are expected to offset headwinds from weak trade performance in 2026, backing our view on a relatively resilient Eurozone economy. Factoring in a better-than-expected 1Q-3Q25 trend (0.3% q/q sa), we raise our 2025 growth forecast to 1.4% y/y from 1.2% before, followed by a moderation to 1.0% in 2027. At an aggregate level, confidence indicators have been stable; for instance, recent economic sentiment indicators, production expectations for months ahead, IFO business climate expectations in Germany and expansionary PMI readings. Domestic demand is supported by stable inflation and low unemployment rates (3Q: 6.3%, near record lows) even as job vacancies moderate and the ECB's wage tracker projects a modest 1.9% increase for mid-2026, down from the late-2024 pace of 5%. Bank lending growth continues to improve for both households and non-financial corporations, while ECB's quarterly credit standard survey was at less stringent levels. Financial conditions have eased, which is reflected in firms' gross interest costs.

Fiscal spending is expected to be the other leg of support, spurred by higher defence spending in reaction to the long-running Ukraine-Russia war and risks of lower strategic support from the US, as well as infrastructure modernisation. The German government's plans to spend c.EUR850bn on defence and infrastructure over the current term have catalysed an initial bout of optimism, but this has subsequently cooled off on slower disbursements. Late passage of the budget is expected to see the government fast-track spending in 4Q25, including for social security measures and infra-related projects spilling into next year. Combined with other measures towards equipment investments and the upcoming corporate tax

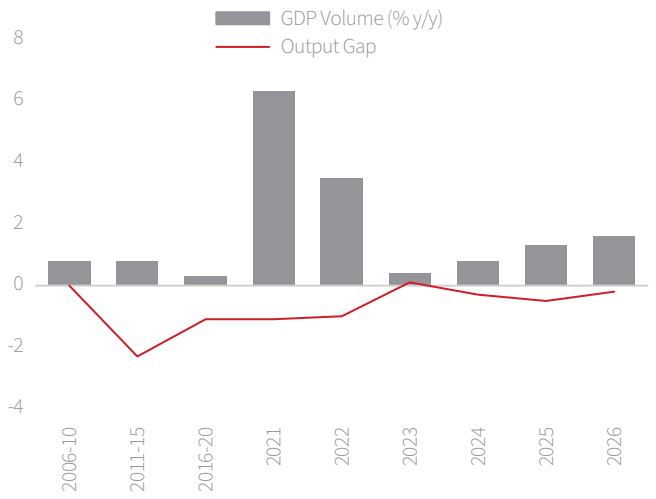
ECB wage tracker



Source: ECB, DBS

cut in 2028, the largest economy in the Eurozone is expected to grow at a faster pace next year. The NGEU mechanism (Next Generation EU; an economic recovery package for members to recover from the pandemic) will formally end in 2026, with residual projects and pipeline investment obligations continuing to support activity next year.

Output gap

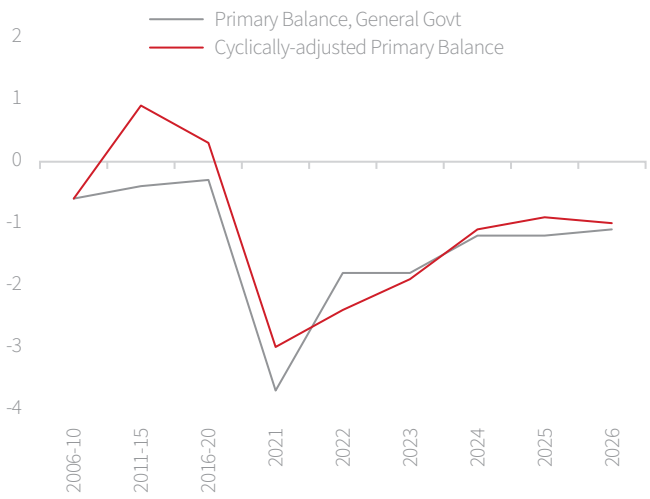


Source: European Commission (Spring update), DBS

Foreign demand, on the other hand, could soften on geopolitical instability, tariff impact, and trade diversion flows. Despite the conclusion of the US-EU trade deal in July and the subsequent framework agreement, the scope of sectoral tariffs and exemptions continue to muddy the waters. Changes to pharma, aluminium, steel, and other goods have injected uncertainty that is compounded by the need to monitor the US court's decision on the legality of the tariffs. These developments are likely to slow export growth beyond the relief brought about by the frontloading of shipments between July and August. Europe has nonetheless undertaken steps to strengthen ties with other trading partners through free trade agreements, case in point being the selective deals with Southeast Asian countries and active negotiations with India and the Philippines.

Even then, there is heterogeneity in the EU. France expanded 0.5% q/q (vs 0.3% in 2Q) despite the quarter's political turmoil, buoyed by aerospace related shipments and better corporate investments. Political uncertainty will draw scrutiny in France as the government faces challenges in passing its budget through a divided parliament. An extension of the Prime Minister's term is likely the path of least resistance, as snap elections might add to uncertainty unless it results in a clear mandate. Fitch downgraded France's rating, with other agencies in midst of repricing the sovereign's risk assessment. Italy's growth, meanwhile, undershot expectations in 3Q25, providing limited relief from rising debt levels. The country's budget plans to lower the deficit to -3% of GDP on optimistic revenue assumptions, back within the EU's ceiling for the first time since the pandemic. There are also expectations for the public debt level (second highest in the bloc) to moderate beginning in 2027. At an aggregate level, primary balances (budget balance excluding interest payments) are expected to narrow this year and in 2026.

Euro-area primary fiscal balances



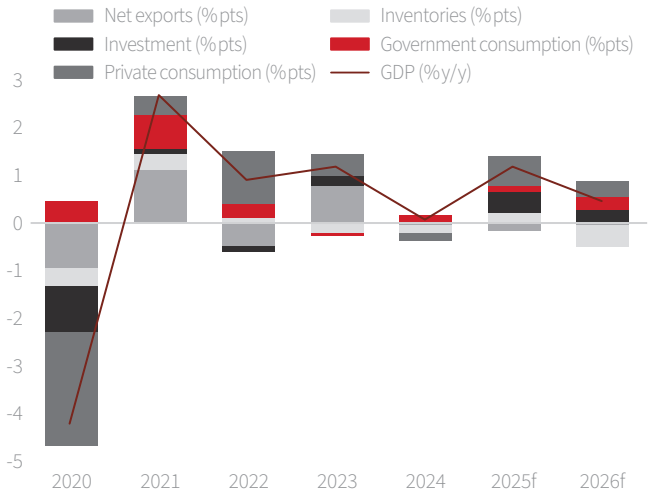
Source: European Commission (Spring update), DBS

Inflation trends are not expected to sway materially in the short term. Barring energy shocks, inflation is expected to average around 2% y/y, with lower pressure in goods offset by higher services and energy costs. Steady growth and stable inflation have reduced the urgency for a policy shift, with the deposit facility rate likely to stay at around 2% into the first half of 2026. The narrative will shift to the timing of a partial withdrawal of economic stimulus if inflation picks up steam. A lack of adherence to fiscal goalposts could impact the borrowing costs of member countries, but the ECB is unlikely to act unless these swings pose systemic risks to the Eurozone. In the quarter ahead, key domestic risks could take the shape of slower fiscal consolidation and slowing reform agenda, while global headwinds are dominated by supply chain threats and restrictive trade policies.

Japan

2026 will be Prime Minister Sanae Takaichi's first full year in office, and when she begins implementing her agenda under the new LDP-Ishin coalition. GDP growth is expected to remain near potential at around 0.5%. Domestic consumption and investment should be supported by Takaichi's fiscal stimulus measures, while export pressures are likely to stay manageable thanks to the Japan-US trade deal lowering tariffs to 15%, expanding trade with non-US markets, and growing AI-related semiconductor exports.

GDP growth to be driven by domestic demand

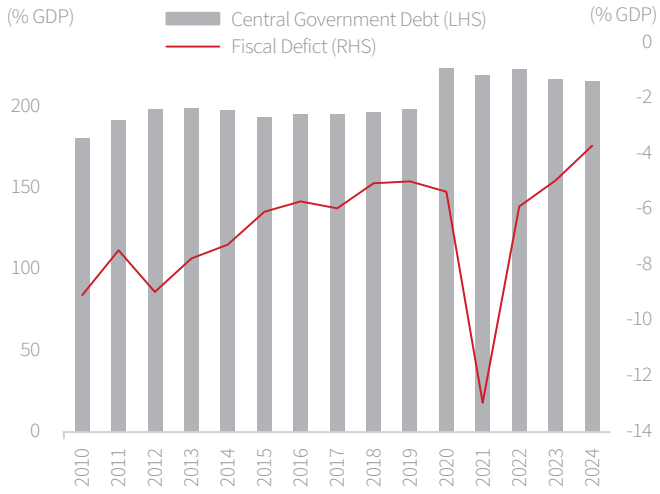


Source: CEIC, DBS

Fiscal policy will turn more expansionary. In the near term, the government's priority will be easing cost-of-living pressures through targeted relief and inflation-mitigation measures. Over the medium term, the focus will shift to strengthening supply-chain resilience and industrial competitiveness through strategic public investment in sectors such as AI, semiconductors, shipbuilding, defence, and critical minerals.

To secure passage of key legislation, the LDP may seek compromise with opposition blocs, potentially agreeing to a temporary consumption tax cut on food. The current fiscal-consolidation target – achieving a primary budget surplus within a single fiscal year – is likely to be relaxed, shifting toward a multi-year fiscal framework.

Fiscal consolidation target likely to be relaxed



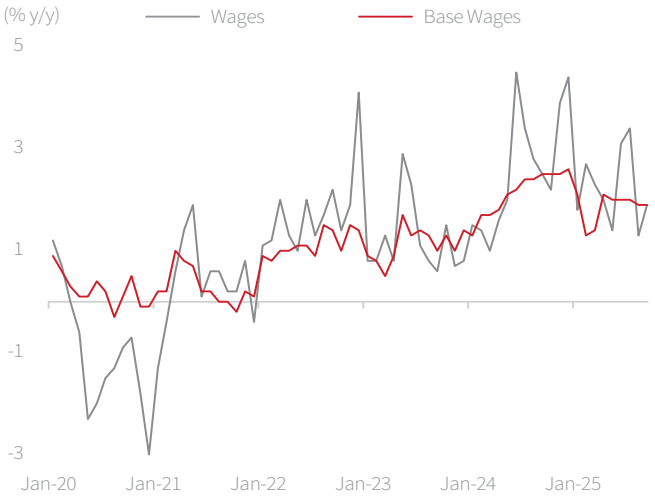
Source: CEIC, DBS

Monetary policy is projected to continue gradual normalisation. With wage growth stabilising near 2% and underlying inflation around 1%, the Bank of Japan could raise the policy rate to about 1.0% without significantly tightening financial conditions.

Takaichi has emphasised that it is premature to declare a full exit from deflation, calling for close government-BOJ coordination. This may affect the pace of normalisation but is unlikely to alter its overall direction. Unlike in 2013, when a new BOJ governor, Haruhiko Kuroda, was appointed to align with the government's easing stance, the incumbent Governor Kazuo Ueda – whose term runs until 2028 – is expected to maintain BOJ independence.

Yen volatility is likely to remain elevated. BOJ rate hikes and Fed rate cuts will narrow Japan-US interest rate differentials, encouraging Japanese financial institutions to repatriate capital and increase domestic asset holdings. At the same time, fiscal concerns and rising long-term JGB yields could spur foreign selling of yen-denominated assets.

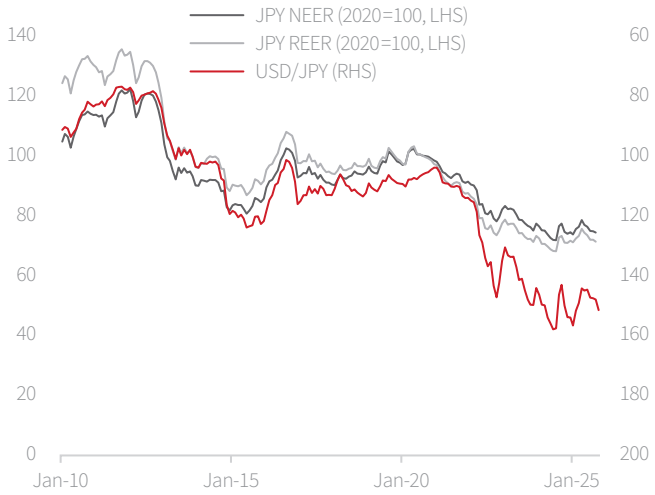
Wage growth to support inflation and interest rate normalisation



Source: CEIC, DBS

Takaichi has so far avoided commenting directly on the yen's value. Her government is expected to tolerate a moderately weak currency to support corporate profitability and wage growth, while avoiding policies that would deliberately induce further depreciation. In contrast to 2013, when Prime Minister Shinzo Abe sought yen depreciation to counter excessive currency strength and deflationary pressures, the yen is now considered undervalued, and policy attention has shifted towards managing the side effects of such, particularly the cost-of-living impacts.

Japanese yen remains undervalued



Source: CEIC, DBS

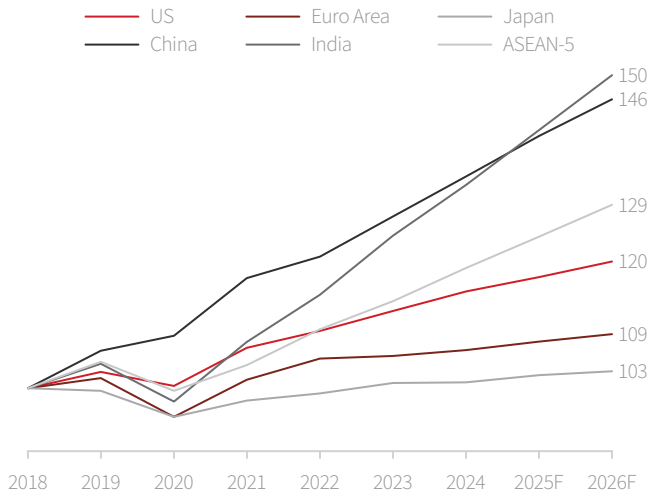
Asia

A year that began with unprecedented fear over global trade and a multilateral rules-based order is ending with guarded relief. This has proven to be a test of resilience that trade-intensive Asia has aced. Company sentiment has made a V-shaped recovery alongside export numbers. Economic growth is on track to be only marginally lower than the previous year, while the overall macro environment is stable.

Why has 2025 outperformed expectations and why are we constructive about the 2026 outlook? There are two key considerations:

First, US trade restrictions are turning out to be less-encompassing than initially feared. Tariffs have come with varying rates, exemptions, and grace periods; all of which are subject to endless negotiations. Meanwhile, the appetite of US consumers seemingly remains unaffected. Consequently, most Asian countries have enjoyed strong export growth to the US this year. China, unsurprisingly, is not in that camp, with its exports to the US down 18% YTD. However, overall China exports are up this year, reflecting a robust growth of 9% to the rest of world. This likely reflects a mix of transhipment and indigenous demand from its non-US trading partners. Either way, global trade continues to grow, defying fears from earlier this year.

Path of real GDP, normalised at 2018



Source: IMF, DBS

Our acronym of the year, TOTUS (Trade Outside the United States) takes us to the second factor in explaining Asia's surprising resilience. It also underscores our title, Separate Paths. The criticality of the US in global systems of trade, commerce, and technology,

and geopolitics will remain unchallenged for the time being. But as the US shies away from multilateralism and insists on engagement through coercion, the world would have little choice but to establish rules and standards outside the US. From cybersecurity to climate tech and cross-border payments – many deals are being signed that supplement, if not replace, multilateral standards that were once set up with US backing, notwithstanding ones from which the US has withdrawn. For example: US overreach on payments paves the way for alternative systems; visa restrictions push students and academics elsewhere; export controls on technology leads to parallel systems from China or EU. The first T in TOTUS does not just stand for Trade, it can stand for Talent, Tech, and Travel as well.

As separate paths are charted, investment flows are being recalibrated. The likes of Malaysia, Singapore, and Vietnam are already seeing record FDI; and we see more potential in 2026 and beyond. Monetary conditions are constructive, while food and fuel inflation are not significant concerns. Having been repeatedly tested since the pandemic, both the public and private sectors are in better shape to deal with disruption, be it economic, geopolitical, or digital.

Oil prices navigating excess supplies, geopolitics, and sanctions

Oil prices remain range-bound as geopolitical risks cool. A combination of supply-demand fundamentals, global macro factors like rate cuts and tariffs, and geopolitics has contributed to oil price volatility throughout 2025, though within a relatively tight trading range. Since 2H25, fears of excess supplies have intensified, driven by a faster-than-expected unwinding of OPEC+ production cuts. However, at its latest monthly meeting in early November, OPEC+ announced that it would pause production increases in 1Q26, citing seasonally weaker market conditions. This delays the full reversal of the voluntary adjustments to the latter part of 2026 and provides some relief to the market, lifting oil price sentiment to some extent. The pause also provides the group with time to assess the impact of Western sanctions on Russian oil majors. We expect these recently intensified Western sanctions on Russian oil companies to have some short-term effect on supplies, though they are unlikely to cause any significant long-term market disruption, given that supplies can always be re-routed through layers of intermediaries. Thus, while we maintain our moderate oil price forecasts for 2025/26 — USD67-72/bbl for 2025 and USD62-67/bbl for 2026 — these events offer enhanced downside support to oil prices. On the flip side, the biggest upside risk to our oil price view hinges on whether India or China significantly reduce their purchases of Russian oil going forward.

Brent crude oil prices moderating to USD60-65/bbl range in 2H25

Source: Bloomberg, DBS

OPEC+ to hit pause in 1Q26. At its latest monthly meeting, the voluntary 8 or "V8" group of countries led by Saudi Arabia and Russia decided to go ahead with the December hike of 137 kbpd which was in line with the last two months and largely expected. What was less expected was their decision to pause production increments in the first quarter of 2026, citing seasonally weaker

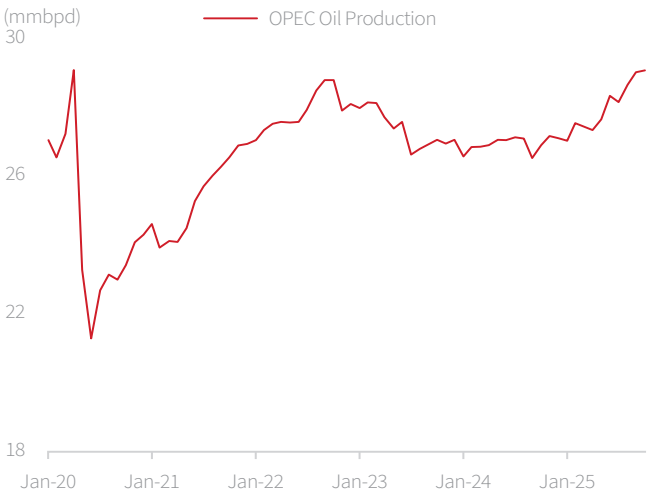
Quarterly average oil price forecast 2025/26 – DBS base case view

(USD per barrel)	1Q25A	2Q25A	3Q25A	4Q25F	1Q26F	2Q26F	3Q26F	4Q26F
Average Brent Crude Oil Price	75.0	66.5	68.0	64.5	61.0	64.5	65.0	64.0
Average WTI Crude Oil Price	71.5	64.0	65.0	61.5	58.0	61.5	62.0	61.0

Source: Bloomberg, DBS
Data as at 7 Nov 2025

market conditions. This delays the full reversal of the 1.65 mmbpd voluntary adjustments to latter part of 2026 and provides some relief to market participants who were expecting a significant supply glut in 2026. There are a couple of key takeaways from this strategy: (i) first signs of acknowledgement from OPEC+ that a supply glut may be in the offing, a slight departure from their bullish stance so far; and (ii) a "wait-and-see" approach on the fallout of Western sanctions on Russian oil majors over the next few months and how that might impact Russia's ability to further raise output.

OPEC supplies show sharp increase for the first time since 2022



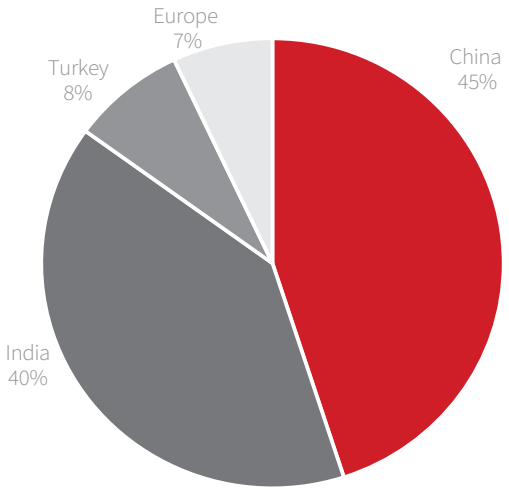
Source: Bloomberg, DBS

This may not mark the end of OPEC+ market share wars. We haven't seen a significant impact on non-OPEC production just yet—US production is still chugging along at record high levels above 13.5 mmbpd—and hence, do not think this is the end of OPEC's market share wars. While it retains the flexibility to cut if oil prices go too low (USD50-55 Brent) for too long, the group is likely to resume the unwinding of production cuts in stronger demand seasons of 2026. The timing and pace of unwinding remain uncertain but will depend on global inventory levels and the impact on Russian exports, if any, from the recent intensification of sanctions. Thus, we retain our view for oil prices to moderate in 2026, compared to 2025 levels, with the caveat that there could be some unexpected upside risk from the geopolitical front.

Western sanctions on Russian oil majors could have limited short term impact. In recent weeks, we have seen new rounds of sanctions from the US, UK, and EU which have included direct sanctions on the two largest Russian oil companies, Rosneft and Lukoil, as well as accelerated plans from the EU to stop Russian LNG imports. Will this shake up the oil market when the sanctions come into force late November? The reaction of oil prices—which initially went up by around 5% but later stabilised—is somewhat telling. The short answer is no; these sanctions are unlikely to significantly affect the oil market over the longer term. Even though these are two of Russia's largest oil companies, and Rosneft, in particular, commands a globally significant market share (only behind Saudi Aramco), we do not expect an immediate or sharp decline in production or exports. As we have seen over the last few years since the Ukraine crisis erupted, sanctions only lead to more complicated supply chains and shadow companies, but the flows do not stop. There will be more costs for both the buyers and sellers as the intermediaries multiply. To recall, Russia's third and fourth largest oil players have been sanctioned for a while, but that has not impacted aggregate export volumes from Russia.

The big upside risk for oil: Will India or China stop buying Russian oil? In recent weeks, US President Donald Trump has claimed that India will start to reduce Russian purchases. Notably, India has been buying in excess of 1.5 mmbpd Russian oil in recent times. If that goes to zero, and India seeks oil from elsewhere—be it Saudi, UAE, or the US—Russia will need to cut production and exports, and oil prices will rise, though by how much? A disruption of 1mn barrels per day could send oil towards USD80/bbl, and even higher if the affected volumes are higher. Even USD100/bbl oil prices cannot be ruled out under an extreme scenario of India completely cutting back on Russian oil. However, is this realistic? Indian refiners have so far shown no signs of cutting Russian imports, and though there are reports of Chinese state-owned refiners suspending some Russian cargoes, it will likely be a short-term effect while the market figures out how to re-route supplies through non-sanctioned entities. Thus, we are not ascribing a very high likelihood of any sustained spikes in oil prices resulting from US policy actions, given the domestic inflation fallout that the US President will be keen to avoid.

Russian crude oil exports: Key destinations post-Ukraine crisis



Source: DBS

The Return to Quality

Source: Unsplash

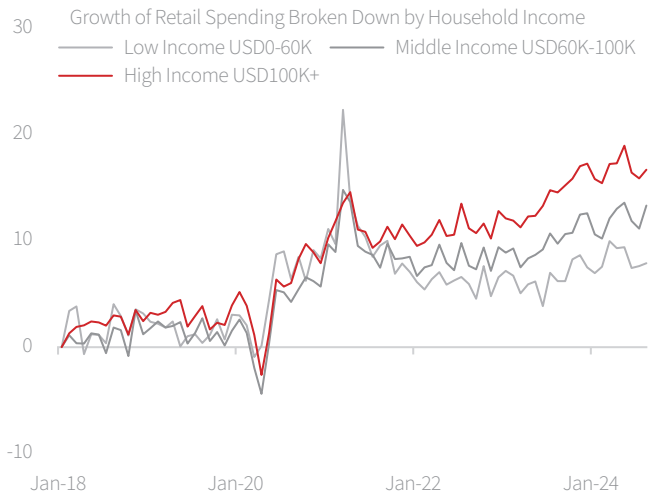
US Equities 1Q26

With the S&P 500 facing elevated valuations and high concentration risk, it is time to seek resilience via quality plays. While there isn't a full-blown AI bubble yet, investors should ride the wave via "adapters" that embrace AI to improve operational efficiency. Maintain a constructive outlook and seek value opportunities in the US healthcare space given attractive risk-rewards.

US Equities

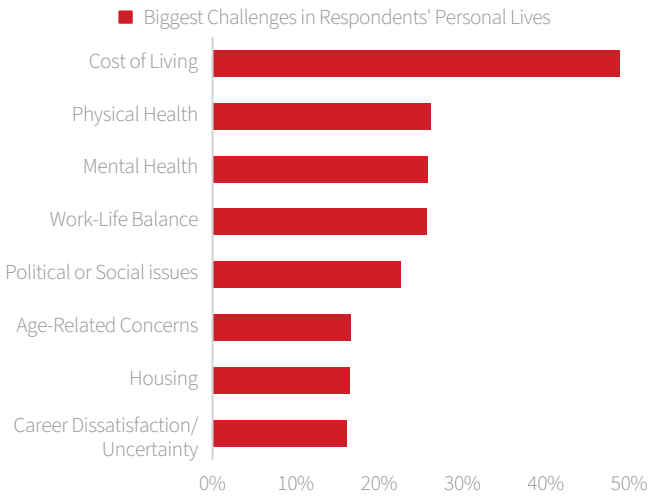
Dylan Cheang
Strategist

US retail sales driven predominantly by high income households



Source: Federal Reserve, DBS

Affordability is the top issue faced by Americans today



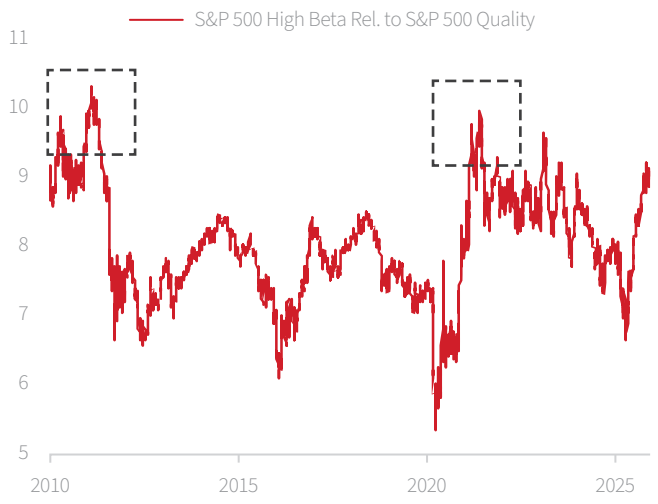
Source: Statista, DBS

Bifurcated world: The haves vs have-nots. These are not normal times. 2025 was a year when the Fed cut rates even as inflation remained sticky above the 2% mark. It was also a year when the Trump administration turned on the fiscal tap with One Big Beautiful Bill Act despite a worsening fiscal and debt crisis. Forget inflation targeting – any remaining notion of fiscal conservatism has been thrown out the window. Fiscal and monetary largesse now rule the day, propelling the S&P 500 to new highs, with AI plays defying the force of gravity. From an investor's standpoint, what could possibly go wrong when the vibes are good and liquidity is plentiful?

But hold on. We are also living in an era where aggregated data no longer tells the full story. US consumption looks resilient, but this headline number is disproportionally driven by the highest earners who benefitted from the stock market boom. Similarly, the broad-based US macro resilience that we are seeing is propped up disproportionally by robust AI capex spendings, which is hardly representative of the wider economy. Diving deeper into the numbers unveils an inconvenient truth: the majority of the Americans face an affordability crisis today. The average man on the street is stuck between a rock and a hard place; job displacement as result of AI on one hand, and rising prices from tariffs on the other.

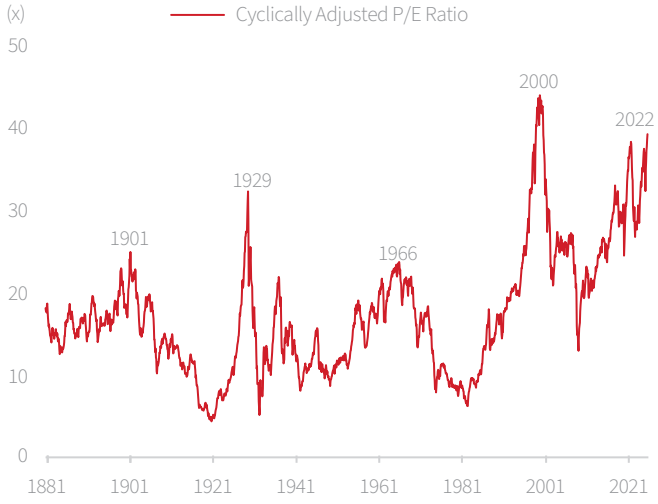
Zohran Mamdani's momentous victory in the New York mayoral election is no coincidence; he made lowering living costs one of his key campaign promises – a message that resonated deeply with New Yorkers. Sure, the Fed can step in with more rate cuts if the jobs situation deteriorates further. But its hands are tied; strong inflationary impulse remains, essentially limiting the scope for monetary easing. Against this backdrop, we caution against complacency in 2026 and advocate focusing on quality plays.

Outperformance of high-beta stocks over quality plays has reached an extreme



Source: Bloomberg, DBS

Valuation for the S&P 500 looking rich on cyclically adjusted P/E basis



Source: Bloomberg, DBS

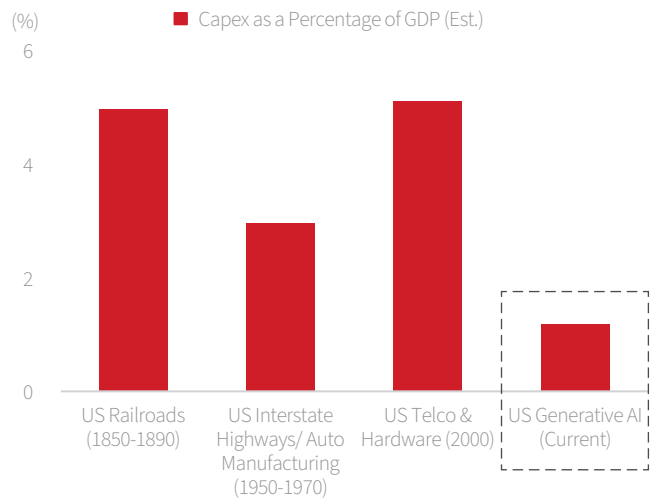
Time for quality plays as the S&P 500 rally matures. The S&P 500 High Beta Index – comprising stocks most sensitive to market movements – has vastly outperformed the S&P 500 Quality Index post "Liberation Day", as investors rushed to participate in the AI-fuelled "everything rally" through high-beta speculative plays. The other factor underpinning the high-beta surge has been fund flows into leveraged ETFs which, in turn, compelled issuers to take enlarged positions in the underlying securities. However, the outperformance of high-beta stocks over quality plays has now reached an extreme, and we believe that a reversal is on the cards.

The second reason for favouring quality plays stems from the fact that the US market is starting to look elevated from a valuation standpoint. Indeed, based on the S&P 500 Shiller P/E Ratio Index, US equities are trading at 39.5x P/E, which, from a historical standpoint: (1) exceeds the 32.6x peak seen right before the 1929 Wall Street crash, and (2) is only 11% lower than the 44.2x peak registered during dot-com bubble. Additionally, the market also faces high concentration risk as the top 10 US companies today account for c.41% of the index, compared to c.23% at the peak of the "Internet era".

Balancing risk with reward: Riding the AI wave via "adapters". AI stocks have rallied sharply in 2025, prompting the question: "Is there a bubble?" Despite mounting valuation and concentration risks, we do not see a full-blown AI bubble as yet for three reasons: (1) macro and policy conditions remain well-supported, (2) the Fed is on an easing cycle, and (3) Big Tech's capex as a percentage of GDP remains manageable. That said, there is no room for complacency as the prevalence of "circular financing" remains a concern. In such an environment, we advise investors to ride the AI wave via "adapters" – companies that embrace AI to improve operational efficiency while being least impacted by the capex-revenue conundrum.

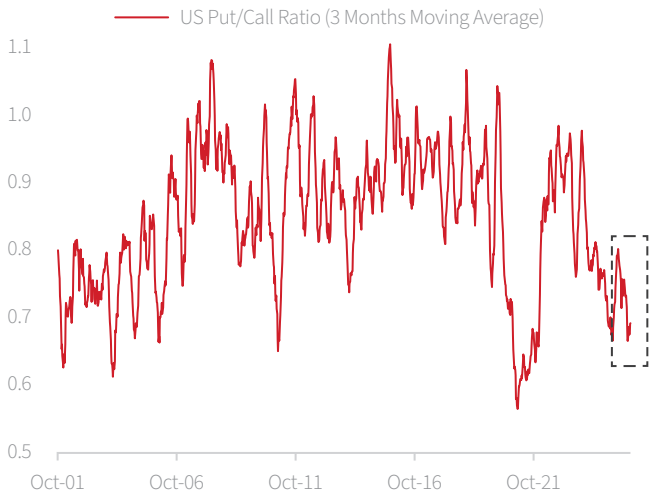
On this basis, US large-cap companies are better positioned to scale AI technology and drive efficiency gains as compared to

Gen-AI capex as a percentage of GDP is relatively low compared to previous bubbles



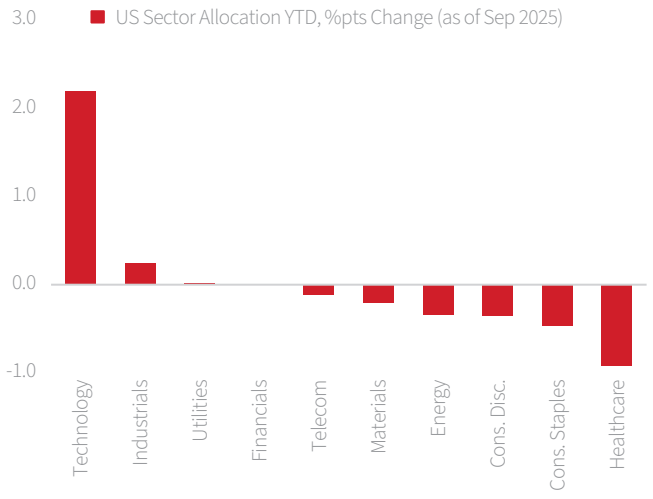
Source: Bloomberg, DBS

US investors' positioning looking tactically bullish



Source: Bloomberg, DBS

Fund managers have sharply reduced their exposure to US healthcare



Source: EPFR Global, DBS

smaller caps. Over time, this will result in widening AI-related productivity gaps between large and small US companies, and by extension, greater performance divergence between the S&P 500 and the Russell 2000.

US tactical positioning bullish; Fair value of 7,850 for the S&P 500. Based on tactical indicators, US investor's positionings are currently looking bullish, evident from the NAAIM (US National Association of Active Investment Managers) Exposure Index and the US Put/Call Ratio Composite. From a contrarian perspective, extreme positioning can be susceptible to pullbacks when macro conditions shift. Mind the gap.

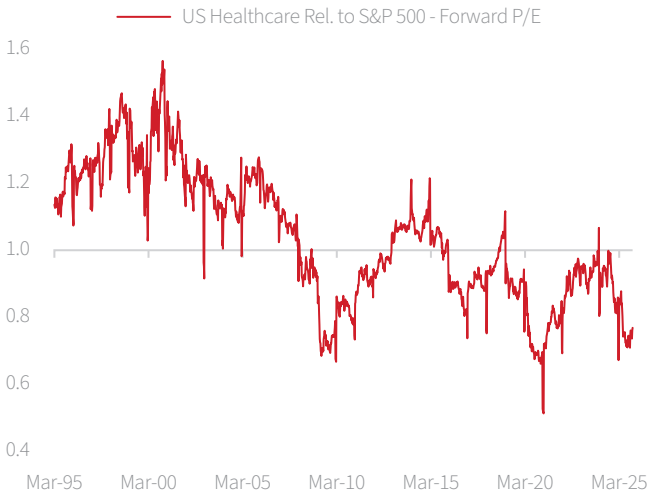
Beyond near-term volatility, we maintain a constructive outlook for the S&P 500 in 2026. Using a three-stage dividend discount model (DDM), we assume near-term earnings growth will be buoyed by AI-driven productivity gains before normalising to a terminal growth rate of 2.0%, in-line with the Fed's inflation target. Based on an equity risk premium (ERP) of 3.7%, our fair value for S&P 500 stands at 7,850.

On consensus earnings forecasts of USD306.21 for 2026, this fair value implies a forward P/E multiple of 25.6x, suggesting that the upside for S&P 500 next year will be driven primarily by earnings growth as opposed to a re-rating of valuation multiples.

1Q26 US Sector Strategy – Seek value opportunities in US healthcare as a defensive innovation play

US healthcare to play catch-up. Our US sector allocation delivered strong results in 4Q25, with overweight positions garnering gains of 1.7% on average (as of 21 Nov), outperforming neutral and underweight calls by 3.5 %pts and 3.8 %pts respectively. Within the overweight calls, healthcare is the standout performer with gains of 11.1%.

US healthcare trading at a steep discount to S&P 500



Source: Bloomberg, DBS

We reiterate our positive view on healthcare as the sector is deemed as a defensive innovation play. Rising AI adoption is expected to drive drug testing and accelerate discoveries. From a positioning standpoint, healthcare is also perceived as an attractive laggard, given its stark underperformance on a 9M25 basis. Data from EPFR Global shows healthcare registering the largest reduction in sector weights among US funds.

Looking ahead, we expect healthcare's trajectory to improve from here given the sector's sharp valuation discount to the S&P 500, which will compel portfolio managers to seek value opportunities in an elevated market.

US Sector Allocation – 1Q26

	Overweight	Neutral	Underweight
	Technology	Industrials	Real Estate
US	Comm. Services	Utilities	Materials
	Healthcare	Cons. Discretionary	Energy
	Financials	Cons. Staples	

Source: DBS

US Valuation Table

	Forward P/E (x)	P/Book (x)	EV/EBITDA (x)	ROE (%)	ROA (%)	OPM (%)
US	25.7	5.5	17.7	19.1	4.1	15.2
Financials	16.9	2.4	9.8	13.1	1.5	20.4
Energy	16.6	2.0	8.5	11.7	5.4	10.7
Technology	35.9	13.6	30.0	33.0	13.1	27.4
Materials	22.3	3.0	13.6	11.0	4.0	11.7
Industrials	27.6	7.0	18.9	23.9	6.9	13.1
Cons. Staples	22.5	6.8	17.4	25.6	6.9	7.8
Cons. Discretionary	29.3	9.1	18.6	25.2	7.6	10.5
Comm. Services	24.5	5.9	16.4	22.4	10.4	25.0
Utilities	20.7	2.4	13.4	11.3	2.8	21.3
Real Estate	37.7	3.1	21.9	7.6	2.6	20.6
Healthcare	20.9	5.4	18.1	20.1	6.4	7.6

Source: Bloomberg
Data as at 26 Nov 2025

Cyclical Upside with Selective Conviction

Europe Equities 1Q26

Europe's cyclical leverage on improving global growth, reasonable valuations, and a strong earnings recovery should support further gains. While structural hurdles and limited catalysts may temper near-term outperformance, selective sectors including energy transition, defence, and advanced industrial tech offer compelling, policy-backed long-term opportunities.

Europe Equities

Joanne Goh
Strategist

We maintain a positive stance on European equities, anchored by a global environment that is increasingly supportive for the region. Improving growth trajectories in both the Eurozone and US, alongside a controlled Fed easing cycle and a calmer trade-policy backdrop, collectively strengthen the case for Europe at this point in the cycle. These conditions not only reinforce the region's cyclical leverage but also enhance earnings visibility and risk appetite for European assets. In our view, it is precisely this combination of firming global demand, easing financial conditions, and reduced trade uncertainty that underpins Europe's improving outlook and justifies constructive positioning.

Although we hold a constructive view on Europe, we do not expect the region to outperform global equities in the near term unless several important catalysts materialise. A more bullish stance would require one of the following:

1. US macro deterioration that redirects global capital flows toward Europe;
2. A more aggressive ECB easing cycle that meaningfully lowers funding costs; or
3. A larger-than-expected fiscal multiplier from Germany's stimulus; one strong enough to lift Eurozone growth prospects over the coming decade.

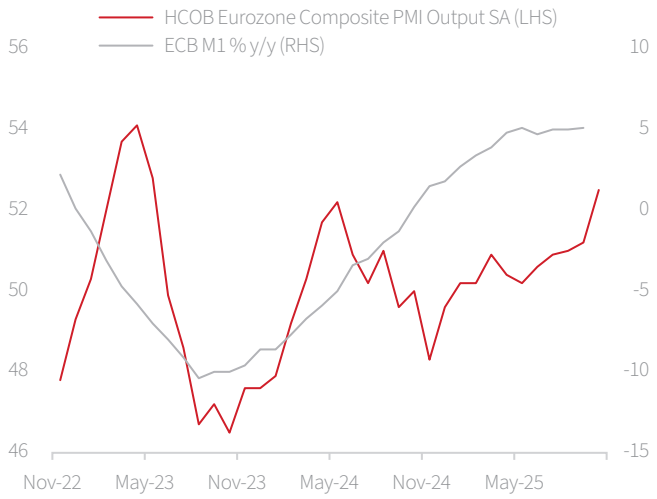
Apart from these triggers, Europe's ability to re-rate remains constrained by structural vulnerabilities – including currency fragility, heavy external energy dependence, and recurring political fragmentation. These persistent issues dampen the structural premium investors are willing to assign to European assets and limit confidence in the region's capacity to generate sustained, self-reinforcing growth. As such, while Europe participates in the broader global upswing, a more decisive outperformance would require clear evidence that these structural challenges are being addressed, or that one of the key cyclical catalysts is firmly in play.

That said, we continue to see attractive long-term opportunities in selected sectors - particularly those tied to energy transition infrastructure, defence modernisation, and next-generation industrial and technology capabilities – where policy initiatives and capital expenditure cycles are already creating visible multi-year growth runways. As such, while Europe may only track the global upswing in the near term, the longer-term sectoral story remains compelling where structural investment themes are taking hold.

A cyclical story regaining momentum. Europe's equity narrative is fundamentally cyclical, supported by an improving global backdrop. Upward revisions to global growth have been consistent and broad-based, aided by ongoing easing cycles, incremental fiscal support (including US measures benefitting households and corporates into early 2026), and declining trade-policy uncertainty.

Eurozone data have turned decisively higher recently: growth surprises have been the most positive and prevalent in a year; and key cyclical sectors – particularly European banks and German fiscal-themed equity baskets – have broken out of multi-month ranges to new highs. Manager surveys show overweight positioning in Eurozone equities, while the credit impulse is at cycle highs, signaling further upside in PMIs ahead.

M1 and PMI

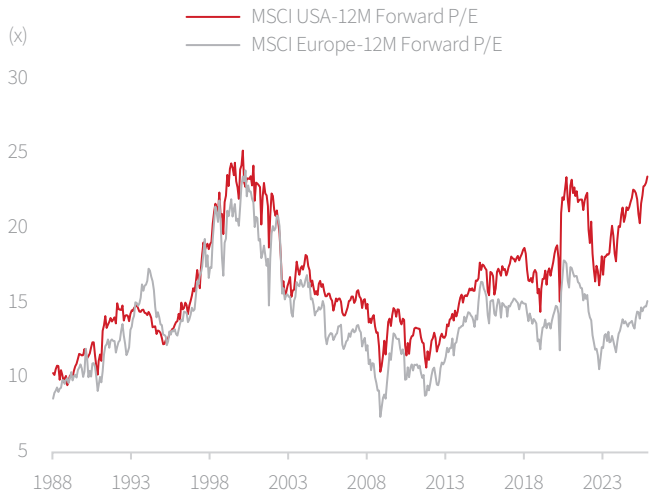


Source: Bloomberg, DBS

We see Europe as increasingly well-positioned for a catch-up phase into 2026, supported by the peak impact of Germany's fiscal expansion and a steady broadening in regional activity data. Manufacturing, services, and credit conditions are all showing signs of improvement, providing a firmer base for the next leg of the earnings cycle.

Crucially, this strengthening European backdrop comes at a time where the US equity markets look more vulnerable at the margin. Valuations are stretched, performance remains heavily concentrated in a small cluster of AI-related megacaps, and concerns over narrow market breadth are becoming more pronounced. As investors increasingly scrutinise the sustainability of such concentrated leadership, the appeal of regions offering more balanced sector exposure and clearer cyclical leverage naturally rises.

US vs Eurozone valuation gap at its widest



Source: LSEG, DBS

Within this context, Europe's more reasonable valuations, wider earnings participation, and visible fiscal impulse create a credible alternative for incremental capital rotation. While we are not arguing for immediate outperformance, the combination of improving fundamentals and growing discomfort with US concentration risk enhances Europe's attractiveness for investors seeking broader participation and stronger risk-adjusted opportunities as the cycle matures.

Earnings Outlook: Bottoming in 2025, Accelerating into 2026

The 3Q25 earnings season confirmed a turning point. While overall results were soft, technology and financials delivered double-digit growth, lifting aggregate EPS growth to +3% q/q, including a modest positive surprise vs consensus.

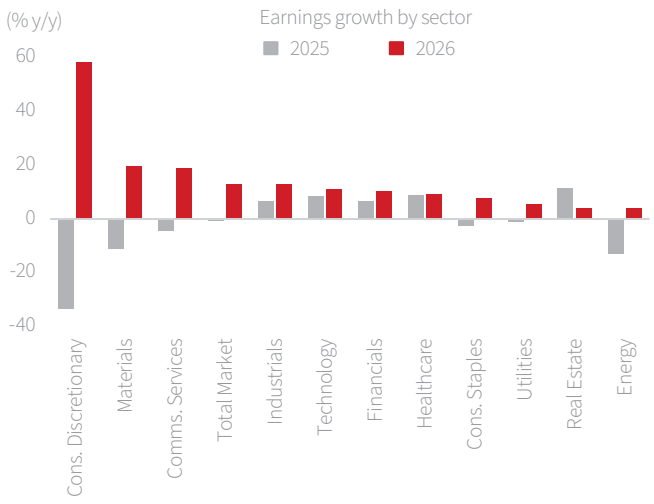
Macro data has reinforced this improvement:

i. 3Q25 Eurozone GDP grew 0.2% q/q, beating ECB forecasts.
ii. Flash PMIs show strengthening services and improving labour market conditions.
iii. Germany's fiscal package for 2025–26 is expected to add c.1.5% to GDP in the coming quarters.

A more supportive global backdrop – US tax cuts, capex spending, and recent tariff agreements – should create better operating conditions for European corporates in 2026 vs 2025.

Consensus expects EPS growth to rebound from flattish growth in 2025 to +13% in 2026, with improvements across nearly all sectors. Technology and financials remain key contributors, while several laggard sectors are shifting back into positive territory.

Broad-based better growth outlook next year



Source: LSEG, DBS
Data as at 14 Nov 2025, based on MSCI I/B/E/S estimates

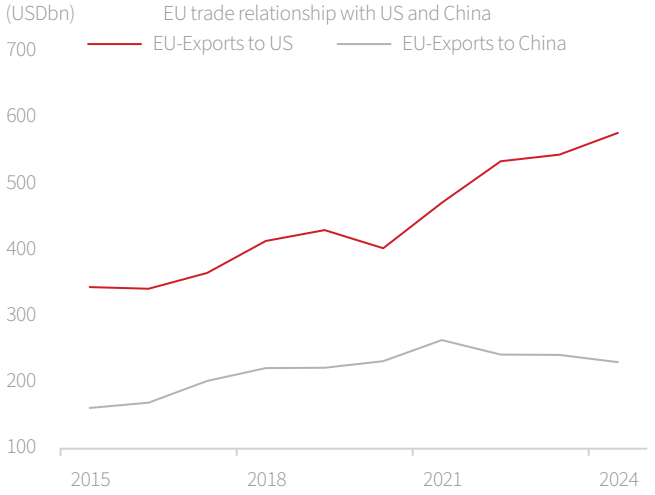
A mixed but evolving external picture. Europe's external trade picture has stabilised in headline terms, but the composition of flows is undergoing meaningful shifts that will shape sector performance into 2026.

On one hand, the Eurozone's trade surplus with the US is nearing record levels, supported by robust US demand and the ongoing re-shoring and re-industrialisation push. This has been particularly beneficial for European industrial machinery, capital goods, and high-value technology equipment, which are increasingly being integrated into US supply-chain upgrades.

In contrast, Europe's trade deficit with China continues to widen. This deterioration reflects both softer Chinese demand for European exports and the intensified redirection of China's domestic overcapacity – especially in autos, batteries, and selected industrial goods – into European markets. As a result, competitive pressures are rising in segments such as autos and lower-end manufacturing, creating new challenges for European producers.

These opposing trends point to a more fragmented and differentiated external environment, with clear sector-specific winners and losers. Understanding how these trade dynamics evolve will be essential for equity positioning in 2026, particularly for sectors tied to industrial upgrading, energy transition technology, and those exposed to heightened import competition.

Eurozone exports to US vs exports to China



Source: LSEG, DBS

Sector Positioning: Favour Structural Themes with Multi-Year Visibility

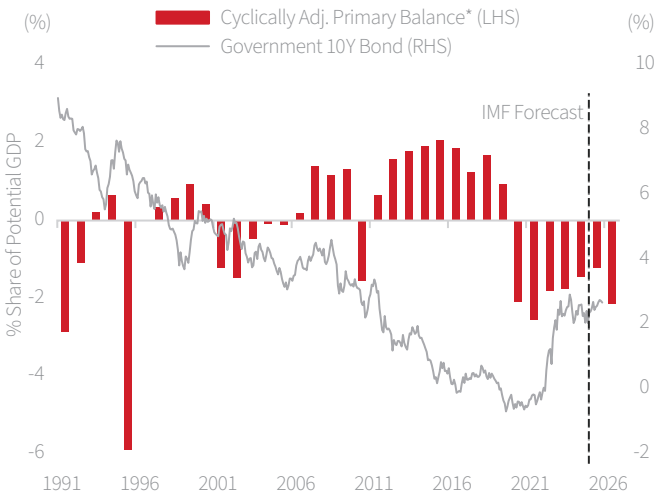
We maintain a constructive, high-conviction allocation across several key sectors where structural drivers, policy support, and improving fundamentals offer durable upside:

Overweight technology, industrials, and utilities. These sectors continue to benefit from robust capex cycles, accelerating infrastructure investment, and rising demand linked to digitalisation and AI adoption. Europe's push toward energy transition, grid modernisation, and automation provides enduring multi-year tailwinds that reinforce earnings resilience and justify premium positioning.

A key element reinforcing this view is Germany's rising fiscal impulse and the transformation of its industrial base, which is increasingly becoming a core engine of Europe's long-term competitiveness. The expansion in Germany's defence spending is reshaping industrial capacity in ways that extend well beyond defence itself. Production lines formerly dominated by autos are being repurposed for defence-related manufacturing, new facilities are being built, and stronger order flows are stabilising Germany's high-value industrial ecosystem.

Importantly, this shift is facilitating the development and diffusion of dual-use technologies – from robotics and advanced sensors to unmanned systems, satellite communications, and AI-enabled platforms. These innovations have the potential to spill over into civilian sectors, accelerating Europe's technological upgrade cycle and enhancing productivity across industrial and utility networks. If sustained, Germany's fiscal expansion could meaningfully raise Europe's long-run fiscal multiplier, giving technology, industrials, and utilities a structurally stronger growth foundation through 2026 and beyond.

Germany primary balance and cost of debt



Source: LSEG, DBS
Note: *Values for 2025 and 2026 are IMF forecast

Healthcare: Raised to overweight. After several years of underperformance, the sector is showing clearer signs of stabilisation. Earnings expectations have bottomed, valuations have reset to more attractive entry points, and innovation cycles – particularly in specialty pharma, medical technology, and diagnostics – are gradually picking up. This creates a favourable asymmetry for medium-term returns.

Financials: Selective exposure. While fundamentals remain broadly solid, we advocate a more cautious approach. Potential ECB rate cuts and the prospect of higher dividend taxation in France represent underappreciated headwinds that could compress profitability. Within financials, we prefer insurance names and German banks, which are better aligned with the cyclical upturn we anticipate in 2026 and are less exposed to policy risk.

12% upside for STOXX 600 in 2026

Europe is moving into a phase where cyclical conditions are improving, fiscal multipliers are strengthening, and earnings momentum is starting to turn. Structural constraints still cap the region's long-term re-rating potential, but a mix of positive growth surprises, peak fiscal impulse from Germany in 2026, and compelling relative valuations argues for a constructive – yet selective – stance on European equities in 1H26. We expect STOXX 600 to reach 644 by year-end 2026, with 12% upside, driven primarily by earnings growth rather than multiple expansion. Importantly, PE remains more sensitive to movements in PMI because the latter influences the 'E' far more than the 'P'.

Europe Sector Allocation – 1Q26

	Overweight	Neutral	Underweight
Europe	Technology	Energy	Materials
	Healthcare	Cons. Staples	Cons. Discretionary
	Industrials	Real Estate	
	Utilities	Comms. Services	
		Financials	

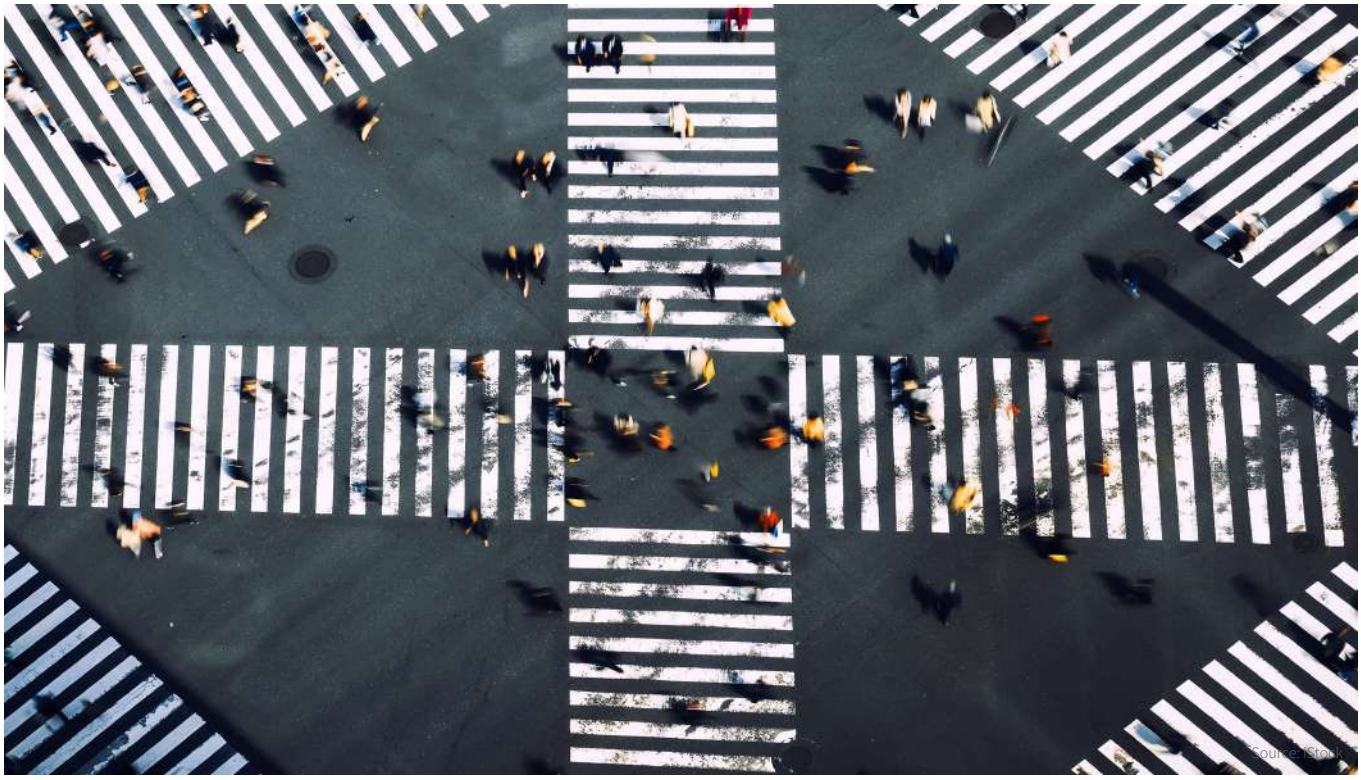
Source: DBS

Europe Valuation Table

	Forward P/E (x)	P/Book (x)	EV/EBITDA (x)	ROE (%)	ROA (%)	OPM (%)
Europe	16.2	2.3	11.6	12.8	1.5	13.3
Financials	11.1	1.5	-	13.0	0.7	19.9
Energy	10.1	1.2	4.5	12.1	3.1	9.5
Technology	30.5	5.9	20.4	16.1	8.8	18.7
Materials	19.8	1.9	9.4	8.3	2.9	8.2
Industrial	22.8	4.2	12.7	16.5	5.7	11.1
Cons. Staples	16.6	3.4	12.3	16.4	5.0	10.0
Cons. Discretionary	22.3	2.0	9.4	7.7	2.0	6.2
Comm. Services	20.6	2.1	7.2	8.1	2.1	14.1
Utilities	15.0	2.0	9.6	10.8	2.7	12.8
Real Estate	13.7	0.9	24.8	6.8	2.0	43.6
Healthcare	16.9	3.9	12.8	17.6	7.3	20.9

Source: Bloomberg
Data as at 26 Nov 2025

Steering through Changes



Japan Equities 1Q26

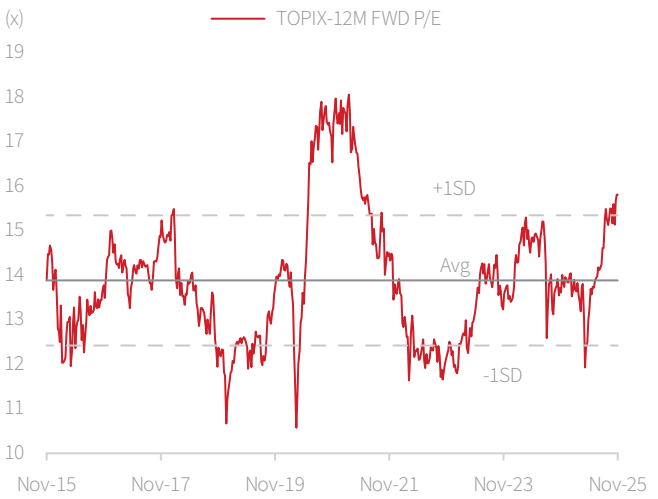
Earnings rebound awaits Japan equities, fuelled by the new PM's fiscal expansion, yen depreciation, and moderating US tariffs. Corporate reforms should remain a key pillar for re-rating and sustaining elevated valuations. Upgrade industrials to overweight as Japan accelerates defence and nuclear investments.

Japan Equities

Joanne Goh
Strategist

"Sanaenomics": A return of "Abenomics"? Takaichi's rise as Japan's first female PM has revealed a policy agenda reminiscent of Abenomics, favouring both fiscal expansion and monetary easing. This renewed optimism in expansionary policies propelled the TOPIX to another all-time high in November. Investors' confidence has been driven by expectations of aggressive fiscal stimulus aimed at combating elevated inflation and substantial government investments across key strategic sectors, including defense, technology, nuclear energy, and shipbuilding.

TOPIX 12M forward P/E valuations near Abenomics-era high



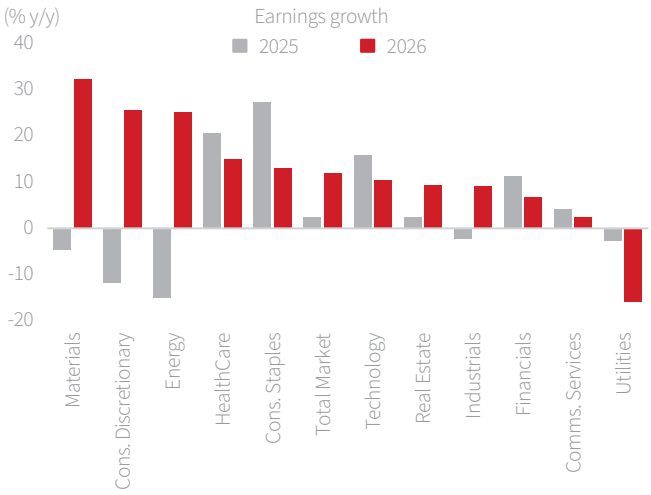
Source: LSEG, DBS

Execution risk remains. Due to her position as leader of a minority government, Takaichi's reform agenda will face significant hurdles on its road to realisation. The newly-formed Liberal Democratic Party (LDP)-Inshin coalition, which replaced the long-standing LDP-Komeito coalition (2012-2025), may prove to be less stable and predictable. Furthermore, her growth plan is only due to be finalised by summer 2026.

Valuations stretched yet earnings have more room to grow. We maintain our constructive view on Japan equities. We believe the elevated valuations should be justified by i) expected earnings improvement in 2026 and ii) ongoing corporate governance reforms.

Japan equities are forecasted to deliver a solid earnings growth of 12% y/y in 2026, marking a notable acceleration from 2% y/y in 2025. Takaichi's economic stimulus package is likely to support earnings of domestic demand-driven sectors. Moreover, export-oriented sectors are projected to see earnings recovery from combination of moderating US tariffs and yen depreciation.

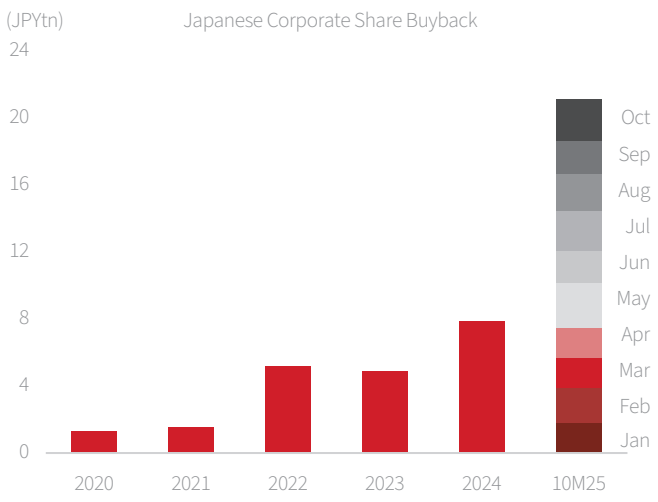
Improving earnings prospect in 2026



Source: LSEG, DBS
Data as at 21 Nov 2025, based on MSCI I/B/E/S estimates

Corporate governance reforms should remain a key pillar of Japan's equity story in 2026 following a record level of share buybacks and M&A activity in 2025. The proportion of TOPIX-listed companies trading below 1x P/B ratio declined from 52% at end-2022 to 37% by end-3Q25, reflecting ongoing re-rating and supporting elevated valuations. Despite this improvement, nearly 40% of companies remain below the benchmark, suggesting scope for further valuation reappraisal.

Rising buybacks to support market



Source: LSEG, DBS

USD/JPY and JGB spiking complicate BOJ policies

Source: LSEG, DBS

Steepening JGB yield curve. Expectations of Takaichi's aggressive fiscal stimulus are likely to increase JGB issuance and elevate risk premia, pushing yields higher, especially at the long end of the curve, leading to a steeper yield curve. As such, implied risk premium for equities would rise further.

Rising bond yields render market expensive from yield perspectives

Source: LSEG, DBS

Watch out for yen and BOJ policy. Takaichi's accommodative monetary policy may weaken the yen, as looser financial conditions often lead to currency depreciation. Investors should therefore monitor the BOJ's normalisation efforts, including potential rate hikes or intervention on the yen, which could lead to heightened currency volatility. Notably, Japan's finance minister has repeatedly intervened verbally, stating that the currency exchange rates did not reflect the fundamentals indicated by interest rate differentials. Expectations of Fed easing and BOJ hikes should rightfully continue to widen the differentials and strengthen the yen.

1Q26 sector strategy. We reiterate our preference for domestic demand-driven sectors with resilient earnings and companies actively pursuing corporate reform. Beyond this, compelling investment themes have arisen from the accelerating initiatives for the strategic sectors highlighted by Japan's government.

Notably, Japan's projected USD550bn investment in the US is aimed at critical US infrastructure projects such as nuclear reactors, electrical components, and data centre power systems. This investment will be led by major Japanese power, industrial, and infrastructure firms, creating extensive growth opportunities from across the US value chain.

Industrials - Upgrade to Overweight. We have outlined key subsectors that will drive sector outperformance below:

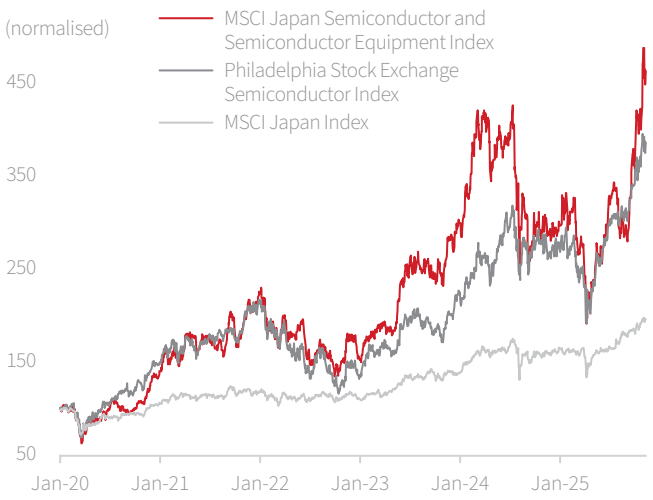
Rewriting the defense story. Takaichi's defense agenda aims to i) expedite Japan's defense spending to 2% of GDP by FY25 (previous FY27), ii) review key defense and security policy documents to boost military capabilities, and iii) potentially ease the export restrictions for defense equipment. These shifts are expected to increase domestic orders and raise international sales opportunities for Japan defense companies.

Nuclear power revival. Japan's energy policy is pivoting towards nuclear power, with plans to streamline reactor approvals, increase operational capacity, and advance next-generation technologies, including small modular reactors (SMRs) and fusion research. This renewed focus is likely to support the performance of companies at the forefront of nuclear innovations and revival.

Trading houses as shareholder policy leaders with diversified growth. Endorsed by prominent investors like Warren Buffett, Japan's trading houses' appeal stems from diversified business models and robust, shareholder-friendly capital allocation strategies – evidenced by their consistent dividend increases and proactive share buyback programmes. We see their earnings improving in 2026, backed by i) earnings recovery in the resources segment from a rebound in commodity (metals) prices and tempered impact from yen depreciation and ii) their business restructuring towards expanding into high-growth industries. Furthermore, the prospect of these firms leveraging their extensive networks in the US to engage in Japan's US investments could serve as another growth catalyst.

Technology - Leveraging unique strength amid global AI cycle. Given Japan's leadership in critical semiconductor materials and advanced manufacturing equipment, Japan's semiconductor equipment sector is uniquely positioned to meet the escalating demand resulting from AI adoption and industrial automation. The strong growth prospects of leading domestic companies should support their current high valuations. These firms serve as an attractive avenue for investors seeking to diversify their exposure to the AI ecosystem beyond chip manufacturers.

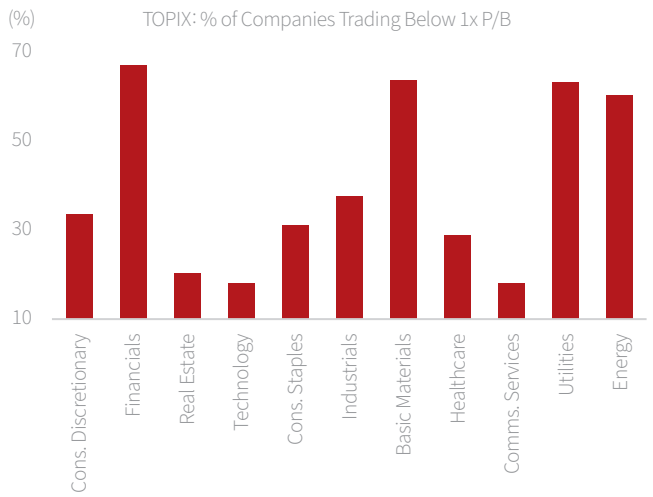
Unlocking AI potential



Source: Bloomberg, DBS
Data as at 10 Nov 2025

Financials – Re-rating ahead. Despite a slight consolidation since mid-August, we remain bullish on Japanese banks. BOJ's interest rate normalisation within next six months should continue to act as a structural re-rating catalyst for the sector. They continue to maintain significant earnings potential, driven by a steeper long-end of the yield curve, enhanced net interest margins, and stronger loan growth. We see opportunities for Japan banks' re-rating given their lagging positions in corporate governance reform compared to other sectors. Hence, policy tailwinds and attractive valuation should provide upside to the sector.

Financials lagging behind on corporate reforms



Source: LSEG, DBS
Data as at end 3Q25

Healthcare – Downgrade to Neutral. We see less appeal from Japan's healthcare sector due to a lack of near-term catalysts to drive sector momentum.

Japan Sector Allocation – 1Q26

	Overweight	Neutral	Underweight
Japan	Technology	Healthcare	Materials
	Industrials	Real Estate	Utilities
	Financials	Cons. Discretionary	Energy
	Comms. Services	Cons. Staples	

Source: DBS

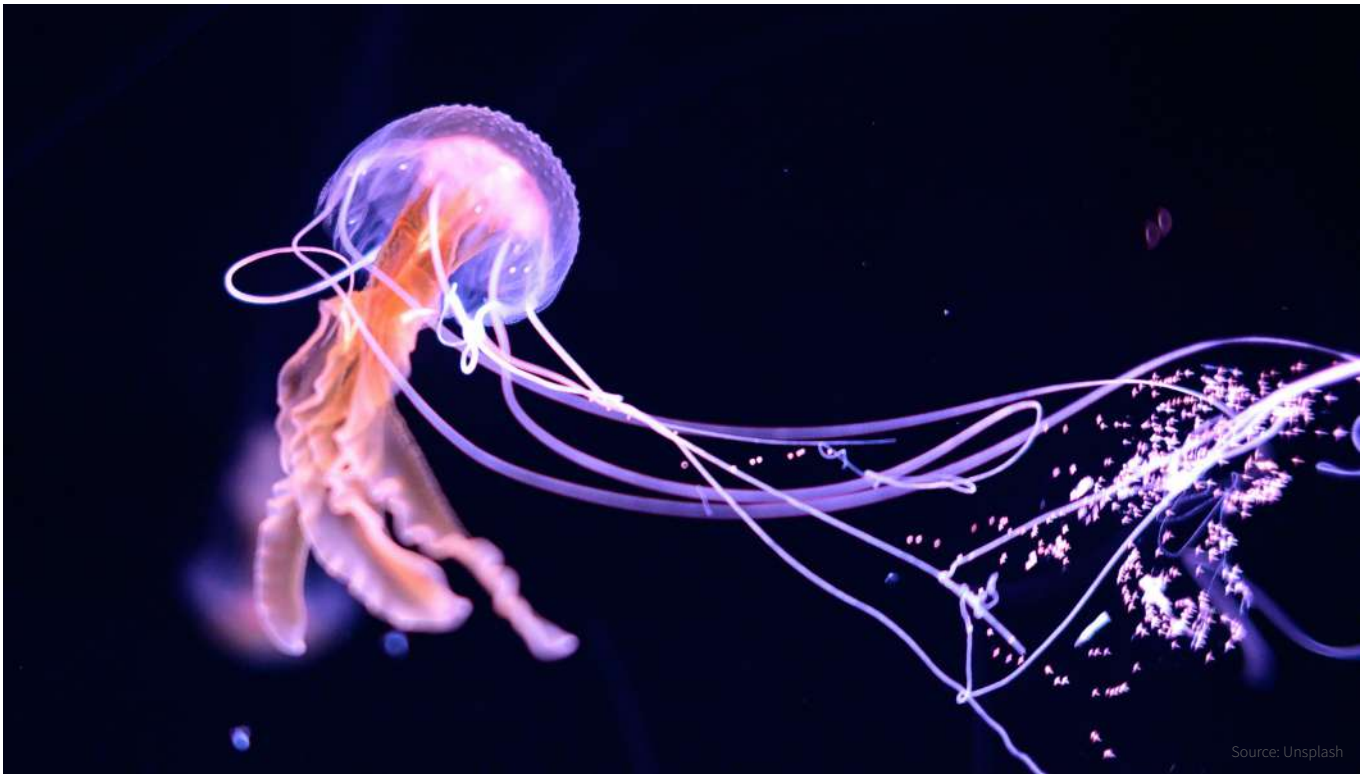
TOPIX to reach 3,600 by year-end 2026. Our analysis projects a 6% upside for the Japan equity market, targeting TOPIX to reach 3,600 by year-end 2026. This target implies a 15x PE, trading at its historical average post-Global Financial Crisis. While the market anticipates 13% y/y TOPIX earnings growth in 2026, we foresee potential downside to this growth. Key risks include execution challenges associated with Takaichi's reform and volatilities stemming from BOJ normalisation and the steepening JGB yield curve, as previously outlined above.

Japan Valuation Table

	Forward P/E (x)	P/Book (x)	EV/EBITDA (x)	ROE (%)	ROA (%)	OPM (%)
Japan	18.0	1.8	7.9	9.4	1.5	10.1
Financials	12.1	1.2	-	9.3	0.5	14.8
Energy	14.8	0.9	6.2	6.0	3.3	5.1
Technology	28.6	3.7	17.0	11.3	7.5	14.8
Materials	16.1	1.2	10.1	5.4	2.5	5.5
Industrial	19.2	2.0	13.9	10.3	5.0	7.3
Cons. Staples	26.3	2.3	11.6	8.5	2.3	5.6
Cons. Discretionary	21.5	1.7	8.2	7.0	3.2	7.4
Comm. Services	13.5	2.5	8.5	17.0	5.0	29.6
Utilities	9.7	1.0	8.8	10.0	4.2	8.5
Real Estate	17.4	1.6	15.1	9.4	3.3	13.5
Healthcare	22.4	2.4	14.0	9.0	4.8	13.7

Source: Bloomberg
Data as at 26 Nov 2025

From Jitters to Resurgent Growth


Source: Unsplash

Asia ex-Japan Equities 1Q26

Asia ex-Japan equities have rebounded strongly in 2025, led by North Asia's technology sector and a favourable macro backdrop. With earnings growth set to outpace global peers and valuations still attractive, the region offers potential for outperformance of capital gains.

Asia ex-Japan Equities

Yeang Cheng Ling
CIO, North Asia

Joanne Goh
Strategist

The Asia ex-Japan market has defied global anxieties, posting formidable gains of over 30% in 2025 (as at mid-November) – its most impressive performance since 2017. The robust expansion owes much to a fortuitous confluence of factors, primarily emanating from North Asia. China, South Korea, and Taiwan have emerged as pivotal drivers, propelled by breakthroughs in technology and AI. These innovations, coupled with the ebbing of tariff headwinds and a strategic reallocation by global investors amid elevated US equity valuations and a weakening dollar, have collectively stabilised regional economic fundamentals and fuelled this stellar ascent.

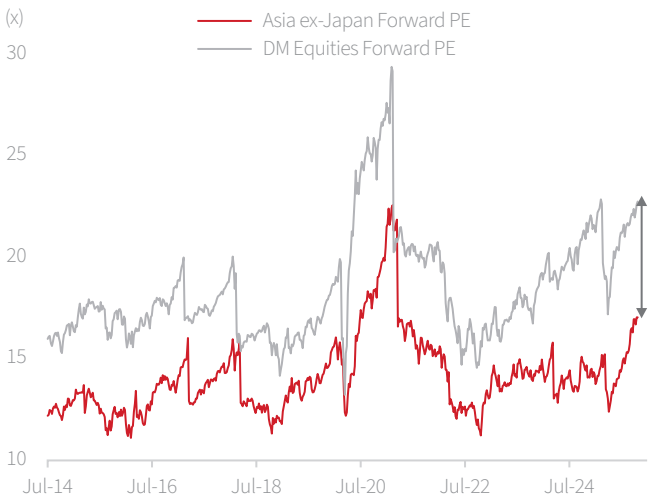
Tariffs: From looming peril to contained risk. For much of 2025, tariffs loomed as a significant bugbear for the region. Markets initially braced for an unravelling of trade relations, yet a more nuanced understanding soon emerged. The US' pronouncements were less a prelude to an all-out economic warfare and more a calculated gambit designed to extract concessions. Consequently, tariff-induced equity volatility, which peaked in 2Q25, has since receded significantly and its disruptive influence is now largely fading.

Headwinds ebbing, tailwinds gathering momentum. 2025 has seen a persistent trimming of market expectations for earnings growth, a consequence of tariff uncertainty biting into corporate earnings, export orders, volatile commodity prices, and persistent supply-chain snarls. Compounding this gloom were China's real estate sector woes, margin compression in cyclicals due to excessive competition, and political uncertainties clouding Southeast Asian economies. However, with the market largely discounting a muted 2025 earnings across the region, much of the adverse impact appears to be priced in. As macro headwinds dissipate, bottom-up revisions are set to follow a more stable trajectory.

Benefitting partly from a lower base, EPS trajectories are projected to re-accelerate, with the AxJ market anticipated to deliver 19% earnings growth in 2026 – a stark improvement vs six months ago, outpacing the 12% projected growth for global peers.

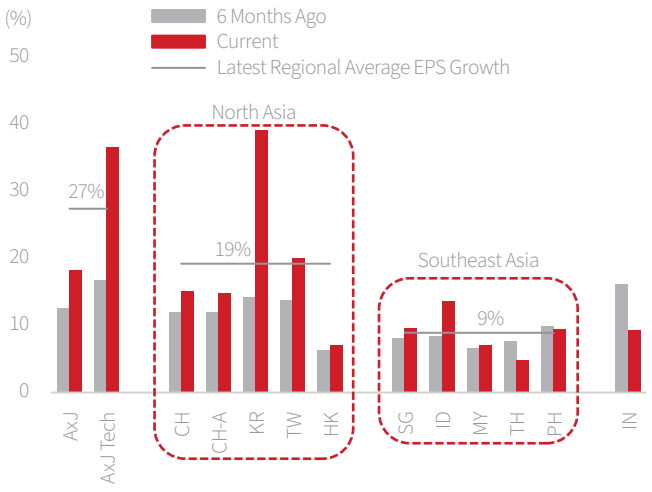
Technology-heavy North Asian markets have been key contributors to upgrades in the earnings outlook, with China, Taiwan, and South

Valuation gap to buffer downside



Source: Bloomberg, DBS

Upgrades in 2026 earnings growth forecast



Source: Bloomberg, DBS

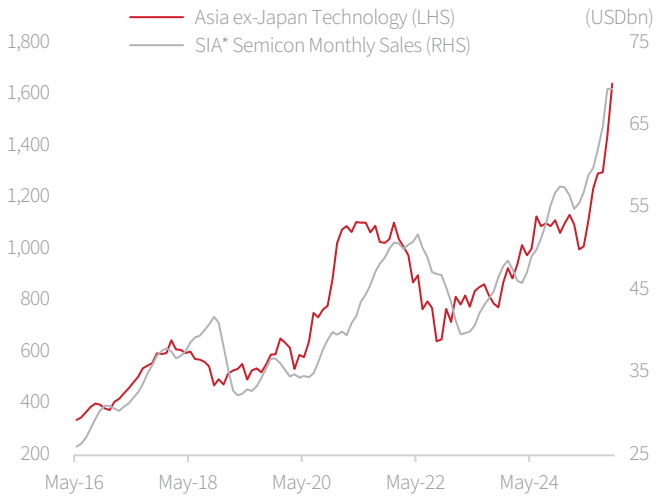
Korea poised for double-digit EPS growth. This is underpinned by stabilising economic outlooks and a virtuous cycle of capex in AI and the surrounding ecosystems. The message is unequivocal: 2025 is now in the rear-view mirror. Look ahead and embrace the more favourable prospects of 2026.

The technology vanguard. North Asia is projected to spearhead AxJ's growth in 2026 thanks to its exposure and integral role in the burgeoning global AI phenomenon, an advantage amplified by diminishing tariff uncertainties. China, with its comprehensive AI and technology supply chain – from rare earths to a local wafer foundry capacity boom, and open-source AI LLMs (e.g. DeepSeek, Baidu Ernie, Alibaba Qwen), alongside platform giants and robotics innovators – is set for greater heights as it pursues "technological self-sufficiency".

South Korea meanwhile, will capitalise on the expanding memory density via key semiconductor conglomerates such as Samsung Electronics and SK Hynix, an endeavour set to be turbo-charged by the ongoing Chaebol reform designed to bolster investor returns and market confidence. Taiwan, with its pre-eminent semiconductor contract manufacturing capabilities and downstream technology supply chain, remains unequivocally at the epicenter of the escalating demand for leading-edge chips.

These interlocking strengths collectively form a North Asian Technology trio that is unmatched in both scale and cohesion.

Benefitting from technology boom



Source: Bloomberg, DBS
* Semiconductor Industry Association

Southeast Asia (SEA), though representing a smaller market weight, continues to present a compelling long-term investment proposition. Domestic consumption stands out as a significant engine of growth, with online platforms like Shopee and Lazada accelerating digital retail penetration and fostering a vibrant services economy.

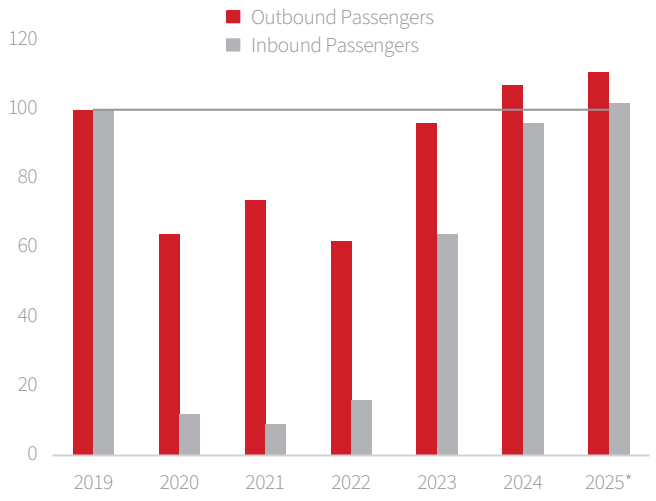
Singapore, the region's polished outlier, combines stability with well-established financial infrastructure. The nation's REITs and financial sector champions are poised to deliver stable dividend yields of over 5%, reaffirming the constructive investment proposition as reliable and growing income generators, serving both as a regional bellwether and a magnet for quality-seeking flows.

China

The recent US–China summit which established a one-year trade truce has materially reduced near-term uncertainty, lifting a major overhang that had dampened investor sentiment towards China equities. Exports to the rest of the world have surged to record highs while shipments to the US have steadily declined. This shift reflects a deliberate pivot toward ASEAN, EU, and emerging markets, effectively reducing exposure to US-centric trade volatility.

Services-led activities gain traction. In parallel, China's economic rebalancing toward services is gaining tangible momentum, as indicated by strong turnaround in cross-border air travel. Both inbound and outbound passenger volumes surpassed 2019 levels in 2025, a clear indicator of the revival of select commercial activities and restoration in consumption.

Activities roaring back (indexed, 2019 = 100)



Source: IATA, MarketIS, McKinsey, DBS
* 1H annualised

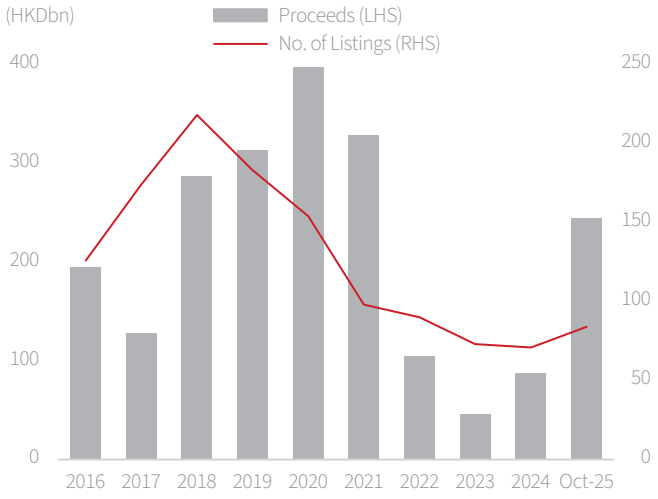
The resurgence in travel activity reflects not just normalisation but a deliberate, policy-backed effort by China to deepen global engagement while anchoring demand domestically, supporting the services sector as a durable and less cyclical growth pillar.

IPO tide returning

The capital markets in Hong Kong and mainland China are on the brink of a sustained surge as global investors recalibrate portfolio positioning and whirl toward technology, life-sciences, and innovation-driven expressions, alongside broader equity markets in the region. The tide is turning: international capital is actively chasing scale, resilience, and exposure to China's high-growth innovation ecosystem, with Hong Kong increasingly serving as the strategic launchpad for capital formation. Complementing this, new dual-listing mechanisms, particularly the Shenzhen-Hong Kong arrangement for Greater Bay Area enterprises, are creating a seamless two-way capital corridor, enabling firms to access both domestic retail liquidity and global institutional capital simultaneously.

There were more than 80 listings in the first 10 months of 2025, raising over USD30bn in IPO proceeds and cementing Hong Kong as one of the world's largest IPO markets. Landmark listings such as CATL, Zijin Gold, Jiangsu Hengrui Pharmaceuticals, and Mininglamp Technology reflect the market's deepening appeal across green technology, resource security, biopharma, and AI-driven data intelligence—sectors that are central to China's self-reliance push. With closer trade and investment integration and robust wealth creation across the region, capital market activity is expected to remain resilient and forward-leaning, boosted by renewed diversification trends and a strategic re-rating of Asia's role in global portfolio allocation.

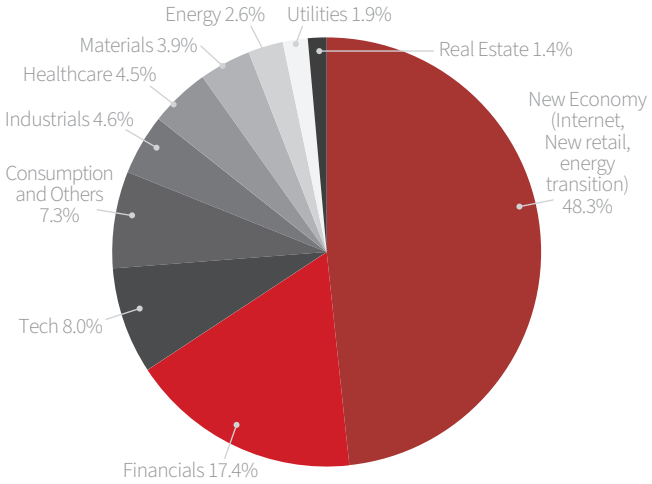
Return of IPO (Proceeds raised in HKEX, 2016-2025)



Source: HKEx, Bloomberg, DBS

China equities are undergoing a structural repricing as the index tilts toward a new-economy leadership — internet platforms, digital retail, new energy ecosystems, and AI-enablers now account for nearly 50% of the China equity index. This is followed by the financial sector which includes quality companies with attractive, sustainable dividend yields. Together with technology, the top three industries represent c.74% of index weight, creating a compelling dual engine of growth and income. For global investors, this evolving index architecture, anchored in secular domestic demand and innovation, provides both a hedge against external trade volatility and a high-conviction channel for long-term capital participation, as China's capital markets deepen and investors continue to seek exposure to markets which offer clear, innovative growth engines.

China equities weighting by industry themes



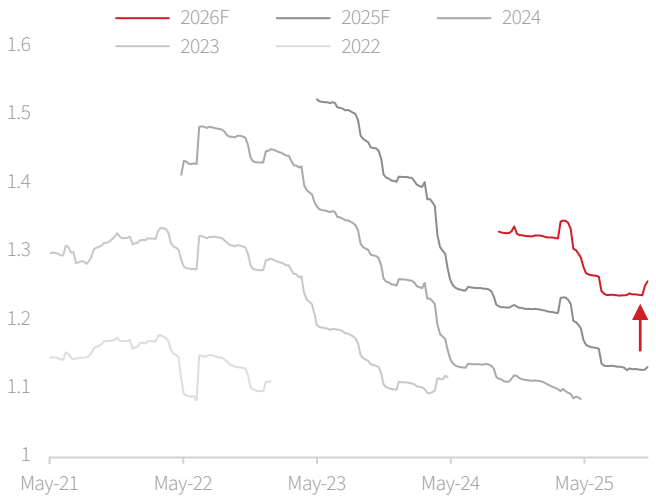
Source: Bloomberg, DBS

Earnings trough in 2025, clearer runway for 2026. China's corporate earnings endured a gauntlet of downgrades in 2025, buffeted by the persistent headwinds of tariff frictions, property debacle, and margin pressures stemming from intense competition in oversupplied industries. The anti-involution efforts manifested in judicious capacity closures and strategic pricing guidelines are beginning to establish a floor for margins in affected industries.

Concurrently, the anti-involution initiatives are progressively reversing deflationary pressures and rekindling consumer confidence. These positive developments, alongside the sustained vigour of China's technology and AI supply chain companies, are poised to forge a solid foundation for Chinese equities to deliver enhanced earnings growth in the forthcoming year.

We maintain conviction in compelling themes focused on heavyweight internet and technology stocks, as well as beneficiaries of AI advancements and the pursuit of technological self-sufficiency. These include new retail, platform leaders, and energy transition and equipment. We also favour high-yielding names in the financial space as steadfast income generators.

CSI 300 Earnings per share (CNY)



Source: WIND, DBS

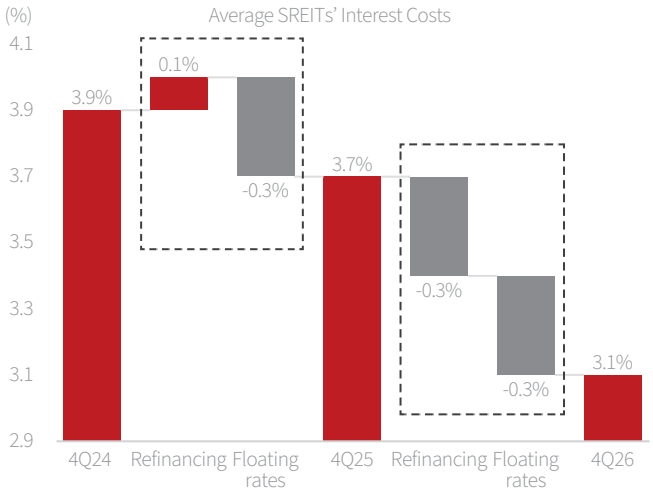
ASEAN + India, land of opportunities

Singapore: Room for re-rating. Increased emphasis by regulatory bodies to develop Singapore's market breadth and depth has helped the STI hit an all-time high in 2025. Trading at +1SD, we believe there is still room for re-rating given improved market liquidity and growth prospects driven by regulatory reforms and global structural trends. Valuation discount relative to AxJ markets can also narrow further.

S-REITs attractive. Valuations of S-REITs remain undemanding despite the sector rising more than 10% YTD. However, we believe valuations remain reasonable at c.0.9x P/B and forward FY26 dividend yields of c.5.7%. With benchmark rates dipping, S-REITs will likely enjoy more meaningful interest rate savings to drive DPU growth.

SMCs reform. Small and mid-cap (SMC) stocks continue to outperform the STI in 2H25, demonstrating resilience amid the volatile US-China trade tensions. Policy tailwinds like the November 'Value Unlock' package, further Equity Market Development Programme (EQDP) deployments and appointments, as well as the enhanced Grant for Equity Market Singapore (GEMS) scheme underscore a renewed focus on SMC development and are expected to continue to drive positive momentum in the months ahead.

S-REITs boosted by falling interest rates



Source: DBS

Indonesia. The Indonesia market held firm through 4Q volatility despite uncertainties surrounding the leadership transition at the Ministry of Finance over fiscal discipline and policy continuity. Policymakers have announced initiatives to boost GDP growth and support the IDR, including a IDR200tn injection into state-owned enterprise banks and fiscal stimulus measures. Valuations also appeared cushioned as PE traded at -1SD of 12x - the lowest among ASEAN markets.

Indonesia commodities riding on higher metal prices. Amid a weak DXY trend and the Fed's dovish stance on rates, commodity stocks are the best play, offering solid earnings prospects while still trading at undemanding valuations. Gold may continue to attract investors' interest, but nickel and copper are also well positioned to benefit from improving supply demand dynamics and a weaker IDR.

The ARPU for telcos is set to recover after the sector's consolidation. With three telcos remaining, price competition should take a backseat, and we expect earnings to grow 6% annually in the next two years. We see room for Indonesia's mobile ARPU to grow as digitalisation continues to benefit the sector, alongside digital transition such as data centres and satellite deployments.

India at an inflection. India has recently lagged regional peers after a strong multi-year rally, as valuations and policy uncertainty prompted foreign investors to rotate into cheaper Asia markets. Yet, the structural case for India remains intact. The economy continues to benefit from demographic momentum, accelerating formalisation, and a deepening digital and manufacturing ecosystem. Government infrastructure spending, production-linked incentives, and rising FDI inflows into renewables, semiconductors, and electronics manufacturing support a medium-term capex cycle.

Unlike export-reliant economies, India's growth is anchored by resilient domestic demand and a strong services sector, cushioning it from external headwinds such as US tariffs or slower global trade. India offers one of the most compelling structural stories in EMs — a laggard in the current cycle but a long-term leader driven by reform, demographics, and productivity gains.

The lack of agreement on opening India's agricultural sector and ending Russian oil imports remains a sticking point in trade talks. We believe a resolution to tariff talks would be a re-rating catalyst.

India's domestic sectors offer diversification. On a relative basis, AI valuation concerns improve the outlook as India's P/E valuation trades at above average discount to Nasdaq, and earnings growth is expected to improve to mid-teens in 2026. We prefer domestic sectors as they offer diversification benefits, such as banks and the beneficiaries of GST cuts.

Geographical recommendations: Overweight China, India, Singapore, Indonesia

We reaffirm our overweight positions in China, Singapore, Indonesia, and India – markets that combine structural depth, policy support, and relative resilience amid shifting global dynamics.

China: Signs of stabilisation. Targeted fiscal easing, earnings recovery, and capital market reforms are restoring confidence. The government's renewed push in AI, digital infrastructure, and advanced manufacturing signals a transition towards higher-quality growth. Valuations remain attractive across quality technology and consumer names.

Singapore: The region's steady compounder. Offering defensive earnings visibility, high governance standards, and steady capital inflows, we believe there is still room for re-rating on an absolute basis as appetite returns for S-REITs and industrials, reinforced by regulatory supports and the city-state's role as Asia's capital and wealth management hub.

Indonesia: Macro stability amid global uncertainty. Fiscal prudence, contained inflation, and initiatives to boost GDP growth anchor the nation's investment case. While cabinet shifts have added near-term noise, the government's support for IDR, capital injection to SOE banks, and a large consumption-driven economy continue to underpin the longer-term appeal.

India: The structural case remains intact. The country continues to set the regional pace with unmatched growth trajectory. The 'Make in India' initiative is pulling it deeper into the global supply chain. Government infrastructure spending, production-linked incentives, and rising FDI inflows into renewables and electronics manufacturing will catalyse a sustained capex cycle.

AxJ Sector Allocation - 1Q26

Overweight	Neutral	Underweight
Technology	Healthcare	Energy
Cons. Discretionary	Real Estate*	Materials
Financials	Utilities	Industrials
Comms. Services	Cons. Staples	

Source: DBS
* Our neutral position reflects a balanced view, underpinned by a positive outlook on Singapore REITs as reliable income generators, while maintaining a cautious stance towards China real-estate developers due to prevailing market uncertainties

AxJ Geographical Allocation - 1Q26

Overweight	Neutral	Underweight
China#	Hong Kong	Thailand
India	Taiwan	Philippines
Singapore	South Korea	
Indonesia	Malaysia	

Source: DBS
- Including China stocks listed in Hong Kong

Asia ex-Japan Valuation Table

	Forward P/E (x)	P/Book (x)	EV/EBITDA (x)	ROE (%)	ROA (%)	OPM (%)
Asia ex-Japan	16.6	2.0	12.4	12.2	2.1	12.9
Financials	10.4	1.2	-	11.3	1.0	24.4
Energy	14.5	1.4	6.3	9.5	3.7	7.4
Technology	19.7	3.5	11.2	18.9	9.6	11.9
Materials	23.8	1.7	11.1	7.1	2.4	7.8
Industrial	17.8	1.8	10.9	10.2	2.8	9.7
Cons. Staples	21.6	3.2	11.8	15.1	6.4	9.8
Cons. Discretionary	19.8	2.4	11.4	12.5	6.2	6.9
Comm. Services	20.9	3.5	13.6	14.2	7.8	22.6
Utilities	12.5	1.5	9.0	11.6	3.4	14.7
Real Estate	16.9	0.7	17.9	3.8	1.2	13.8
Healthcare	36.1	4.1	25.9	12.4	6.4	10.1

Source: Bloomberg
Data as at 26 Nov 2025

On a regional sectoral basis, we continue to champion technology, consumer discretionary, financials, and communication services in leading the charge in Asia's resurgent growth story.

Asia ex-Japan – A confluence of favourable winds

1. Anticipated earnings revival. After a period marked by tariff-induced headwinds in 2025, AxJ is on the cusp of a notable earnings resurgence. 2026 earnings outlook indicates a reacceleration of growth spearheaded by North Asia's technology behemoths in Taiwan, Korea, and Greater China.
2. Compelling valuations – A bargain opportunity. AxJ equities remain in steep discount vs global counterparts. A persistent 35% discount on forward P/E that exceeds its historical 10Y average, suggests potential for re-rating. This bargain pricing reflects the challenges of 2025 while simultaneously offering the prospect of upside in 2026. Such compelling pricing provides a robust buffer against potential market drawdowns in the midst of market volatilities.
3. Policy levers – Unlocking growth potential. A defining characteristic of AxJ is the ample policy headroom available to its governments and central banks. China's strategic initiatives, encompassing both "Tech Self-Sufficiency" and concerted efforts to stimulate domestic consumption, along with India's capex push and Korea's ongoing chaebol reforms, are illustrative of a proactive policy environment.
4. Resurgence of investor confidence. Investor sentiment is undergoing a discernible shift. Tariff fears have peaked and receded with the latest US-China trade de-escalation. Concurrently, there are encouraging signs of stabilisation, underpinned by the reacceleration in corporate earnings growth. A concerted push for corporate governance reforms is bolstering investor trust, especially across North Asia.
5. A case for portfolio reallocation. Global portfolios continue to maintain an underweight position in AxJ markets vs benchmarks. This gap is set to close as investors begin to acknowledge the growth potential. This growth disparity, coupled with US dollar softening, positions AxJ as a prime destination for capital inflows, signalling an impending rebalancing of global investment allocations.

Asia ex-Japan, a compelling case in a shifting world

With the Fed locked into a rate cut cycle and the dollar poised for structural softening, AxJ emerges as an unambiguous beneficiary to ride on both capital rotation and favourable currency tailwinds. Despite the strong YTD performance, valuations remain undemanding compared with DM peers, uplifted by superior EPS growth.

Portfolio positioning data consistently indicates that investors remain persistently underweight for the region. Fundamentally, the region highlights North Asia's unmatched AI-semiconductor and technology triangle, Southeast Asia's robust demographic bonus and consumption engine, and Singapore's safe-haven stability – all underpinned by policy agility and intra-regional trade resilience.

For investors seeking growth at a bargain, with the prevailing winds of a weak dollar at their backs, AxJ presents itself as the destination of choice for long-term gains.

On the growth side, we advocate secular growth themes in semiconductor innovations, AI-verticals, new consumptions, platform companies, and energy transition across North Asia region and consumption champions and domestic policy beneficiaries for SEA. On the income side, remain anchored on large cap financials, Singapore REITs, and telcos.

Introducing Asia ex-Japan index target at 1,103 by end 2026

Our analysis suggests a compelling trajectory for the AxJ equity market, with a 12-month target of 1,103 by end-2026. This projection is underpinned by a confluence of robust earnings expectations and an anticipated normalisation of valuation disparities with DMs.

Current consensus estimates for AxJ equities indicate a solid EPS growth of c.19% for 2026, followed by a projected c.14% in 2027. These figures notably outpace the 12% and 11% growth forecasts for DMs over the corresponding periods. Despite this superior growth outlook, the valuation discounts between AxJ and DMs persist at c.25%. This spread is wider than the decade's 23% average and appears increasingly incongruous.

We posit that this unwarranted valuation gap is poised to narrow gradually as the prevailing concerns, such as the specter of trade tariffs and geopolitical uncertainties, begin to recede. Our 2026 target for the AxJ market is therefore predicated on current consensus earnings alongside an expectation for forward PE discounts to converge towards its 10Y average. We anticipate that 2026 EPS forecasts are largely solidified, possibly even harbouring a positive bias as economic fundamentals within AxJ demonstrate further stabilisation and supportive policy measures take effect.

Our target PE multiple of 17.3x is firmly anchored by the region's strong growth prospects, translating into a modest PEG of 0.9x – a notable discount to the region's historical PEG average of 1.15x. This outlook implies a 20% upside, complemented by an annual dividend yield of >2%. Asia ex-Japan, as it shows, is ripe for constructive re-evaluation.

Towards Neutral

Global Rates 1Q26

Global policy rates to approach neutral in 2026, though paths differ across central banks. The ECB is already near neutral, the Fed is set for limited insurance cuts, and the BOJ's slow normalisation to higher rates continues. Asia's policy retains a mild easing bias.

Global Rates

Eugene Leow
Strategist

Samuel Tse
Strategist

Policy settings will largely approach neutral across the DM space in 2026. However, neutral is an elusive concept. In theory, this depends on assumptions about where the real policy rate should be relative to each central bank's mandate. Typically, these are centred around economic growth and inflation. The path to neutral therefore differs for each central bank as economic conditions and monetary policy cycles differ. Our outlook for rates assumes a middling path as economies shrug off tariff strains amid continued optimism on the investment front.

Within the G3, the ECB is perceived as already being at neutral. The ECB has been one of the most aggressive in cutting rates as inflation returned to target at 2%. However, with the policy rate at zero and a better outlook for 2026, the hurdle for further cuts is high. Notably, fiscal consolidation, which has been taking place over the past four years is ending. Much of the increased military and infrastructure spending announced would be deployed starting next year. A wider fiscal deficit in Germany/Eurozone should translate into an improved growth outlook with bond investors mulling the jump in Bund supply.

The Fed will likely deliver another 50 bps of cuts before pausing at 3.5%. Investors will likely have diverse views on where neutral should be and how the Fed will act. Current data points to a somewhat resilient US economy with very benign financial conditions. The Fed is providing more accommodation when there is no urgent need to do so, concerns about the K-shaped economy notwithstanding. Instead, the justification lies in providing insurance cuts in case things go awry. Risks are balanced from here. Our assumption is that the Fed will remain largely independent of Trump's pressure. Modest curve steepening should then ensue. However, risks of overheating (which could worsen if Fed independence gets threatened) should not be overlooked. A much steeper curve on the back of an overly loose Fed and Treasury policy is a risk case that needs to be considered.

For the BOJ, the glacial pace of normalisation continues. Between sticky inflation above 2% (implying deeply negative policy rates) and a weak yen (despite narrowing rate differentials with the US), there is a need to bring the BOJ's target rate to 1% (risks are skewed higher). We expect the JGB curve to shift higher in the coming quarters before flattening takes place as the normalisation cycle matures

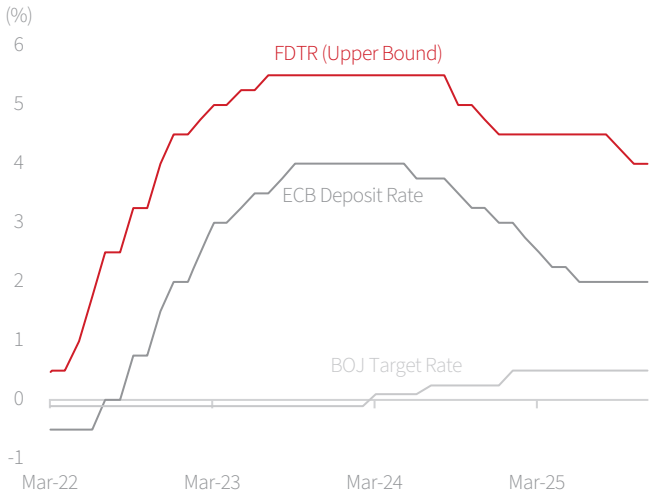
Asia Rates

CNY rates: A more balanced outlook

We see a more balanced near-term outlook for China rates. On the upside, the US plans to cut tariffs on Chinese imports by 10%, which could lift China's 2026 GDP growth by roughly 0.14 %pts. Combined with strong export performance amid front-loading activities, the improving trade backdrop suggests stronger current account dynamics and could limit downside pressure on long-end yields. Meanwhile, the resilience in China's equity market may set a floor for 10Y CGB yields. Current yields remain unattractive for bond investors, and if the equity rally shifts gears from PE expansion to earnings recovery, flows could continue shifting from fixed income into risk assets.

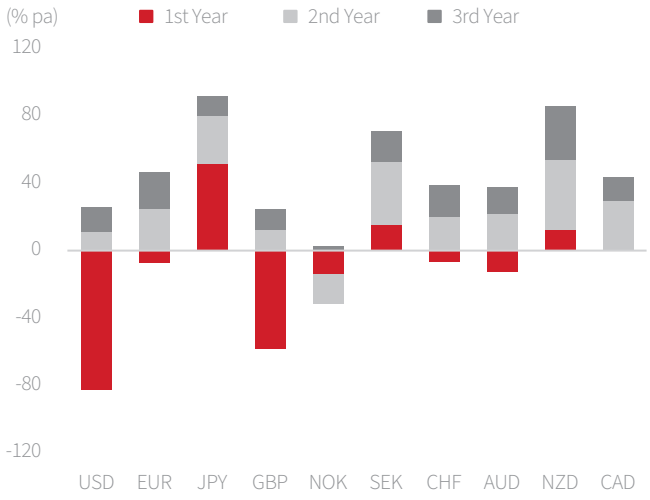
However, the medium-term bias for CGB yields still leans lower. First, household consumption—38% of nominal GDP—remains weak, as the property downturn continues to exert a negative wealth effect. Second, the ongoing "anti-involution" campaign will continue to curb excess investment, pointing to softer loan demand and a lighter pipeline of new bond issuance. Third, Beijing's push for industrial upgrading and technological self-sufficiency will lift "effective investment" in AI, robotics, and advanced manufacturing—sectors that are structurally less leverage-intensive than traditional infrastructure or property. Fourth, monetary policy will remain accommodative. The PBOC restarted its bond-buying program in October, likely concentrated in the short end and belly. While inflation shows early signs of stabilising, the central bank is expected to maintain an easing bias until both CPI and PPI move sustainably back into positive territory. Note that PBOC claims on government remain around 2% of GDP, well below the 6% seen during the Global Financial Crisis. This leaves further room for support.

G3 moving to neutral



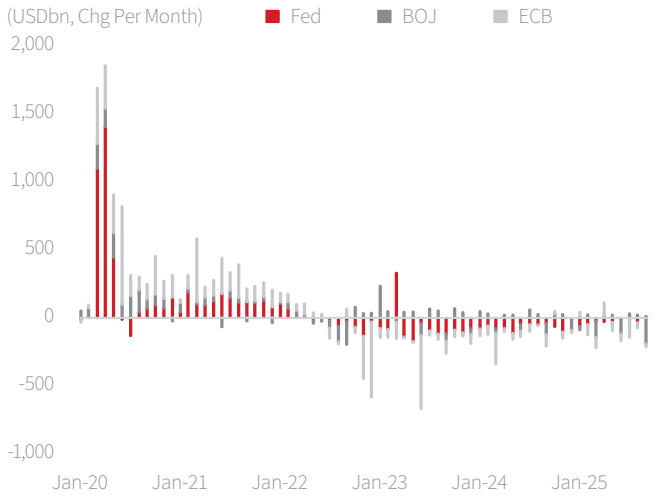
Source: Bloomberg, DBS

The Fed & BOE priced to be most dovish



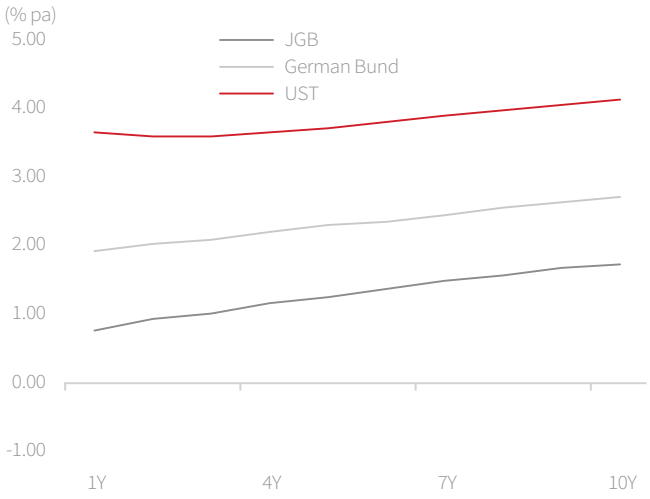
Source: Bloomberg, DBS

G3 balance sheets stop shrinking



Source: Bloomberg, DBS

Moderately steep curves ahead

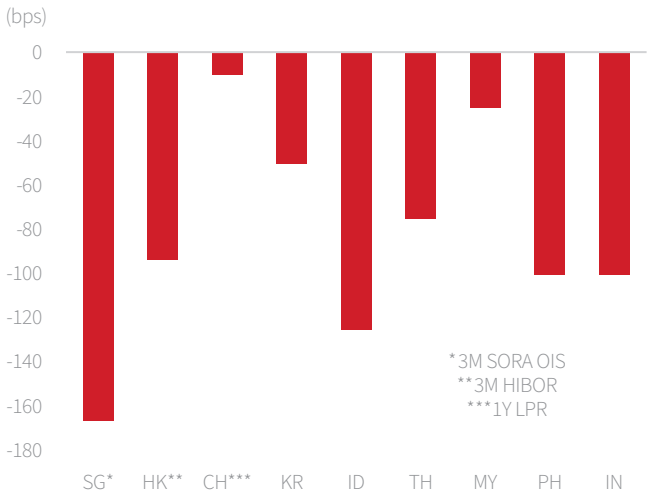


Source: Bloomberg, DBS

IDR rates: IndoGBs look attractive

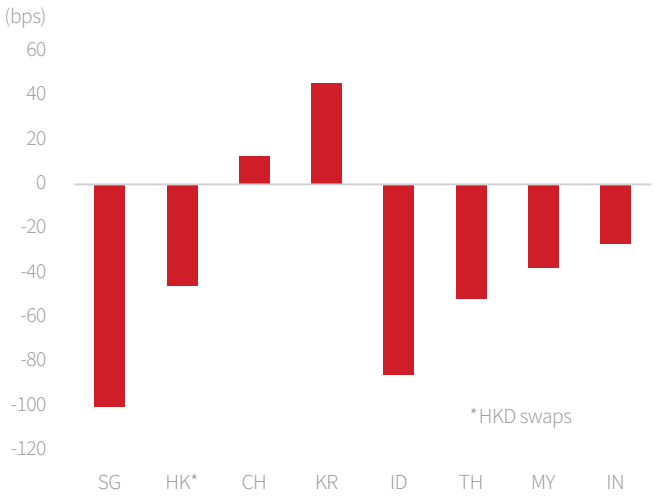
We expect IDR rates to register modest downside bias compared with regional peers. IndoGB yields are attractive after the prior spike, and further downside will be supported by a re-acceleration of BI's easing cycle. Inflation remains well contained by social-welfare measures, and CPI should remain within BI's target band. This leaves room for another 75 bps of easing by 1Q26, once FX stress subsides. Despite steady headline growth, policymakers remain concerned about uneven growth drivers. Household spending will need support through stronger real incomes and job creation. Fixed-asset investment—particularly in buildings and structures—has decelerated. Net export growth which was the key growth pillar in 3Q, remains exposed to global trade tensions. Against this backdrop, BI will prioritise faster policy transmission, particularly as banks have cut lending rates by only c.15 bps since 2H24.

YTD change in policy rates



Source: Bloomberg, DBS

YTD change in 10Y government bond yields



Source: Bloomberg, DBS

On liquidity, conditions are improving amid accelerated open-market operations. BI has intervened via secondary-market purchases and "burden-sharing" arrangements to alleviate funding stress. These measures should help absorb the pressure from a 13% increase in the government's 2026 bond maturity profile.

INR rates: RBI policy stance and supply to guide IGB yields

We expect IGB yields to remain broadly stable with a modest downside bias. Our baseline is one final RBI cut in 4Q25, followed by an extended pause through end-2026. This path reflects the RBI's cautious stance in balancing resilient growth, moderating inflation, and a weakening currency. Macro momentum remains constructive. We expect real GDP growth of 7.2% in FY26 and 6.5% in FY27. The pending trade deal with the US could provide an additional lift to the external sector and lower geopolitical premiums.

That said, two factors may cap the extent of yield compression. First, RBI could stay cautious over INR weakness. In fact, we note a USD15bn decline in FX reserves over the past month after multiple RBI interventions. Liquidity conditions have tightened, as evidenced by the wider MIBOR-repo spread. Second, fiscal risks remain. Slower-than-expected revenue growth may require cuts to public spending. Term premium could remain elevated, driving curve steepening. A softer USD alongside Fed cuts could help ease these pressures. The RBI is also likely to tighten supply management and maintain bond purchases to stabilise yields.

KRW rates: Restrained BOK decision

We expect KTB yields to drift modestly lower into early 2026, with a slight steepening bias. The BOK is expected to cease its rate cut cycle with a terminal level of 2.50%. The inflation, growth, and asset market outlook provides justification for the BOK to stay neutral. Inflation should remain anchored near 2.0%, supported by subdued oil prices and stabilising services costs. At the same time, external uncertainty persists. According to the BOK, the US' 15% tariff is expected to reduce Korea's GDP growth by 0.45 %pts in 2025 and 0.6 %pts in 2026, given that the US accounts for roughly 19% of Korea's exports.

Elevated property prices—especially in Seoul—is restraining the BOK's easing flexibility. Housing prices continue to rise despite tighter regulation zones, stricter LTV/DTI limits, and higher transaction taxes. Policymakers are also monitoring the weakness in the KRW, despite a narrowing KTB–UST spread. The BOK is therefore likely to stay on hold until FX market conditions stabilise.

Fiscal risks cap the downside of long-term KTB yields. The new government has shifted toward a more expansionary fiscal stance, resulting in rising bond supply. A supplementary budget for 2025 has already been implemented, and a record-high 2026 budget of KRW728tn (+8.1% y/y vs the initial plan) was approved on 29 Aug. The net fiscal deficit is projected to widen to 4.0% of GDP from 2.8%. Index-inclusion-related inflows could help absorb some of this increased supply.

MYR rates: Steady MGS yields with flexibility for rate cut

MYR rates should remain stable with a mild downside bias, following BNM's decision to hold its OPR in November. There was no urgency for aggressive easing, as 3Q growth was robust after the pre-emptive 25 bps rate cut in July despite US tariffs. Domestic demand remained supportive. For instance, private consumption was buttressed by positive labour conditions, reflected in the 3% jobless rate.

By keeping its powder dry, we see BNM having the flexibility to slightly reduce its OPR by 25 bps to 2.50% in 1H26, should growth conditions worsen over the coming months from downside risks such as re-escalating trade tensions and potential US semiconductor tariffs. On FX, USD strength should fade as the Fed cuts rates. Regional currencies including the MYR could stay firm, with a strong MYR providing some space for BNM to ease. Bond flows also remain supportive. According to the IIF, foreign inflows into Malaysia's debt market reached USD4bn in 1–3Q25. BNM data shows foreign holdings rising by MYR15bn YTD as of October. Fiscal consolidation continues, with the federal government deficit projected to narrow to 3.8% of GDP in 2025 and 3.5% in 2026, keeping net issuances in 2026 moderate. The benign supply-demand balance should keep MGS yields anchored. MGS is also considered attractive at this level as the negative spread against USD rates has narrowed substantiall.

PHP rates: Weaker PHP is not worrisome

We see more room for PHP rates to decline relative to Asian peers, with another 75 bp of BSP easing over the next six months on the table. A soft growth patch and a clear shift towards dovish communication at the October BSP meeting reinforce expectations for front-loaded policy support. On the currency side, the peso has underperformed regionally but we expect lighter BSP intervention. This is consistent with the central bank's stance that the peso should be market-determined. The BSP reiterated that intervention would focus on imported-inflation risks, not day-to-day volatility. While the weaker peso partially offsets tariff effects, medium-term fundamentals still point to FX resilience, supported by remittance inflows, robust services exports, still moderate inflation, and ongoing reform momentum. Meanwhile, a trade truce between the US and the rest of the world could aid the merchandise trade performance. Externally, a weaker USD amid Fed cuts should ease FX pressure and support capital flows into PHP assets.

SGD rates: Hard to repeat outperformance

SGD rates outperformance (from a receiving perspective) will be difficult to replicate in 2026. Conditions for SGD outperformance were strong in early 2025. SGD rates were relatively elevated while the MAS was keeping to an appreciatory stance for the SGDNEER. There was an additional kicker from Liberation Day as investors sought safety and diversification in SGD assets. However, things have changed. SGD rates have dropped to very low absolute levels (close 1% in the front end, and barely 2% in the ultras). In relative terms, the discount to equivalent USD rates also remains sizable (>200 bps yield discount across all tenors). Moreover, the MAS has shifted to a milder appreciatory stance for the SGD NEER, reducing another point of support for SGD rates. Bearing in mind the possibility that inflows may slow, we think SGD rates may well underperform peers in 2026.

THB rates: Still-dovish BOT

ThaiGB yields should continue to see greater downside risks compared with regional peers. While the BOT maintained its policy rate during its latest meeting in October, the dovish tone signals further easing ahead. We expect GDP growth to slow to 1.6% in 2026 from 2.1% in 2025 due to external and domestic challenges. Goods exports could contract in 2026 amid US tariff headwinds, following the surprisingly strong performance in 2025. Foreign tourism and domestic demand remain weak, with Chinese tourist arrivals still sluggish, and private consumption facing challenges from muted consumer confidence and high household debt. Domestic political uncertainty is set to rise in 1H26, as the country gears up for general elections potentially at the end of 1Q26. Amidst below target inflation, there is room for lower real interest rates to support credit growth, which remains in contraction. The BOT sees THB appreciation as challenging for export-oriented SMEs, and would be vigilant about currency strength. With the Fed easing and the ThaiGB–UST spread narrowing from 300 bps to 200 bps, THB rates could look attractive once again.

Rates forecasts

		2026				2027			
		1Q	2Q	3Q	4Q	1Q	2Q	3Q	4Q
US	3M SOFR OIS	3.63	3.38	3.38	3.38	3.38	3.38	3.38	3.38
	2Y	3.6	3.55	3.45	3.45	3.45	3.45	3.45	3.6
	10Y	4	3.9	3.9	4.05	4.2	4.3	4.4	4.5
	10Y-2Y	40	35	45	60	75	85	95	90
Japan	3M TIBOR	0.9	0.9	0.9	1.05	1.15	1.15	1.15	1.15
	2Y	0.95	1	1.05	1.1	1.2	1.25	1.3	1.35
	10Y	1.7	1.8	1.9	2	2	2	2	2
	10Y-2Y	75	80	85	90	80	75	70	65
Eurozone	3M EURIBOR	2.2	2.2	2.2	2.2	2.2	2.2	2.2	2.2
	2Y	1.95	2	2.1	2.2	2.25	2.3	2.35	2.4
	10Y	2.7	2.7	2.8	2.9	3	3	3	3
	10Y-2Y	75	70	70	70	75	70	65	60
Indonesia	3M JIBOR	5.35	5.1	5.1	5.1	5.1	5.1	5.1	5.1
	2Y	4.9	4.8	4.8	4.8	4.8	4.8	4.8	4.8
	10Y	6.1	6	6	6	6	6	6	6
	10Y-2Y	120	120	120	120	120	120	120	120
Malaysia	3M KLIBOR	3.25	3	3	3	3	3	3	3
	3Y	3.1	2.9	2.9	2.9	2.9	2.9	2.9	2.9
	10Y	3.5	3.4	3.4	3.4	3.4	3.4	3.4	3.4
	10Y-3Y	40	50	50	50	50	50	50	50
Philippines	3M NDF implied yield	4.5	4.25	4.25	4.25	4.25	4.25	4.25	4.25
	2Y	5	4.75	4.75	4.75	4.75	4.75	4.75	4.75
	10Y	5.65	5.45	5.45	5.45	5.45	5.45	5.45	5.45
	10Y-2Y	65	70	70	70	70	70	70	70
Singapore	3M SORA OIS	1.28	1.25	1.25	1.25	1.25	1.25	1.25	1.25
	2Y	1.4	1.5	1.5	1.5	1.5	1.5	1.55	1.6
	10Y	1.9	2	2	2	2.05	2.1	2.15	2.2
	10Y-2Y	50	50	50	50	55	60	60	60

Interest rates: %, eop
Interest rates spreads (10Y-2Y / 10Y-3Y): bps, eop
*swap rates

Source: CEIC, Bloomberg, DBS
Data as at 26 Nov 2025

		2026				2027			
		1Q	2Q	3Q	4Q	1Q	2Q	3Q	4Q
Thailand	3M BIBOR	1.4	1.15	1.15	1.15	1.15	1.15	1.15	1.15
	2Y	1.2	1	1	1	1	1	1	1
	10Y	1.6	1.5	1.5	1.5	1.5	1.5	1.5	1.5
	10Y-2Y	40	50	50	50	50	50	50	50
Mainland China	1Y LPR	2.9	2.8	2.65	2.65	2.65	2.65	2.55	2.55
	2Y	1.3	1.25	1.2	1.15	1.15	1.1	1.1	1.1
	10Y	1.7	1.65	1.6	1.6	1.6	1.55	1.55	1.55
	10Y-2Y	40	40	40	45	45	45	45	45
Hong Kong, SAR	3M HIBOR	2.75	2.5	2.5	2.5	2.5	2.5	2.5	2.5
	2Y*	2.6	2.55	2.45	2.45	2.45	2.45	2.45	2.6
	10Y*	3	2.9	2.9	3.05	3.2	3.3	3.4	3.5
	10Y-2Y	40	35	45	60	75	85	95	90
Korea	3M CD	2.84	2.56	2.57	2.60	2.60	2.60	2.60	2.60
	3Y	2.56	2.46	2.58	2.80	2.80	2.80	2.80	2.80
	10Y	2.77	2.81	2.94	3.15	3.15	3.15	3.15	3.15
	10Y-3Y	21	35	36	35	35	35	35	35
India	3M MIBOR	6	6	6	6	6	6	6	6
	2Y	5.7	5.6	5.6	5.6	5.6	5.6	5.6	5.6
	10Y	6.4	6.3	6.3	6.3	6.3	6.3	6.3	6.3
	10Y-2Y	70	70	70	70	70	70	70	70

Interest rates: %, eop
Interest rates spreads (10Y-2Y / 10Y-3Y): bps, eop
*swap rates

Source: CEIC, Bloomberg, DBS
Data as at 26 Nov 2025

Hedge & Seek

Source: Unsplash

Global Credit 1Q26

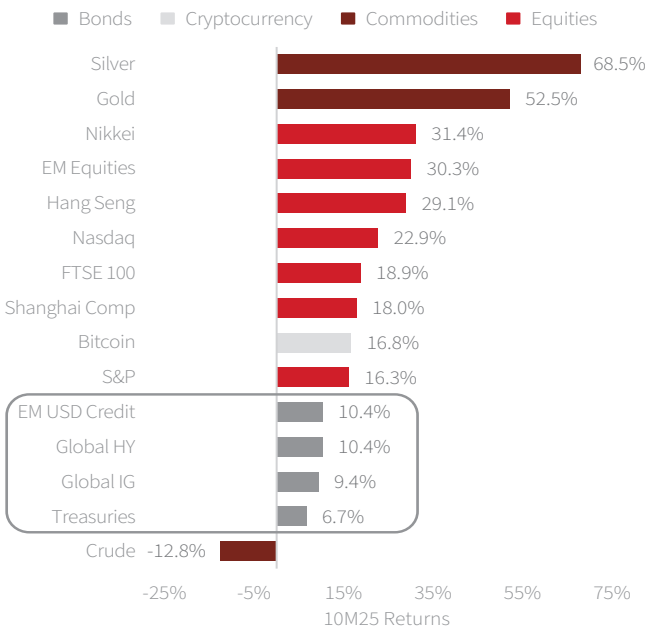
Bonds have regained hedging properties against equity risk while the purchasing power of cash is eroded under sticky inflation and rate cuts. Favour A/BBB IG credit while maintaining a 5–7Y portfolio duration, complementing with TIPS and MBS for alpha.

Global Credit

Daryl Ho, CFA
Strategist

2025 did not turn out as we thought it would. Imagine for a moment that one had the "fortune" of meeting a time-traveller way back in Dec 2024, bringing the biggest news events of 2025 as a gift of foreknowledge in investment decision-making. "Firstly", he says, "China would create a large language model – called DeepSeek – which rivals ChatGPT and US supremacy in the AI race. Then, President Trump will unleash sweeping trade tariffs across many countries – including a baseline 10% for all imports – on a day he calls Liberation Day. At some point, he even threatens 145% tariffs on China. Finally, the US will attack and destroy three nuclear enrichment facilities in Iran through a military operation in response to an escalating Israel-Iran conflict." The rational investor would have taken much risk off the table, which, with the benefit of hindsight, would have been a terrible decision to make given that the markets had defied all logic with one of the broadest risk rallies in 2025.

Bonds underperformed in the "everything" rally of 2025

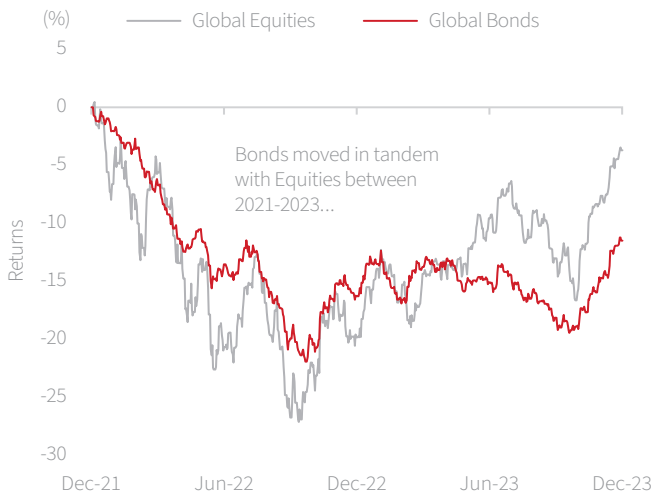


Source: Bloomberg, DBS

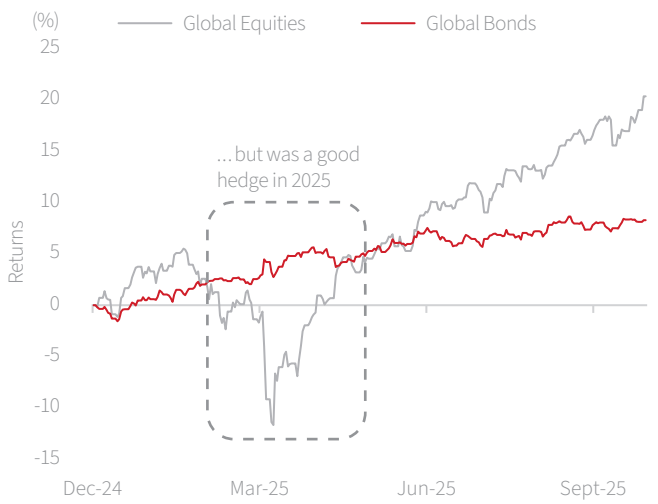
Conservatism was not rewarded. It is difficult to think of any investor being too disappointed with a year in which they could make money buying anything from commercial paper to cryptocurrency. Yet one could imagine bond investors – the ever-faithful harbingers of doom and gloom – feeling like they missed out on substantial returns, even though all the facts seemed in favour of risk-aversion. Make no mistake – the 7.3% returns in Treasuries or the 9.5% returns in global IG credit for just the first nine months of 2025 were no small feat. If one were to judge this performance purely through a fixed income lens, it is quite remarkable. However, knowing that markets often base their expectations on relative performance, bond investors who cannot resist a covetous glance towards the equity or precious metals markets would inevitably feel that sense of green-eyed envy.

Looking for unseen benefits. This is why the judgement of the merits of an investment allocation into bonds just by its absolute returns in the period risks overlooking what its purpose in the overall portfolio is. Suffice to say, few go into bonds expecting high-octane returns; by virtue of its lower-risk characteristics one should normally expect it to underperform higher risk assets like equities or commodities. But therein lies the crux of why bonds are often underappreciated – because it is simply more difficult to visualise risk-adjusted returns than total returns. Take 2025 for example. Global equities returned c.20% against the c.10% in global IG credit for the first nine months of the year. To a casual observer, equities appear better. However, the weekly volatility of global equities in the same period was c.2.1%, more than three times that of global IG credit of c.0.6%. Yes, equity investors got twice the returns, but it took more than three times the "risk" to get there. Are bonds therefore better? Those who make comparisons are still missing the point; the main takeaway – and one that balanced investors should celebrate – is that equities did an excellent job as an offensive asset, and that bonds did an excellent job as a defensive asset in 2025.

Bonds have lost their hedging properties before…



…but have regained them in 2025

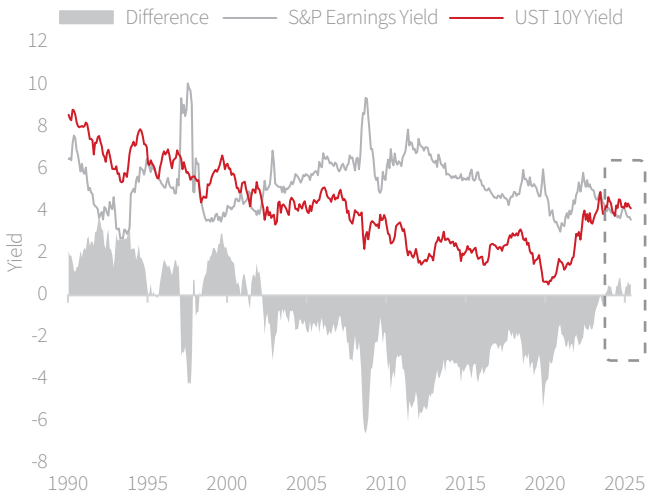


Source: Bloomberg, DBS

Bonds getting their mojo back. Amid the "everything rally", we believe that one of the biggest defensive advantages of a bond allocation went unnoticed in 2025. Much has been said about the rising bond-equity correlations and how bonds have lost their hedging characteristics, especially when observing the equity-bond performances between 2022-2023. However, that no longer holds; bonds have now seemingly regained their hedging properties as the Fed pivoted to a cutting cycle. During Liberation Day – arguably the biggest risk event of 2025 – while global equities saw a peak-to-trough drawdown of c.16%, global bonds were a bastion of stability, protecting portfolios from much uncertainty during the same period. As such, reports of the death of bonds as a portfolio hedge, we believe, have been greatly exaggerated.

Bond yields above earnings yields. The recovery of this hedging characteristic is owed in part to two key developments over the last three years, namely (a) the aggressive prior hiking cycle making bond yields attractive, and (b) the impressive performance of global equities resulting in richer valuations. Together, this has resulted in 10Y US Treasury yields exceeding the S&P earnings yield in 2025. Whenever an uncertain growth environment then threatens to upend the robust expectations in equity earnings, investors find the switch to contractual returns of bonds at similar yields appealing; such rotations being the quintessential mechanism of a good hedge.

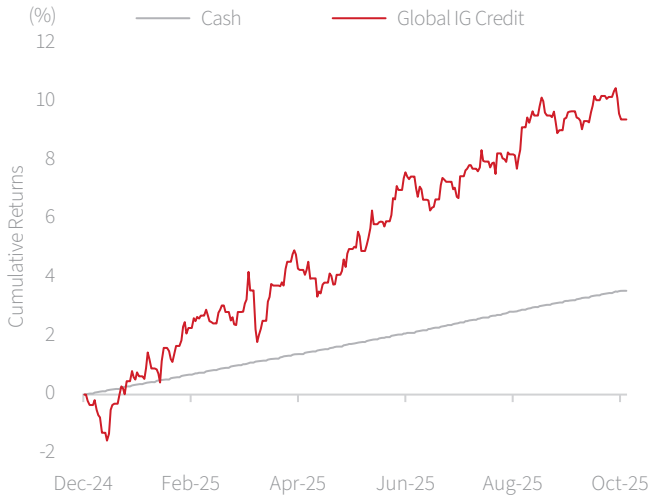
Bond yields have risen above earnings yields in 2025



Source: Bloomberg, DBS

Credit outpaced cash amid rate cuts. The other benefit of a bond allocation in 2025 was its widening outperformance over cash returns. Lest we forget, a high conviction call we had for bonds in 2025 was that it would become a good cash alternative as central banks around the world pivoted towards a cutting cycle. Since then, deposits and T-bill rates have collapsed, rendering cash returns inadequate; one could even consider cash the "riskiest" asset since inflation is far from subdued, and likely stickier with the implementation of universal tariffs – resulting in the erosion of purchasing power. Credit returns however, have continued to outpace cash given some duration sensitivity and additional spread premium, and are likely to continue its outperformance as the US Federal Reserve has finally joined in the chorus of global rate cuts again in 2H25. For this reason, we continue to encourage the rotation of cash to credit.

Credit continues to outpace cash

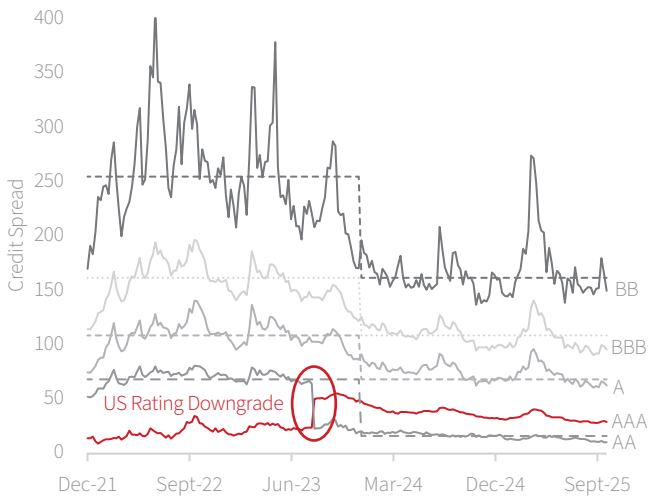


Source: Bloomberg, DBS

Why credit spreads can stay tight. One persistent refrain around credit is the extremely tight valuations around spreads. Are investors still fairly compensated with spreads at all-time tights? We have spoken at length about (a) corporate issuers approaching this cycle with healthier balance sheets, and (b) the Fed having set precedents around purchasing corporate debt as part of the policy toolkit as fundamental reasons why tight spreads are justified. However, waiting for spreads to widen for a better entry point is often a fruitless endeavour; seasoned credit investors know that spreads tend to trend towards tighter-than-average levels most of the time, until some infrequent exogenous growth shock rattles expectations. One can compare this to Newton's first law of motion – objects in motion remain in motion until they encounter an unbalanced force. Similarly, tightening spreads will continue to tighten until they encounter a growth shock. At this juncture, while we expect growth to moderate, there is limited reason to believe that we will encounter a full-blown recession in the near term given that (a) fiscal spending remains supportive, (b) monetary policy has turned accommodative, and (c) business bankruptcies and defaults remain benign.

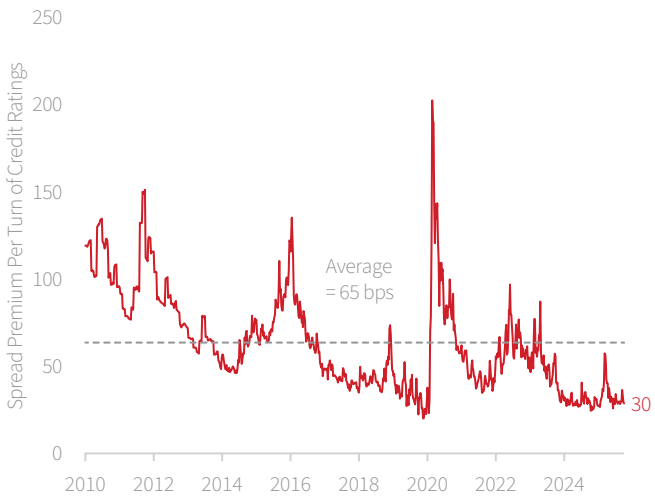
A dearth of safe assets. There is another strong technical reason that bonds – especially IG credit – would continue to be well bid in the medium term. With the downgrade of US debt from AAA to AA+, the world is suddenly short of riskless assets to invest in, and investors have no choice but to coalesce around IG credit as the next best bet. You can imagine this as a compression of the opportunity set from both ends of the risk spectrum. On the riskier end, investors who are cautious about lofty equity valuations tend to allocate more towards credit as they move up the capital structure. On the "riskless" end, investors who are concerned with expanding government debt and deficits and uncomfortable with the growing volatility in treasury rates would also prefer to take credit risk for the additional spread compensation. One can clearly see this pattern of chasing quality credit over the last three years – there has been a stepwise migration where 2022 levels of BB/BBB/A spreads are today's BBB/A/AA spreads. Investors are also having less discretion within the ratings sub-categories of IG credit – where it once paid a premium of c.65 bps on average going down a notch in ratings, today an investor is only compensated c.30 bps for that same incremental credit risk exposure.

Yesterday's A spreads are today's BBB spreads



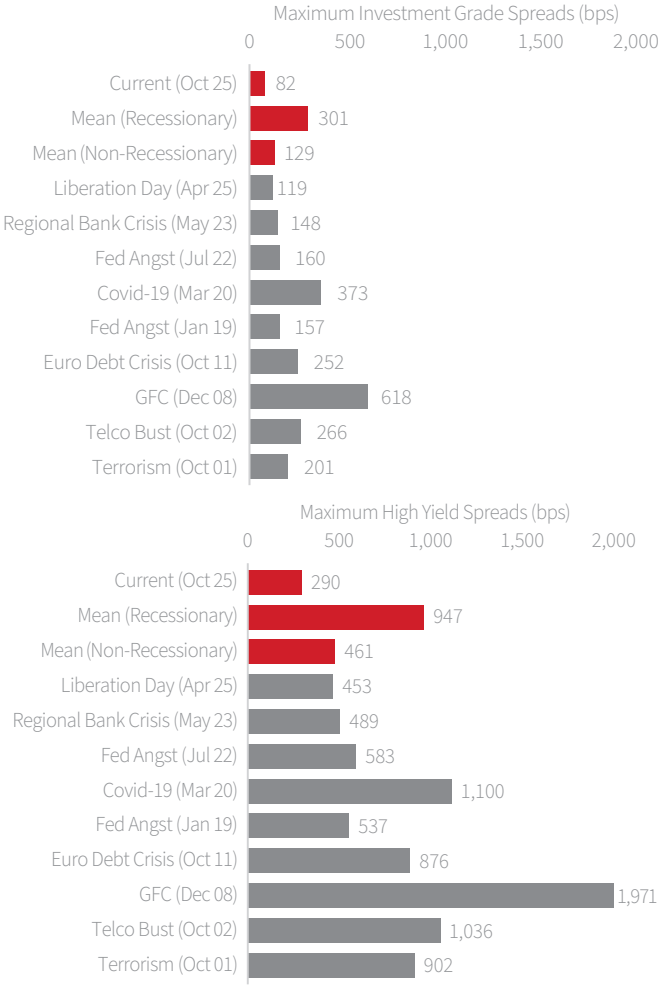
Source: Bloomberg, DBS

Investors are less discerning within the sub-categories of IG credit



Source: Bloomberg, DBS

Current spread levels against historical episodes of distress



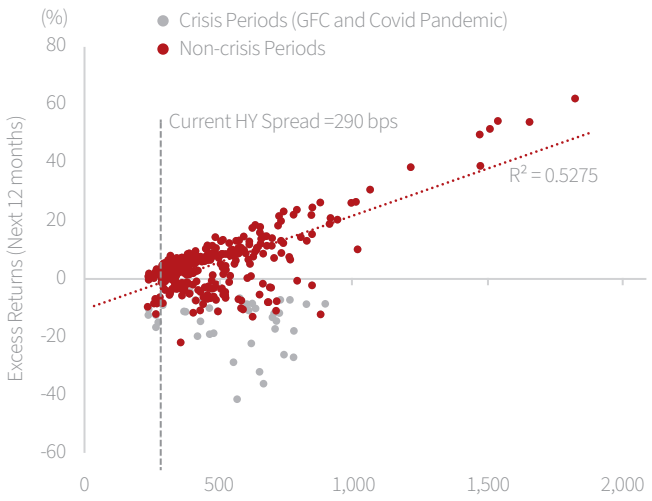
		IG	HY
Non-recessionary	Coupon return	4.4%	6.8%
	Spread return	-2.3%	-5.2%
	Rates return	-0.1%	-0.1%
	Total return	**2.0%**	**1.5%**
Recessionary	Coupon return	4.4%	6.8%
	Spread return	-9.5%	-20.3%
	Rates return	6.6%	4.9%
	Total return	**1.5%**	**-8.7%**

Source: Bloomberg, DBS

Not all credit risk is good risk. This is not to say that credit investors should be indiscriminate when it comes to taking risk. While we believe spreads in general have reason to stay tight given the supportive environment of stable growth and lower policy rates, we think that risk-reward imbalances are now much more pronounced for HY investors given the mix of a moderation of growth and tight valuations. To illustrate how tight HY spreads currently are, we juxtaposed current spreads against their intra-month ranges over historical episodes of distress. Present levels of c.290 bps remain far outside the levels observed during market strain, far below even the norms under non-recessionary conditions. This implies that HY credit is priced for perfection, with risk of underperformance should we enter another period of uncertainty; plenty of opportunity for that under an era of seemingly erratic policymaking around a fragmented world today.

Back of envelope sensitivity calculations. Based on the above figures, we perform a "back of the envelope" calculation for a theoretical intermediate duration IG credit portfolio against a HY portfolio, assuming spread and rates changes under both recessionary and non-recessionary conditions. Under both instances, a HY portfolio underperforms an IG portfolio based on certain assumptions of mean reversion in spreads. Taken another way, a historical regression of current spreads against 12-month forward excess returns also paints a daunting picture. Stripping out crisis-era distortions, current HY spread levels would potentially produce no excess returns in the coming one-year period – meaning that investors would likely see little difference between investing in HY credit and risk-free Treasuries on average. If taking on more risk is not commensurate with more returns, why should we?

Current HY spreads indicate low probability of excess returns



Source: Bloomberg, DBS

In conclusion, we continue to emphasise an up-in-quality stance in fixed income, especially with the recovery of IG credit's hedging characteristics in a portfolio. The Fed cutting cycle implies that cash and bill rates are facing inordinate reinvestment risk, which should prompt investors to shift towards cash alternative strategies such as short-duration (2-3Y) high quality credit (Liquid+ strategy) at the margin. For a fixed income portfolio, investors should stay up in quality with A/BBB credit, given better relative value in IG absolute yields vs HY. Portfolios with government bond allocations should consider "government+" securities such as Treasury Inflation-Protected Securities (TIPS) and Mortgage-Backed Securities (MBS) to add alpha. The sweet spot in duration remains in the 5-7Y bucket. While spread valuations are tight, we believe that the stable growth and accommodative policy mix are ideal conditions for spreads products to perform well. With the world increasingly short of risk-free assets, we believe that the relative safety that quality IG bonds offer would eventually justify their pricey valuations.

The Dollar's Plot Twist

Global Currencies 1Q26

USD strength, contrary to earlier negative narratives, is supported by technicals, a less dovish Fed, and resilient US growth. Tactical USD upside is expected in 1Q26. EUR, GBP, CHF, and JPY face headwinds, while AUD shows resilience. SGD and RMB remain range-bound.

Global Currencies

Terence Wu
Strategist

Carie Li
Strategist

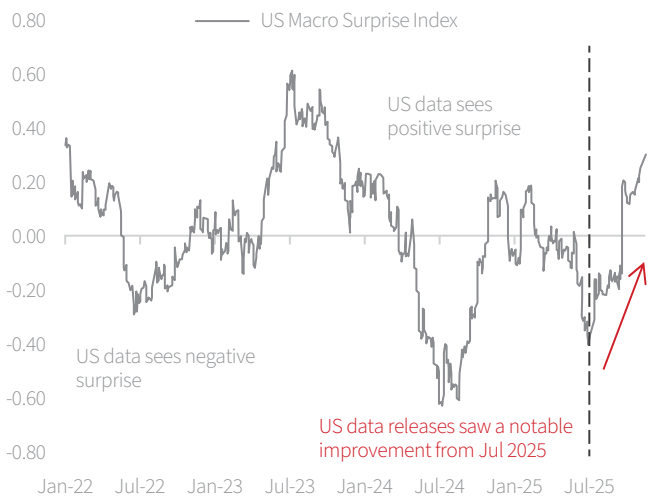
Price action not responding to the USD-negative narrative. In 4Q25, we called for a gradual and orderly USD decline. The primary arguments were the Fed's outsized rate cut trajectory and the (unquantifiable) Trump/MAGA preference for a weaker USD. However, price action has not kept up with this narrative, as the DXY Index settled into a slow climb, while mostly staying within the range limits set since Jun 2025. As we went deeper into 4Q, it became clear that the USD-downside may not come through as expected.

The technical picture has shifted in favour of USD bulls. The DXY Index has been sideways between 96.50 and 100.30 since June. This may be forming an extended base after the outsized 1H25 decline. This consolidation range keeps the DXY Index above a multi-year uptrend line. More recently, the 10 – 17 Oct dip was arrested above the 50- and 100-DMA support, and the 6 – 13 Nov dip was also arrested above 99.00. These brief and shallow declines leave the DXY Index supported nearer the top of the recent range, and reinforces the bullish bias that may have started in September. A clean breach of 100.26 would favour further upward extension to the next targets of 100.64 (200-DMA), 101.55 (January 38.2% Fibo), and 101.98 (May high).

The USD-narrative may be starting to turn. The Fed-driven, USD-negative narrative has been diluted by Powell, who warned that future rate cuts should not be seen as a given, and that US growth upgrades may be in store. Indeed, since Powell's comments at the October FOMC, comments from Fed speakers have been divergent. On the more neutral side, Hammack and Barr both cited inflation as a concern, while Musalem hinted at a US growth rebound in 2026. On the flip side, Waller repeated his view that a 25 bps rate cut at the December FOMC will be a good "risk management" move, where he is seeing "months of weakening". This divergent view has already translated into a more supported USD. Any sustained turnaround in the expectations of the Fed's rate path will be USD-positive.

AI-driven capex investments resulting in stronger-than-expected US growth. Notwithstanding the data delays due to the government shutdown, available US data releases have been coming in stronger than expected. The US Macro Surprise Index (MSI) shows that positive data surprises have taken hold since Jul 2025, and the US MSI has consistently outperformed the corresponding Eurozone MSI since August. However, it is still important to caveat that it is too early to be calling a new phase of US macro exceptionalism. Eurozone macro outcomes have been unexciting, but still broadly solid – consensus estimates for most Eurozone growth metrics have been consistently revised higher through 2025, albeit at a slow pace. Survey-based odds of a Eurozone recession over the next 12 months have also receded to 20%. The worst in China is also arguably over. With ROW growth not slumping, the impact of resilient US growth on FX will not be outsized.

US macro data increasingly surprises on the upside



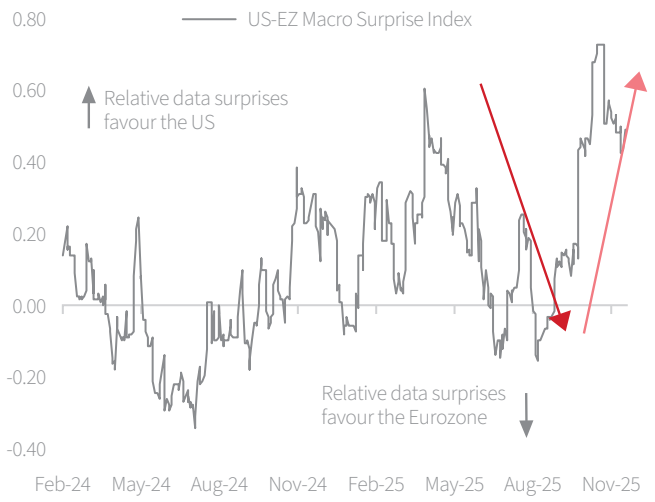
Source: Bloomberg, DBS

Scope for some tactical USD upside. Taken together, there may be tactical USD upside in 1Q26 if overly dovish Fed rate-cut expectations fade. Further out, there is still insufficient signs of US macro exceptionalism for us to turn USD-positive in a multi-quarter basis. Thus, we still retain a net USD-negative view deeper into 2026.

Eurozone-US growth gap needs to widen further for more EUR-USD upside. The European Central Bank (ECB) is in an extended pause, compared to the Fed's rate cut trajectory. ECB-Fed policy

divergence supports EUR-USD downside, but is in itself not enough to drive the EUR-USD towards 1.2000. That will require a widening of the Eurozone-US growth gap in favour of the Eurozone. For now, solid but unexciting improvements to the Eurozone growth metrics have been overshadowed by a stronger-than-expected US economy. This is in no small part due to the heavy market attention towards the tech sector-led capex investment cycle in the US. The resultant compression of the Eurozone-US relative growth gap then limits EUR-USD upside. EUR bulls should find more joy expressing themselves against the CHF and GBP. For the EUR-CHF, we cannot rule out SNB influence in limiting CHF strength near 0.9200.

US growth has firmed relative to the Eurozone since mid-2025



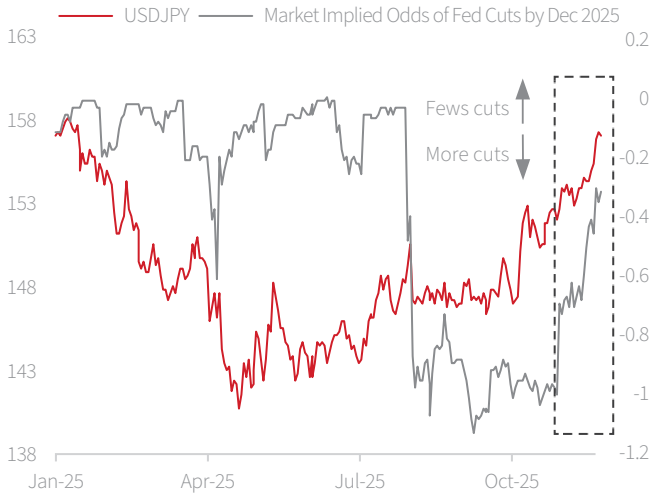
Source: Bloomberg, DBS

No joy for the GBP so long as fiscal concerns remain. Short covering supported a GBP rally as the UK Budget signalled a more restrained approach to borrowing, easing fiscal concerns and driving down long-end Gilt yields. However, the rally may prove shallow, as UK fiscal concerns look unlikely to be fully addressed. Although a series of tax hikes and spending promises would provide the UK government with a larger fiscal headroom, such credibility-boosting policies that tighten government purse strings will undermine the surprisingly firm UK growth, which has been the key driver supporting the GBP in 2025. Even the BOE is unlikely to bring cheer for GBP bulls. Apart from the Fed, the market is most dovish on the BOE through 2026. More rate cuts could be priced in for the BOE if the UK economy weakens as a result of fiscal austerity. This divergent policy stance relative to the majority of G-10 central banks should be the basis for GBP underperformance relative to G-10 peers.

CHF to be range-bound with downside risks. Fundamentally, the broad risk-on trend after the MarApr shock has reduced the haven demand for the CHF. Yield differential arguments have also moved further against the CHF relative to the USD and EUR over the past month. This yield-driven headwind for the CHF will be here to stay so long as the SNB is not in the position to hike. Furthermore, even if the SNB refrains from cutting rates into negative territory, persistent imported deflation may prompt the central bank to intervene to curb CHF strength. The USD-CHF may have turned the corner after the Jan-Sep decline. The move has scope for upside towards 0.8150-0.8170. Meanwhile, long EUR-CHF is a cleaner expression for CHF weakness.

Post-Takaichi JPY weakness will not be easily reversed. Since Takaichi unexpectedly won the Liberal Democratic Party (LDP) leadership election in early October, the trading range of USD-JPY has gradually shifted higher. On a positive note, the new Prime Minister Takaichi's loose fiscal policy has not deterred the BOJ from leaning hawkish. The board is now considering a 25 bps rate hike in either December or January. Any significant spring wage hikes could strengthen the case for BOJ rate hikes. Nonetheless, hawkish BOJ leanings may not necessarily translate into a firmer JPY as the Fed's rate-cut trajectory has been a more influential USD-JPY driver. The rebound in the JPY is possible if Japan intervenes in the market, which could happen when there is a rapid and big upward move in the USD-JPY spot and implied volatility. Any intervention-driven rally, however, will only be short-lived. Overall, JPY weakness will not be easily reversed unless the FED-BOJ monetary policy divergence widens notably. In 1Q26, the currency pair is expected to trade mainly within the range of 151-159.

USDJPY surged amid the pricing-out of a December Fed rate cut



Source: Bloomberg, DBS

AUD expected to be the most resilient against USD strength. While the USD is supported by the Fed rate-cut repricing, the AUD is likely to be less vulnerable as Australia's sticky inflation and resilient labour market have allowed the RBA to push back against rate-cut expectations. The market sees no more rate cuts from the RBA by the end of 2026. As a China-proxy, the AUD has also benefited from improved relations between the US and China. Given that the latest US equity market pullbacks are likely to be transitory, overall sentiment should remain broadly upbeat and supportive of the AUD. From a technical perspective, AUD-USD has held up well in the uptrend channel YTD, despite the brief dip in April. Should AUD-USD stay firmly above 0.6400-0.6450, a retesting of 0.6600-0.6700 is very likely in 1Q26.

YTD upward channel of AUDUSD remains intact with strong support at 0.64

Source: Bloomberg, DBS

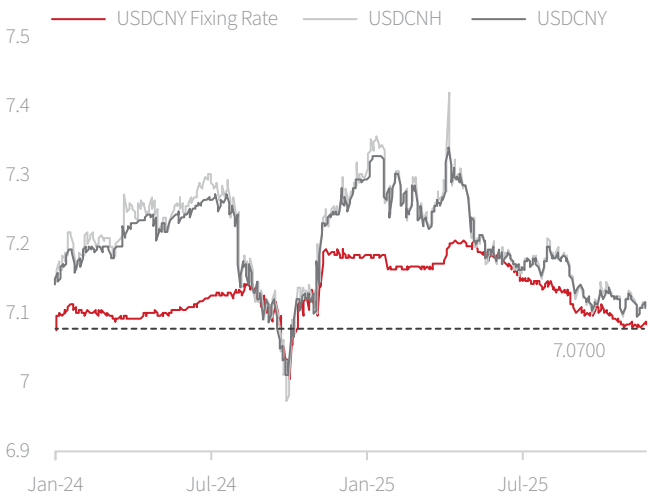
SGD remains soft against the basket. Against our estimated S$NEER basket of currencies, note that the SGD has been weakening since Jul 2025. While the slide may have slowed, it is showing no sign of a reversal higher. With the market not fully ruling out an easing action in upcoming MAS decisions, the SGD may remain soft against the basket of currencies going forward. Meanwhile, the USD-SGD shows a strong correlation (between 0.80 and 0.90) with the DXY Index. Thus, we see the USD-SGD movement as a derivative to broad USD directionality in the near-term. In fact, the USD-SGD is showing more upside traction than the DXY Index itself, as the SGD is also experiencing some weakness on a basket basis. On the whole, the USD-SGD may still be hovering around the 1.3000 handle in the near-term. Downside towards 1.2500 will require a stronger USD weakness phase.

S$NEER Index has slipped lower from the strong end of the tolerance band since Jul 2025

Source: Bloomberg, DBS

RMB still lacks upward momentum. The increasingly less dovish tone of the PBOC, lowered USD-CNY daily fixing rates, improved US-China relations, and capital inflows into China's onshore market have supported the RMB in remaining the top-performing Asian currency in 4Q25. Chinese companies' seasonal need to sell foreign currency holdings has been RMB-positive as well. However, USD-CNH's downside may be limited due to US-China yield differential. The PBOC's resumption of open-market sovereign bond buying and the still-sluggish local economy have capped the upside of Chinese government bond yields. Meanwhile, US Treasury yields have shown limited downside due to the Fed's cautious stance and ongoing fiscal

PBOC's daily fixing rate has put a floor under the USD-RMB decline



Source: Bloomberg, DBS

concerns. Notably, as long as the PBOC only gradually adjusts the USD-CNY daily fixing rates lower, it could be a strong signal that the central bank prefers currency stability and is not keen to accelerate the RMB strength. In short, the USD-CNH is expected to cap at 7.1500, with the downside floored in the range of 7.0600-7.0800.

HKD spot and rates may remain range bound. As the aggregate balance remains unchanged at HKD54bn, the HKD rates market has been volatile, with 1M HIBOR hovering between 2% and 4%, driven by equity flows, seasonal factors, and IPO activities. Meanwhile, should the Fed prefer a cautious stance on rate cuts, the downside of USD rates may be limited, making it a long way to go for USD-HKD to hit 7.7500. In other words, it may take some time before the Hong Kong Monetary Authority (HKMA) intervenes at the strong end of the currency band. Unless the aggregate balance grows back towards HKD100bn or above, HIBOR may not see a sustainable move below 2%.

Forecast: Currencies

	1Q26	2Q26	3Q26	4Q26	1Q27	2Q27	3Q27	4Q27
USD/CNY	7.06	7.02	7.00	7.02	7.04	7.04	7.06	7.06
USD/HKD	7.78	7.78	7.78	7.78	7.79	7.79	7.80	7.80
USD/INR	88.2	87.8	87.4	87.8	88.1	88.5	88.9	88.9
USD/IDR	16,510	16,380	16,250	16,350	16,440	16,540	16,630	16,630
USD/MYR	4.08	4.04	4.00	4.03	4.05	4.08	4.10	4.10
USD/PHP	57.5	56.4	55.3	55.6	56.0	56.4	56.7	56.7
USD/SGD	1.27	1.26	1.24	1.25	1.25	1.26	1.27	1.27
USD/KRW	1,420	1,395	1,370	1,375	1,380	1,385	1,390	1,390
USD/THB	31.7	31.2	30.6	30.9	31.1	31.3	31.5	31.5
USD/VND	26,330	26,330	26,320	26,410	26,490	26,580	26,670	26,670
AUD/USD	0.67	0.68	0.69	0.69	0.68	0.68	0.68	0.68
USD/CAD	1.38	1.36	1.35	1.35	1.36	1.36	1.36	1.36
EUR/USD	1.18	1.20	1.21	1.20	1.20	1.19	1.18	1.18
USD/JPY	149	145	141	142	142	143	144	144
NZD/USD	0.59	0.60	0.61	0.61	0.60	0.60	0.60	0.60
USD/CHF	0.79	0.79	0.78	0.79	0.79	0.80	0.80	0.80
GBP/USD	1.34	1.36	1.37	1.37	1.37	1.36	1.36	1.36
DXY Index	97.1	95.6	94.0	94.8	95.5	96.3	97.0	97.0

Eurozone and United Kingdom are direct quotes

Source: Bloomberg, DBS
Data as at 26 Nov 2025

Rate Cut Tailwinds

Commodities 1Q26

A trade truce and rate cut tailwinds contribute to a more sanguine macro-outlook for commodities in 2026. However, the persistence of tariffs underscores our preference to remain selective. Industrial metals, in particular copper and rare earth elements, look well positioned given their strategic importance.

Commodities

Goh Jun Yong
Strategist

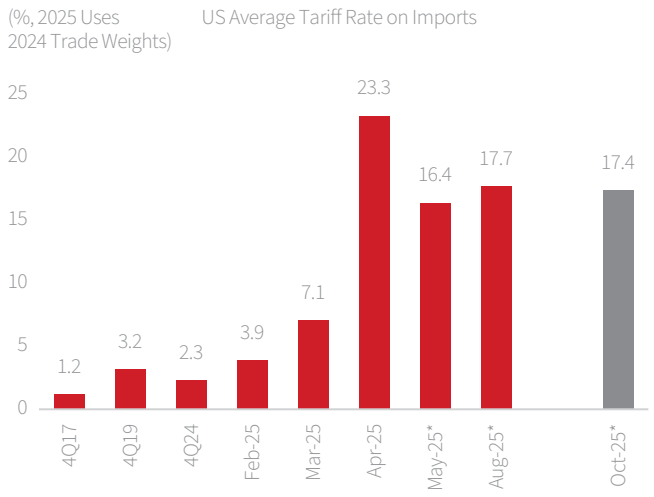
Pragmatism prevailed (barely). Global growth prospects received a mild boost after US President Donald Trump met with Chinese president Xi Jinping in a much-anticipated trade negotiation in Busan last October. While the resulting trade truce was not the fundamental reset everyone had hoped for, it was a step in the right direction for global trade. Key outcomes from the meeting are as follows:

- China to resume soya bean purchases from the US
- China to suspend rare earths export curbs for a year
- US to cut "fentanyl" tariff rate on Chinese imports from 20% to 10% for a year
- US to suspend additional 24% rate initially imposed on China in April for another year

Although the effective US tariff rate post-truce remains essentially unchanged, the silver lining is that the global economy has had the past nine months to redraw supply chains, and to some extent, mitigate the dampening effects of the tariffs. For example, China has reduced its reliance on the US as a direct export destination to c.10% of total exports (down from a peak of 20% previously). Additionally, the lengthened time frame of this agreement (one year as opposed to the prior 90 days truce), should provide businesses and markets with more certainty heading into 2026.

Potential IEEPA invalidation. Another factor that could surprise global growth on the upside in 2026 is the possible invalidation of Trump's International Emergency Economic Powers Act (IEEPA) tariffs by the US Supreme court. If the IEEPA tariffs are successfully struck down (and no new tariffs are implemented under other legal authorities), effective tariff rates could drop significantly from 17.4% to 9.1%, reducing long-run GDP damage from -0.4% to -0.1%. Such a scenario, while positive for growth, seems unlikely to fully materialise. Treasury Secretary Scott Bessent has publicly commented that if the IEEPA tariffs were eventually struck down, the Trump administration would simply switch to other tariff authorities such as Section 122 of the Trade Act of 1974 and re-impose similar tariffs in their place. Given its potentially high impact, this development should be kept on our radar.

US effective tariff rate marginally lower



Source: J.P. Morgan Global Economics, Historical Statistics of the United States Ea424-434, Monthly Treasury Statement, Bureau of Economic Analysis, The Budget Lab Analysis
*Calculated on a post-substitution basis
Data as at 30 Oct 2025

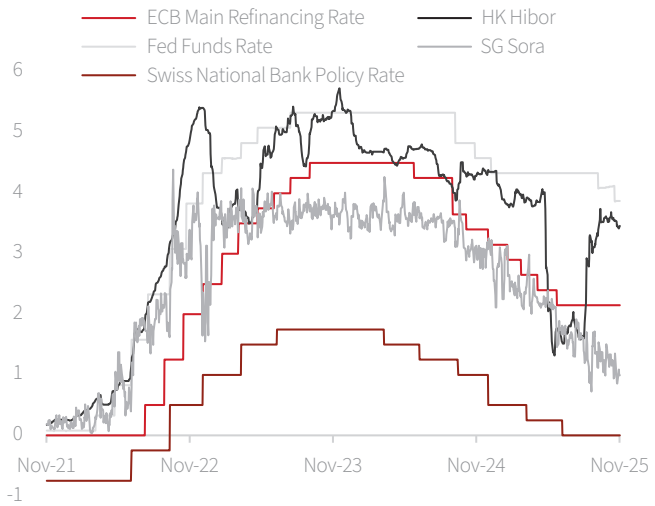
Summary of economic & fiscal effects of 2025 tariffs through 30 Oct

	Baseline	IEEPA Invalidation
Effective Tariff Rates		
Overall, Pre-substitution	17.90%	9.10%
Overall, Post-substitution	17.40%	9.10%
Output and Employment		
Percentage Point Change in 4Q-4Q GDP Growth, 2025	-0.5	-0.4
Percentage Point Change in 4Q-4Q GDP Growth, 2026	-0.5	0.1
Percent Change in Long-Run GDP	-0.35%	-0.10%
Change in the Unemployment Rate, End of 2026	0.7	0.2

Source: Congressional Budget Office, S&P Global, GTAP v7 [Corong et al (2017)], GTAP-RD, The Budget Lab Analysis

Rate cuts tailwinds. In addition to a more benign macro backdrop, the potential for further monetary easing is another key tailwind for commodities in 2026. Key benchmark rates in Europe and Asia have already trended down to a lower neutral rate, and the Fed appears to be following suit. They have delivered three rate cuts in 2025, and could possibly implement two more in 2026. Against this backdrop of a pre-emptive rate cutting cycle, where the trajectory is more gradual and there are no signs of overt economic stress, commodities should generally perform well.

Key benchmark rates have trended down with room for further easing

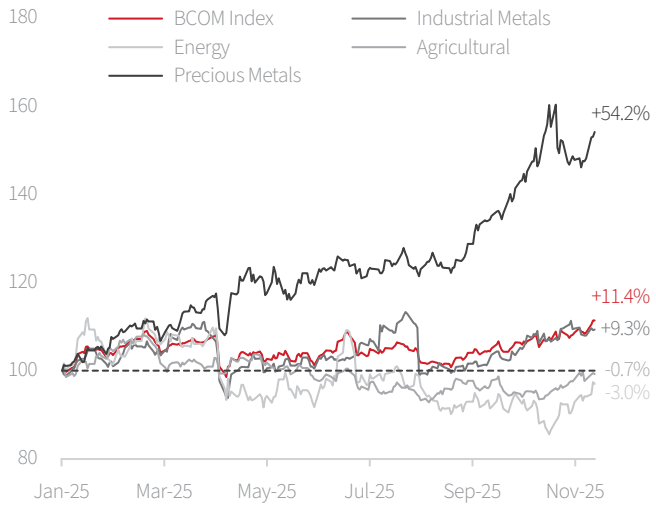


Source: Bloomberg, DBS

Not without challenges. Despite a more sanguine macro-outlook, we remain realistic about the demand outlook for commodities in 2026. On balance, we see upside from looser monetary policy and a recalibrated trade backdrop, but these will be partially offset by persistent tariffs and higher costs. It will be crucial to continue monitoring data points such as GDP growth, PMI, and inflation for any deviations from this base case and pivot our stance accordingly. Currently, GDP growth has picked up marginally in the US and Europe, while China has stabilised at just under +5% y/y. Inflation risks remain to the upside due to tariffs, and major divergences from the current trajectory are unlikely. In terms of PMI, we see a broad outperformance of services vs manufacturing – a trend we expect to persist. This suggests that commodities linked to services (increasingly technology dependent) will outperform those tied to industrial and construction demand.

Remain selective on opportunities. How then should we position ourselves within the commodities complex? The improved macro backdrop warrants a less bearish call than in 2025, but given the lack of significant growth catalysts, we continue to advocate for a selective stance. In terms of commodity sub-sectors, the current bifurcation of precious metals vs the rest will persist given the structural tailwinds (monetary debasement, heightened uncertainty, and central bank reserve diversification) for the former. Energy looks set for another middling year amid supply glut concerns, though downside support will likely be strong given OPEC+ willingness to adjust production. Favourable supply in many crops will cap agri-product prices on aggregate, with the World Bank forecasting flat to slightly lower prices for 2026. For industrial metals, we expect a generally positive year, though performance will be bifurcated in favour of those with structural demand drivers (e.g., copper for electrification and rare earths for technology application).

Bifurcation to continue in 2026



Source: Bloomberg, DBS

Industrial metals

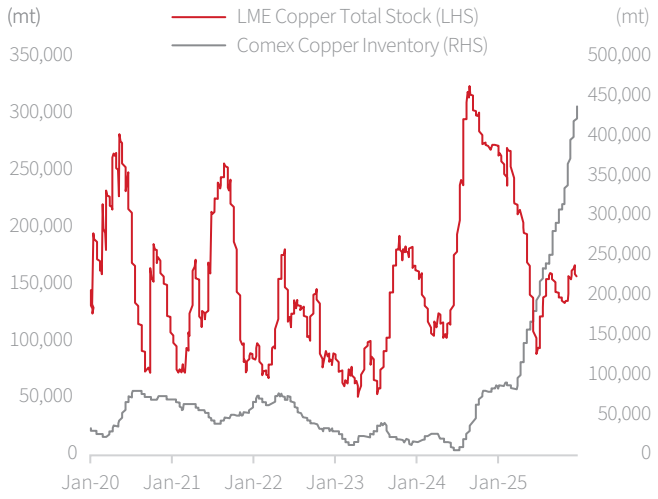
Copper: Positive Setup

Tighter balances from mine supply disruption. LME copper prices rose to a record high of USD11,200/mt in 4Q25, fuelled by expectations of market tightness after an accident in Grasberg mine in Indonesia – the world's second largest copper mine by production volume. All mining activity remain suspended following the accident on 8 Sep, and operator Freeport McMoran estimates the mine will only return to full operating capacity in 2027. Grasberg produced 815,000 tonnes (4% of global supply) in 2024, and its closure is expected to materially affect copper supply in 2026. Based on preliminary assessments by analysts at Benchmark Mineral Intelligence, the 2026 global market is forecasted to face a shortfall of 400,000 tonnes, up from prior estimates of 72,000 tonnes. Goldman

Sachs, however, believes strong supply growth from mines in the DR Congo will help to offset that deficit. But overall, the market is expecting tighter balances this year due to the disruption.

Comex-LME arbitrage price cycle. In addition to mine supply disruption, copper prices could continue to be propped up by the Comex-LME price arbitrage. Higher Comex prices incentivise US import arbitrage and pulls stocks into the US, necessitating higher near-dated LME prices to stop the flow of copper into the US. While LME positioning is already stretched given the recent price rally (based on speculative net length), current open interest on the Comex side suggests that there is still room for further inflows into the US. LME copper total stocks (both on and cancelled warrant) are at c.157,000mt as at 29 Dec 2025, well above its 5-year low of c.51,000mt in Apr 2023, suggesting there is room for this price cycle to continue.

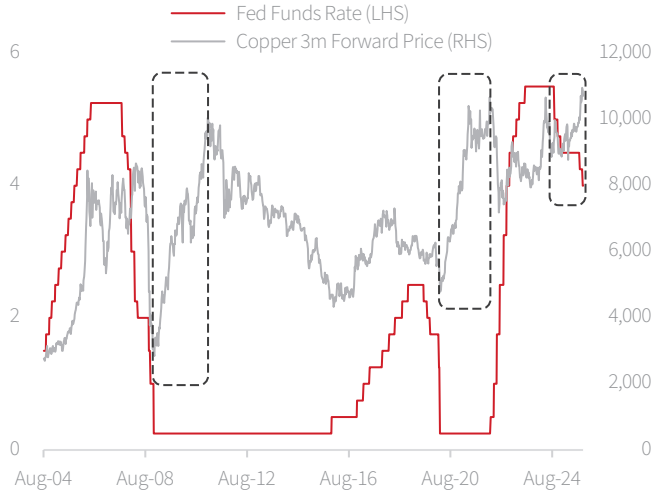
LME copper inventory remains well above historic lows



Source: Bloomberg, DBS

Further support from rate cuts. Finally, a potentially dovish Fed could provide further support for copper prices in 2026. Historically, copper prices have rallied in response to the Fed's rate cutting cycles – lower rates tend to boost structural demand drivers for copper, as many are interest-rate sensitive (e.g., projects linked to AI infrastructure build-out like data centres and power grid construction, as well as green infrastructure such as solar panels and wind turbines).

Copper has historically received a boost from rate cuts



Source: Bloomberg, DBS

Rare earth elements

Solid long-term growth outlook for magnet REEs. As indicated in our previous publications, rare earth elements (REE) are used in a wide variety of technology applications, a large part of which are attributable to the ongoing digital and clean energy transitions. In 2023, the single largest use of REEs was for permanent magnets, such as those in electric vehicles and wind turbines – a trend we expect to continue. Demand is likely to shift away from REEs such as lanthanum and cerium, which are used in more traditional applications (e.g., catalysts for chemical processes). Instead, Adamas Intelligence estimates that the demand for Neodymium Iron Boron (NdFeB) magnets will grow at a 7.5% CAGR between 2023 to 2040. There have been attempts by companies to reduce dependence on REEs due to potential environmental impacts and price volatility; however, we think such efforts will have a relatively limited impact on REE demand for the next few years due to the following reasons:

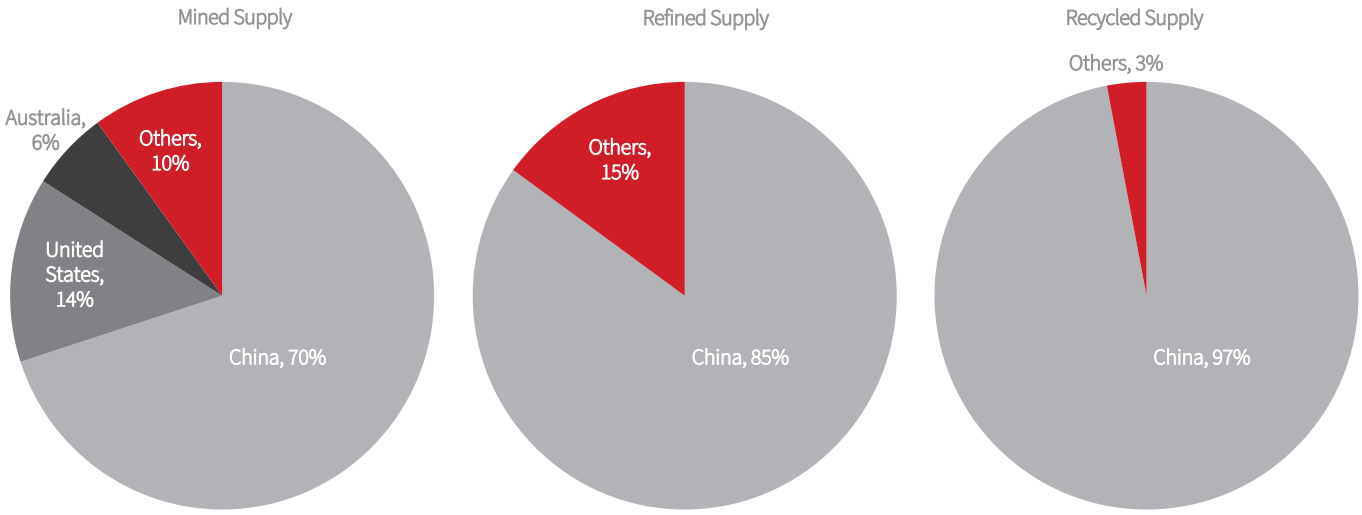
- Non-REE magnets still come at a significant cost in terms of weight and efficiency, and have yet to become viable substitutes for EVs
- Reductions in REE use in wind turbines are expected to be outpaced by the growth in the overall wind power industry itself
- The uniquity of REE use in everyday electronics and other digital devices ensures demand is reasonably diversified

Risks and opportunities. Despite being called "rare earth", the name is a misnomer as REEs are relatively abundant in the earth's crust. What makes them difficult to access is how they are not often available in densities that make mining operations cost effective.

Additionally, the processing of REEs is a challenging and costly endeavour. As a result, the REE supply chain is highly concentrated in a small number of countries, most notably China. China leads the REE supply chain, accounting for 70% of mining, 85% of processing, 92% of magnet production, and 97% of recycled REE supply. Most major REE firms, such as China Northern Rare Earth Group, are based in there. This dominance has enabled China to ban or threaten to ban REE exports to other countries on multiple occasions, spiking prices in the process. Such risks have created expansion opportunities in the REE industry; US-based MP Materials has invested USD700mn to grow its operations, positioning itself as the only fully integrated rare earths company in North America. Australia-based Lynas Rare Earths is also expanding its processing efforts in a bid to meet REE demand from parties trying to diversify away from China's supply chain.

Proxy for innovation. A solid long-term growth outlook from digitalisation and the clean energy transition, coupled with ongoing efforts by both the private and public sectors of various countries to diversify the currently concentrated supply chain, position REEs as a key area of focus for investors moving forward. While REEs are not exchange-traded due to the lack of standardisation and opaque pricing, investors can gain indirect exposure through publicly listed miners/producers, thematic ETFs, and private market opportunities.

REE supply chain, % share by country



Source: Global X ETFs with information derived from: Wood Mackenzie (2022,March 23), Rare earths: vital elements of the energy transition, Politico (2022, December 14), China Dominates the Rare Earths Market, This U.S. Mine Is Trying to Change That, United States Geological Survey (USGS), Mineral Commodity Summaries: Rare Earths 2023

Finding True Diversification

Alternatives: Gold, Private Assets & Hedge Funds 1Q26

Gold's recent correction was a blip in its long-term uptrend. Monetary debasement, uncertainty, and central bank buying continue to power its ascent. Physical gold offers investors a way to express the theme of scarcity. Buffett's waning edge signals the end of easy alpha. Alternatives offer excess returns via the use of evergreen vehicles.

Gold: Rinse and Repeat

Goh Jun Yong
Strategist

Making sense of the latest fall. Gold made several seismic moves in 2H25, rallying strongly from August to October (+32.4% trough to peak) and correcting sharply thereafter in late October (-9.8% peak to trough). The rally was brought on by a combination of factors, including labour market weakness, anticipation of US rate cuts, and fears of "fiscal dominance" following Trump's attempted removal of Lisa Cook from the Federal Reserve's Board of Governors. However, what do we make of the subsequent correction? Is it a turning point for the gold market, or simply a blip in the longer-term bull trend? We argue it is more of the latter. Some profit-taking after a period of intense inflows is healthy and does not detract from our overall investment thesis.

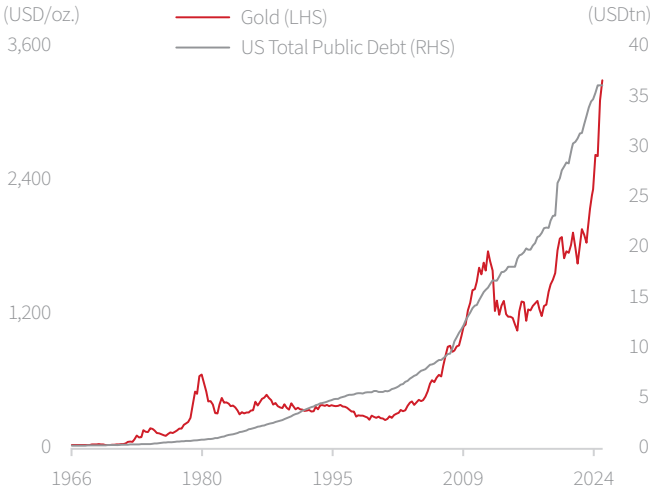
Gold's 2H25 trajectory: Rally and subsequent respite

Source: Bloomberg, DBS
Data as at 20 Nov 2025

Playing a broken record. We discussed in a previous report how, despite recent price appreciation, gold's fundamentals remain strong, and this continues to be the case. Specifically, the following tailwinds for the precious metal are still at play:

i. **US fiscal concerns:** The US national debt currently sits at c.USD36tn and looks set to expand further given the expansionary nature of Trump's OBBB and the non-discretionary nature of the majority (c.72%) of US fiscal spending. This will only raise fears of fiscal dominance moving forward and simultaneously exacerbate monetary debasement risk. With Fed Chair Powell having announced the end of QT last year, the significance of this tailwind will only grow moving forward.

Gold price relative to US public debt over the decades

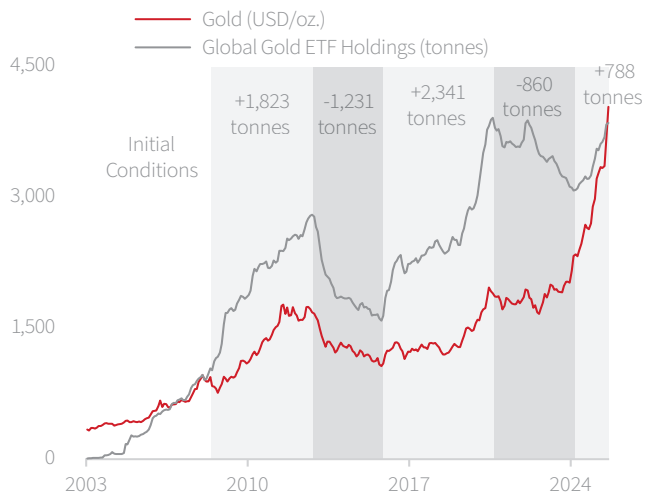


Source: Bloomberg, US Department of the Treasury, Federal Reserve Bank of St. Louis, DBS

ii. **Geopolitical and macroeconomic uncertainty:** Notwithstanding a slight détente in US-China relations, the world continues to grapple with elevated uncertainty around trade policy, geopolitics, inflation, and growth. Inflation has been sticky above the Fed's 2% target level while growth has been dampened by tariffs. The quiet strain on the real economy stands in stark contrast with the exuberant valuations of equity markets, fuelling fears of a potential market correction. This fear has and will continue to fuel investment flows into

gold ETFs, bar, and coin. While total gold ETF holdings have returned to their 2020 Covid-19 peak, we believe new highs are in order—we are only 74 weeks into the current ETF bull market and holdings have only increased by 788 tonnes. This is still far below what we saw in the 2008 and 2016 ETF bull markets, which lasted 221 and 253 weeks, and added 1,823 tonnes and 2,341 tonnes in holdings respectively.

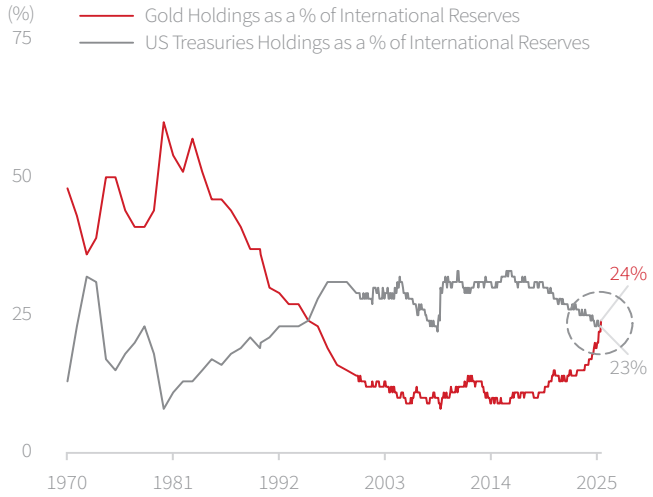
Nascent stages of the next ETF bull market



Source: Bloomberg, World Gold Council
Data as at 8 Oct 2025

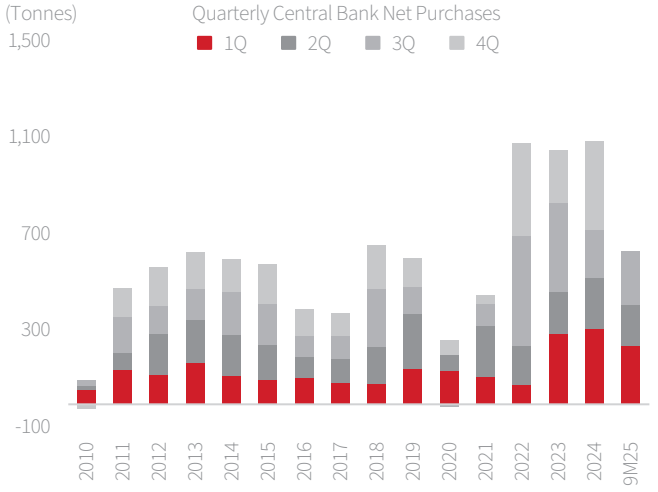
iii. **Central bank reserve diversification:** The 2022 Russia-Ukraine conflict was a turning point for gold; financial sanctions imposed on Russia highlighted dollar risk and sparked a gold buying spree among central banks. Consequently, we saw central bank gold buying exceed 1,000 tonnes for the next three consecutive years from 2022 to 2024. This was more than double the historical average of 473 tonnes in the preceding decade (2011–2021). Pending 4Q25 figures, central bank buying for the full year (2025) is expected to land between 750–900 tonnes which is still significantly above trend and very sizable, given record gold prices in 2025. Today, central banks worldwide hold more gold than treasuries, and their intention to buy remains stronger than ever. The 2025 central bank survey by the World Gold Council affirms the hypothesis that central banks are still strongly in favour of increasing gold allocations with a record 95% of respondents believing that official global gold reserves will increase over the next 12 months, and 43% believing that their own gold reserves will also increase during the same period.

Central banks now hold more gold than treasuries but buying impetus remains



Source: Visual Capitalist, Tavi costa, Crescat Capital LLC

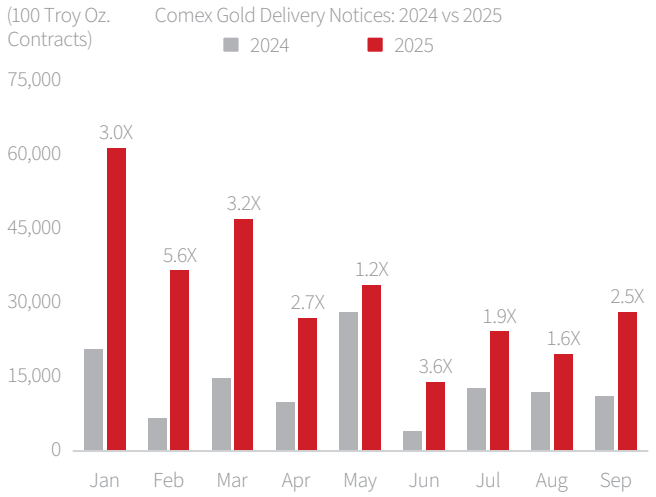
Central banks have bought 634 tonnes of gold in 9M25



Source: Metal Focus, Refinitiv GFMS, World Gold Council, DBS

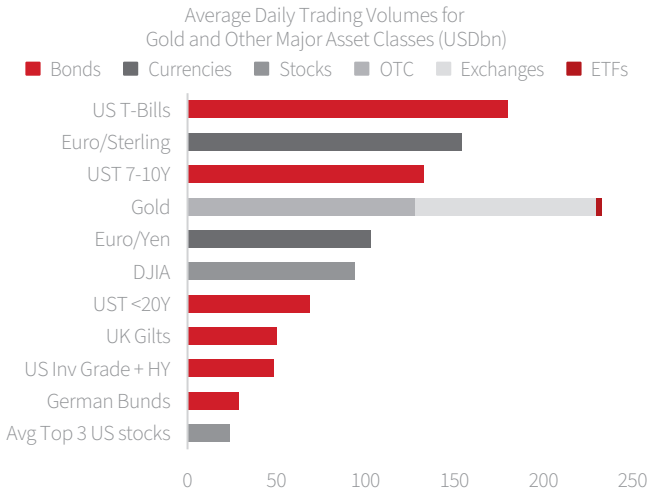
Are things getting physical? Amid elevated equity valuations, investors have started pivoting towards real assets as a form of portfolio diversification/protection. We are seeing this pivot in the gold space as well. Gold bar and coin demand was surprisingly strong in 2025, surpassing 300 tonnes for the fourth quarter in a row in 3Q25—a streak last seen in 2013. 2025 also saw a sharp increase in COMEX gold delivery notices (official notifications from sellers in a gold futures contract that they are ready for physical delivery as opposed to cash settlement), though this could be more a result of arbitrage seekers taking advantage of price discrepancies between COMEX and LBMA. Anecdotally, however, we did see a clear increase in client interest for physical gold in 2025.

Sharp increase in physical delivery for gold in 2025



Source: COMEX, DBS

Paper gold is one of the most traded financial instruments in the world



Source: Gold Council, Metals Focus, Refinitiv GFMS, Securities Industry and Financial Markets Association, Pew Research Institute
Data as at 31 Dec 2024

The great divide. It is a truism that the paper market for gold (e.g. futures, OTC derivatives, and non-physically backed ETFs) is larger than the physical market. Fractional reserve practices, leverage in futures markets, and derivatives/synthetic gold instruments create an inflated notional value of paper gold contracts which typically far exceeds the amount of physical gold that is available for delivery. Because of this discrepancy, there is a hypothetical risk that the amount of physical gold on hand will be insufficient to meet the demand if large numbers of paper gold holders demand physical delivery. This risk is growing in relevance today, given the aforementioned pivot towards real assets and shifting investor preferences towards hard assets where there is no counter-party risk.

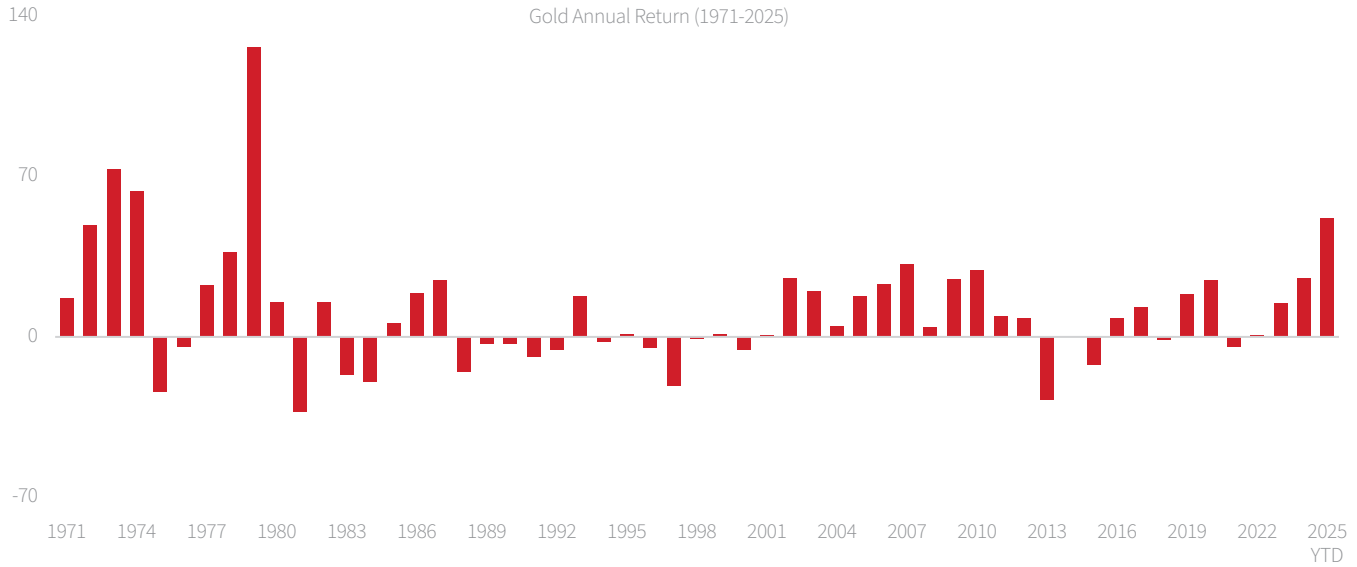
Mind the gap. So how likely is there to be an actual short squeeze on physical gold? To answer this question, we need to quantify the "gap" between the paper and physical gold market. Trading volumes for paper gold suggest this gap is substantial. Based on figures published by the World Gold Council, the daily traded value of paper gold (inclusive of exchange-traded and OTC derivatives and ETFs) in 2024 (which was USD232.8bn) could cover the entire non-jewellery physical gold market of USD9tn in just 39 days of trading. However, if we look at open interest rather than notional value as a proxy for physical delivery, the risk falls significantly. As at 3 Nov 2025, COMEX open interest for gold futures was approximately 45mn troy oz., while COMEX gold inventories held roughly at 38mn troy oz. which translates into a coverage ratio of approximately 84%. The true multiple of paper to physical gold (and the associated risk of a short squeeze on physical gold) is probably somewhere in the middle, but regardless of whether there is an acute physical short squeeze, physical gold, with its scarce supply and established track record as a safe haven asset, is well-positioned in an environment of ample and rising liquidity.

Where do we go from here? 2025 saw gold conquer the USD3,000/oz. and USD4,000/oz. milestones. Following such intense flows, we are seeing some short-term volatility as investors rebalance their portfolios and take profit. However, we believe that the long-term investment thesis for gold remains intact as monetary debasement risk, persistent geopolitical and macroeconomic uncertainty, and central bank reserve diversification continue to provide tailwinds for the asset class. As such, **we bring our 1H26 TP and 2H26 TP to USD4,500/oz. and USD5,100/oz. respectively,** based on a DXY forecast of 95.6 and 94.8 and the 10Y US Treasury yield of 3.9% and 4.2% by 1H26 and 2H26 respectively.

Longer horizon forecasts. While we believe that gold is still in a bull market, an annual return of >50% is likely to be the exception than the norm. We covered in our 2Q25 CIO Insights report that a more holistic and normalised way of looking at gold's long-term (>10 years) normalised return is to break it down into two distinct components, i.e. *an economic component and a financial component*.

- *Economic component:* Consumer demand (from technology and jewellery) and long-term investment demand (including central bank demand)
- *Financial component:* Shorter-term investment demand and hedging demand

Gold's return in 2025 was exceptional but not unprecedented



Source: Bloomberg, DBS
Note: 2025 YTD return is as at 5 Nov 2025

Using this framework, the primary driver of gold price over an extended time horizon is nominal GDP with global equity and bond market capitalisation acting as an offsetting factor (via the substitution effect). A linear regression analysis using annual data from 1971 to 2024, yielded a positive coefficient between global nominal GDP and the price of gold (i.e. 2.5) and a negative coefficient between global equity and bond market capitalisation and the price of gold (i.e. -1.0). More importantly, the analysis produced an R-squared value of 90% (i.e. 90% of variance in gold price can be explained by a combination of nominal GDP and global equity and bond market capitalisation), indicating a strong fit of dependent and independent variables.

Gold long-term price model (1971–2024)

Dependent variable	Log gold price (USD/oz.)
Log global nominal GDP[1]	2.471
Log global equity[2] and bond[3] market capitalisation	-1.020
Observations	54
R-squared value	90%

Source: Gold price used in this analysis is the LBMA London PM session spot price, sourced from Bloomberg.
(1) Nominal GDP is sourced from the Federal Reserve Bank of St. Louis FRED database.
(2) World equity market capitalisation by World Federation of Exchanges is sourced from the World Bank database.
(3) World bond market capitalisation is proxied by "Amount Outstanding of International Debt Securities for All Issuers, All Maturities, Residence of Issuer in All countries" by BIS, which is sourced from the Federal Reserve Bank of St. Louis FRED database.

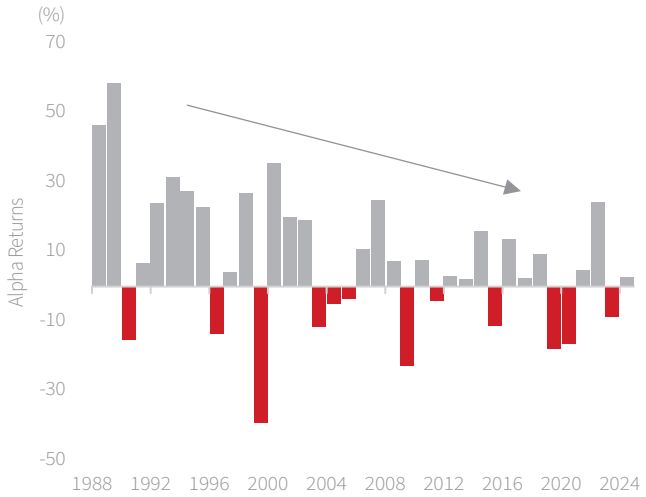
USD6,600/oz. target by 2030. Using this framework as a guide, we can predict gold's average annualised return with the help of third-party estimates for nominal GDP and world equity and bond market capitalisation. Using estimates provided by JP Morgan's 30th Long-Term Capital Markets Assumptions report, we arrive at an estimated annualised return of c.6.6% for gold over a 10–15-year horizon (based on the annual nominal GDP growth of 5.1%, AC World Equity return of 7.0%, and World Government Bonds return of 4.3% with a 60/40 weightage respectively). Applying this growth rate to our end-2026 TP of USD5,100/oz., we arrive at a 2030 TP price of USD6,600/oz.

Private Assets & Hedge Funds: No Alpha, No Cry

Daryl Ho, CFA
Strategist

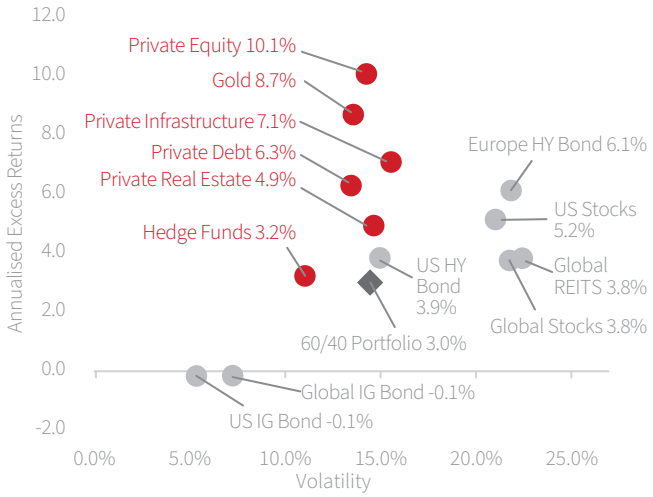
The hard search for alpha. The recent decline in Buffett's excess returns is a timely reminder that even the most celebrated investors cannot escape the changing currents of the market. At its peak, Buffett's outperformance had been attributed to his privileged access to low-risk stocks of high-quality businesses at attractive entry valuations. Today, however, such strategies can be easily implemented through low-cost passive funds. Consequently, the exclusivity premium that once underpinned Buffett's edge has eroded and the Buffett-style investing increasingly mirrors broad indices performance. Indeed, the age of easy outperformance is drawing to a close. As alpha becomes harder to capture, investors seeking to stay ahead need to look beyond conventional approaches. Alternatives, such as private assets and hedge funds, have delivered higher excess returns with lower volatility than the traditional 60/40 portfolio, and can be worthy considerations.

Buffett's waning alpha



Source: Bloomberg, DBS

Alternatives outperform 60/40 with higher excess returns and lower volatility

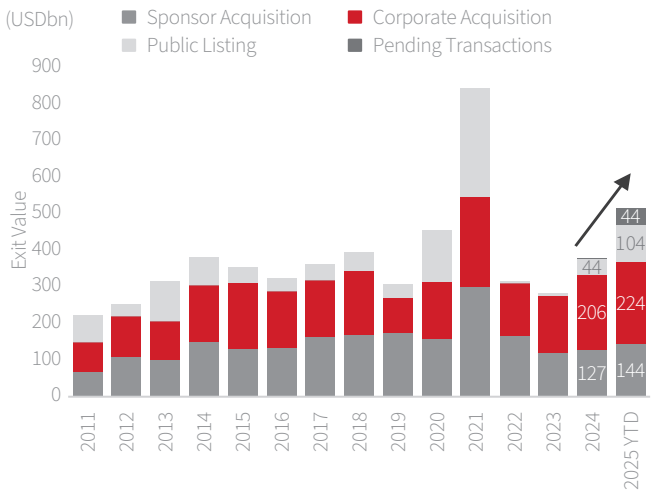


Source: Pitchbook, Bloomberg, DBS
Note: Excess returns were computed relative to 10Y US Treasury returns. Historical returns from Mar 2002 to Sep 2025 were sampled

Private equity's next leg up. Beyond high excess returns and low volatility, the macro tailwinds for private assets, particularly private equity, are compelling. As the Fed proceeds with quantitative easing and further rate cuts, financing costs are expected to fall and will likely boost exit activity, even as falling discount rates lift valuations. Over the past year, IPO and M&A exit value have already increased c.2.4x and c.1.08x respectively. Barring any growth declines, 2025 could deliver the strongest exit volume since 2021. Importantly, private equity remains undervalued relative to public counterparts. The valuation gap with the S&P 500 has widened to 4.1x since our last report, marking the most significant divergence in at least a decade, and highlights private equity's relative appeal.

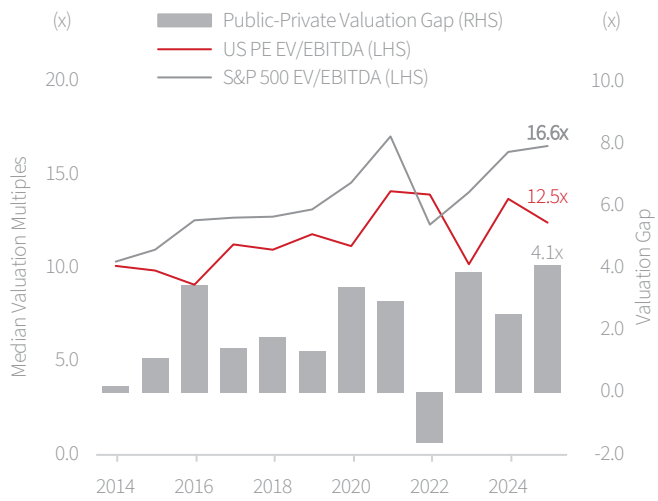
Private credit holding its ground. Private credit markets navigated a challenging sentiment landscape in recent months, shaped by high-profile defaults in syndicated loan markets such as Tricolor and First Brands. While these events occurred outside private credit, they have nevertheless amplified concerns around credit risk in the broader opaque lending market. Against this backdrop,

Potential signs of recovery in IPO and M&A



Source: Pitchbook, DBS

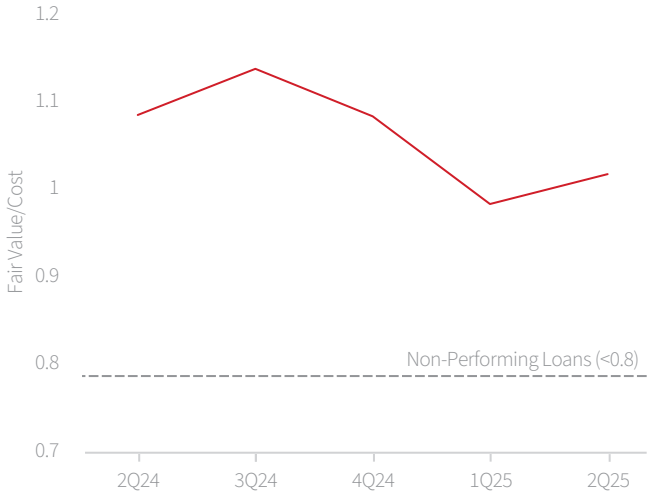
PE valuations still at their most attractive relative to public equity in a decade



Source: Pitchbook, Bloomberg, DBS

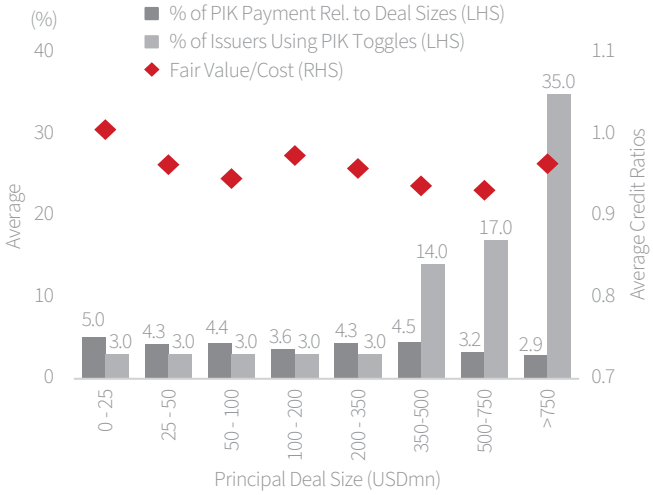
we analysed c.30k private credit senior secured loans. Following MSCI's methodology (which treats loans valued at less than 80% of cost basis as non-performing), we found that although the metric dipped briefly to 0.98 in early 2025 amid fiscal and rate uncertainty, it has maintained well above the 0.80 threshold, and has additionally displayed some signs of bottoming out. Drilling a layer deeper reveals small private credit deals likely supported this metric recovery. In addition to higher fair value/cost ratio, small deals generally saw less instances of payment-in-kind (PIK) toggles. That said, we notice that the average PIK interest of smaller deals has trended higher than larger deals. However, we think the rate cuts ahead would generally lower borrowers' interest expenses, improve liquidity, alleviate default risk, and could ultimately lower PIK interest.

Private credit loans remain above industry threshold for non-performance



Source: Pitchbook, MSCI, DBS

Smaller deals show stronger ratios and fewer PIKs, but higher average PIK interest

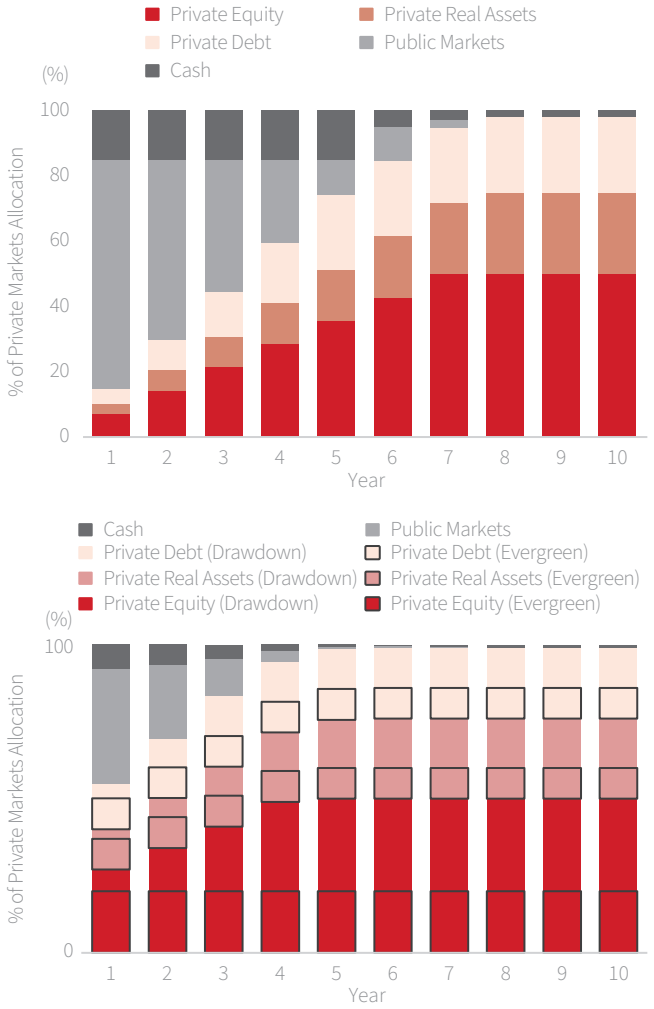


Source: PGIM, Pitchbook, DBS

Breaking the chains of lock-ups. In parallel with the aforementioned developments in private equity and private credit, a broader push is underway to address liquidity challenges for individual investors seeking access to private markets. Traditionally, private assets have been highly illiquid, requiring investors to lock up capital for roughly five years to meet staged capital calls in a

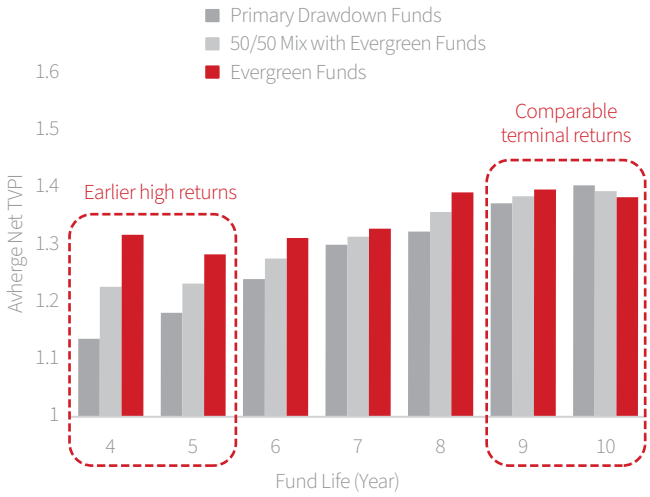
drawdown structure before seeing any distributions. Evergreen vehicles offer a compelling alternative by providing earlier distributions and redemption flexibility, and in some cases, requiring only a soft lock of one to two years. They do so by maintaining a liquidity sleeve as a redemption buffer, while deploying capital immediately into mature underlying investments for compounding, enabling investors to reach full private markets exposure much faster, and shortening the J-curve. Our Monte Carlo analysis of historical returns for drawdown and evergreen vehicles supports this view, revealing earlier and higher returns for evergreen funds, while achieving comparable terminal outcomes over a 10-year horizon. For individual investors with liquidity constraints, this uplift in return multiples within a shorter window is particularly attractive.

Evergreen funds expedite private markets allocation



Source: DBS
Note: For illustration purposes only

Evergreen funds deliver faster and higher returns with terminal outcomes on par with drawdown structures

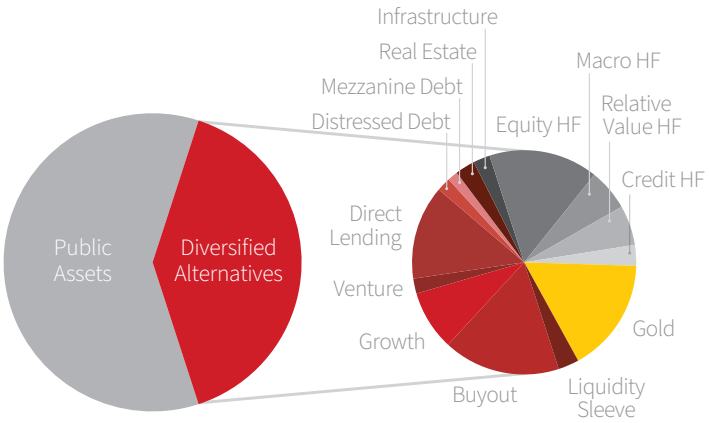


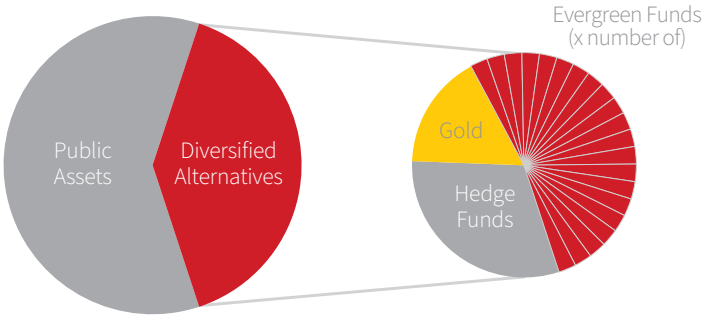
Source: Pitchbook, DBS
Note: 5000 Monte Carlo simulations on TVPI of reported primary, secondary and co-investment funds. Evergreen funds assume 60% secondaries, 20% co-investments and 20% primary funds

Building upon these insights, we see a compelling case for using evergreen vehicles as building blocks to the alternatives allocation within a hybrid public-private portfolio. This fund-of-funds approach can streamline access to alternatives, enhance operational efficiency, and deliver economies of scale for investors who might otherwise have to source and manage commitments to multiple tranches of primary funds separately. Additionally, this enables the active calibration of a portfolio's liquidity profile as market conditions evolve, lending investors the agility to navigate volatility.

Brushstrokes meet blueprints. In reality, the construction of the aforementioned portfolio is as much an art as it is a science, demanding both rigorous statistical analyses and appropriate adaptations. While mean-variance optimisation (MVO) provides a familiar framework for portfolio construction, several challenges emerge when attempting to optimise portfolios containing private assets. First, private markets returns often appear smooth due to infrequent pricing. The short history of private markets returns can additionally mask their true volatility. Therefore, statistical techniques need to be employed to "desmooth" these data by referencing public market proxies and adjusting for factors like leverage to better reflect the realities of private investments. However, because private assets frequently exhibit non-normal return patterns such as fat tails and more pronounced skewness, traditional risk measures like volatility can still fall short. Instead, alternative risk metrics such as Conditional Value at Risk (CVaR) can be deployed in a Mean-CVaR optimisation for a better outcome. While volatility measures deviation of returns around their mean, CVaR estimates the losses from bad outcomes, offering a more comprehensive and institutional treatment of risk.

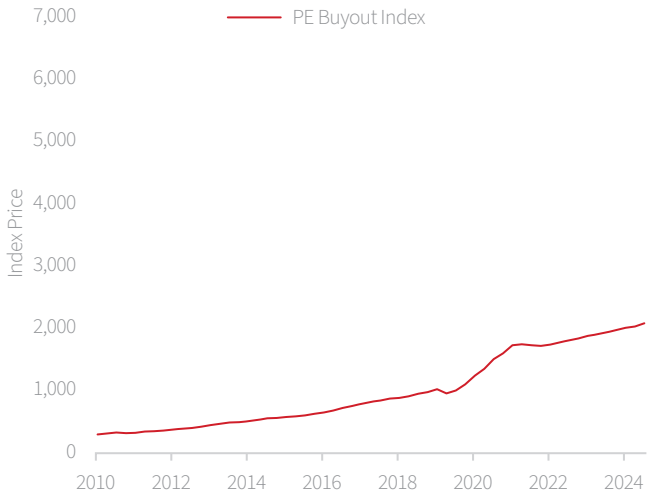
Evergreen vehicles can be used to build a diversified alternatives allocation rapidly and flexibly

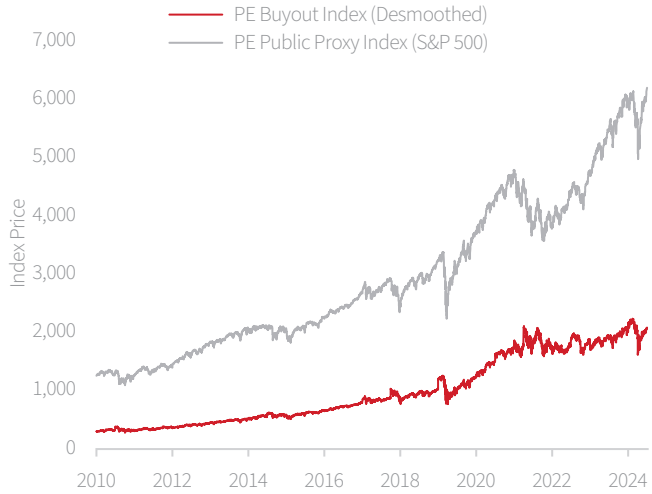




Source: DBS

Desmoothing private asset returns with statistical methods and public proxies reveal realistic volatility

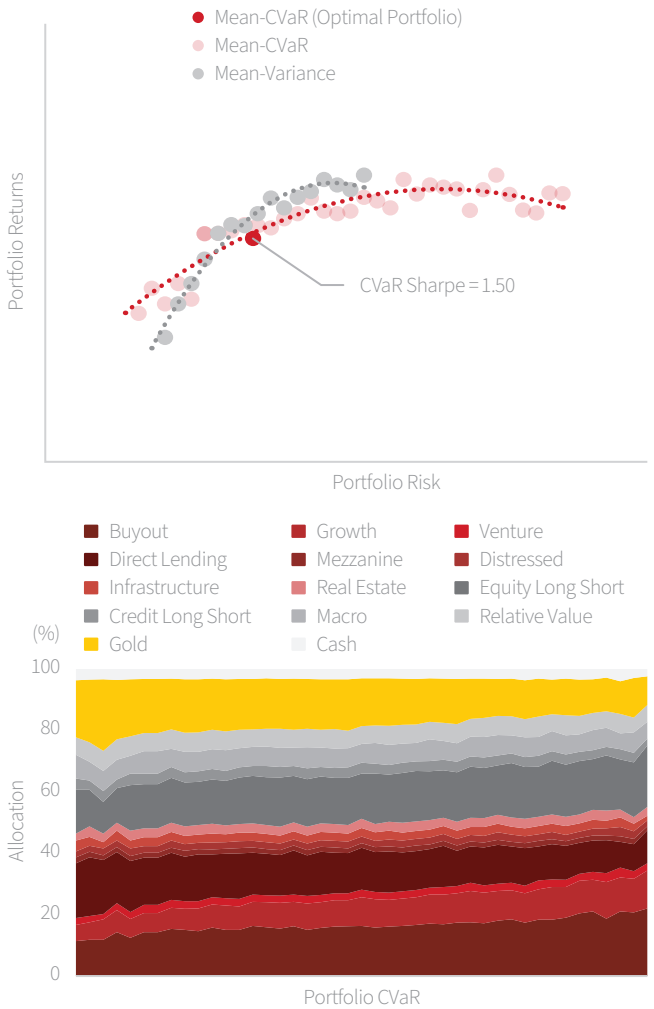




Asset Class	Strategy	LTV	Proxy Indices
Private Equity	Buyout	45%	S&P 500 Index
Private Equity	Growth	0%	Russell 2000 Index
Private Equity	Venture	0%	MSCI World Micro Cap Index
Private Debt	Direct Lending	35%	Bloomberg US Corporate High Yield Index
Private Debt	Distressed	0%	Bloomberg US High Yield Total Return Index
Private Debt	Mezzanine	60%	Bloomberg Convertibles Index
Real Estate	Real Estate	55%	MSCI US REIT Index
Infrastructure	Infrastructure	60%	MSCI World Infrastructure Index

Source: Preqin, Bloomberg, DBS

Mean–CVaR optimisation of a diversified alternatives portfolio unveils a robust risk–reward outcome



Source: Preqin, Bloomberg, DBS
Note: Return and volatility figures were computed from 25 years (Mar 2000 – Jun 2025) of desmoothed quarterly index returns. The optimal portfolio refers to the model portfolio that achieves the highest Sharpe Ratio, i.e. provides the highest possible return for a given level of risk.

Reinvention for a new era. The pursuit of alpha has never been more challenging as structural shifts in public markets erode the advantages that once defined legendary investors. Clinging to conventional paradigms risks mediocrity. Alternatives offer attractive opportunities, yet constructing a hybrid portfolio that integrates alternatives alongside public assets requires both quantitative rigour and finesse in active management. Our approach combines these disciplines into a forward-thinking portfolio design tailored to the diverse objectives and liquidity needs of today's investors.

The Longevity Economy

Source: Unsplash

Thematic Strategy 1Q26

The longevity economy is at an inflection point, supported by key technological breakthroughs, accelerating capital flows and demographic tailwinds. A barbell of opportunity awaits: Near-term growth and income from proven therapies and healthcare services on one end, and transformative upside from cutting-edge innovation on the other.

The Longevity Economy

Goh Jun Yong
Strategist

A universal obsession. Few investment themes capture the imagination as powerfully as the pursuit of human longevity. A key obsession of mankind since historic times, it is emerging as one of the most consequential economic and technological frontiers of our time. The longevity economy with its multi-trillion-dollar market potential will see an increasingly rich and tangible investment opportunity set moving forward.

The longevity economy bifurcates into two distinct but interrelated opportunity sets:

1. **The pursuit of radical life extension:** Encompassing frontier science and aimed at delaying, reversing, or altering the ageing process, this segment is more speculative in nature, but offers the greatest potential for innovation and growth, attracting investors seeking major breakthroughs.

2. **The implications of already-achieved longevity:** Focused on the economic, healthcare, and social adjustments required to support populations that are living longer and healthier than ever before, this segment is firmly anchored in demographic certainty and existing expenditure patterns, unlike the moonshots of life extension.

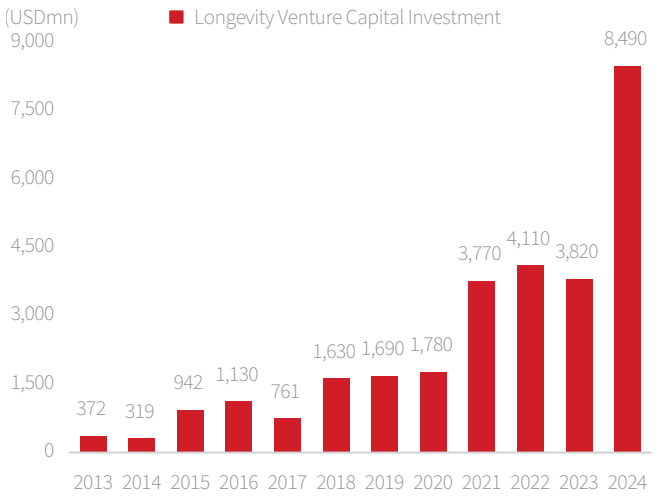
Why now? With the longevity economy gaining momentum, we argue that today, it is at an inflection point for three reasons:

1. **Key technological breakthroughs.** There has been a surge in medical innovations and breakthroughs in recent years. The once experimental gene editing tool, CRISPR, is now producing clinical results. CASGEVY, a gene therapy for sickle cell disease and beta thalassemia, was approved by the FDA in Dec 2023.

   Diseases once thought to be incurable, such as Huntington's disease, have also experienced significant advances in treatment. Huntington's disease was successfully treated for the first time ever in Sep 2025 through novel gene therapy. These advances suggest that the science of anti-ageing is shifting from theory to application, and with it, speculation to investability.

2. **Accelerating capital flows.** Venture funding for longevity start-ups has surged, supported by dedicated longevity-focused funds and billionaire-backed foundations. Pitchbook estimates that the amount of longevity venture capital investment has increased by more than twentyfold from 2013 to 2024. This provides long-term funding necessary for high-risk, capital-intensive research development, and acts an anchor for other investors.

Venture capital funding for longevity companies has exploded



Source: Pitchbook data, Longevity.Technology, DBS

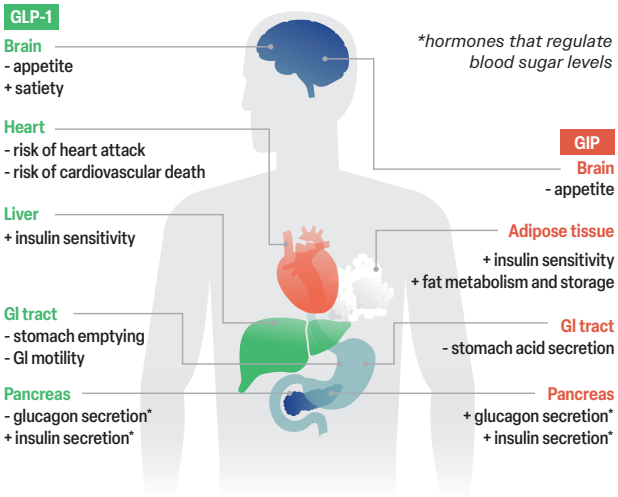
3. **Demographic tailwinds.** Human life expectancy has risen sharply from around 40 years in 1900 to over 74 years today. This will not only drive rising expenditure to treat age-related ailments but also increase demands on healthcare and pension systems.

From fringe to mainstream. This convergence of scientific progress, capital formation, and demographic inevitability creates a unique moment for investors. The longevity economy is no longer a niche curiosity; it is becoming a mainstream investment theme with both speculative upside and defensive ballast. In this chapter,

we explore **GLP-1 drugs** and **eldercare** as demographic demand-side beneficiaries of longevity and **gene therapy** and **cryogenics** as longer-term prospects with both "moonshot" potential and more immediate applications.

How do GLP-1 Medications Work?

GLP-1 medications work by mimicking one or two naturally produced hormones: glucagon-like peptide-1 (GLP-1) and gastric inhibitory polypeptide (GIP).



Many GLP-1 drugs (like Ozempic and Wegovy) act by binding to GLP-1 receptors, resulting in the same effects of GLP-1 seen above.

However, some medications (like Mounjaro and Zepbound) are unique in that they bind to GLP-1 and GIP receptors, resulting in a combined effect.

Source: Healthline

GLP-1 Drugs: Extending Healthspan

The rise of GLP-1 drugs as obesity treatments. Glucagon-like petide-1 (GLP-1) drugs, originally developed for type 2 diabetes (T2D), have rapidly emerged as "blockbuster" therapies in the global fight against obesity. Novo Nordisk pioneered this shift by launching Wegovy in 2021 while Eli Lilly launched Zepbound, the first dual GIP/GLP-1 receptor co-agonist in 2023.

Foundation for longevity and healthy ageing. The ability of GLP-1 drugs to extend "healthspan"—the period of life lived in good health and free from chronic disease—underscore their strategic importance as a critical investment in future healthcare innovation.

We have identified several tailwinds for the GLP-1 industry going forward:

1. **Introduction of oral therapies.** The imminent arrival of oral therapies, expected as soon as 2026, is set to be a game changer. Oral options offer greater convenience (daily dosing vs weekly injections) and accessibility, especially for patients reluctant to needles.

2. **Indication expansion.** GLP-1 therapies have proven effective or received FDA approvals in managing a broad range of diseases beyond weight loss, with potential for treating neurodegenerative conditions like Alzheimer's.

3. **Scaling up the US market.** US continues to be the critical engine for growth, driven by persistently high obesity rates. Recent US government agreements with Eli Lilly and Novo Nordisk for discounted GLP-1 drug pricing, on top of the

Key FDA approvals beyond weight loss

Date	Company	Product	FDA approval type	Drug Class
Mar 2024	Novo Nordisk	Wegovy	Obesity+CVD	Semaglutide
Dec 2024	Eli Lilly	Zepbound	Obesity+OSA	Tirzepatide
Jan 2025	Novo Nordisk	Ozempic	T2D+CKD	Semaglutide
Aug 2025	Novo Nordisk	Wegovy	MASH	Semaglutide
4Q25	Novo Nordisk	Ozempic	T2D and PAD	Semaglutide
4Q25	Novo Nordisk	Wegovy	Chronic HF+ and obesity	Semaglutide
2026	Novo Nordisk	Wegovy	OA of knee+obesity	Semaglutide

Source: Prime Therapeutics, Company, DBS
Note: Grey highlighted rows are expected approvals

inclusion of obesity drug coverage within Medicare, signal an improvement in affordability and accessibility.

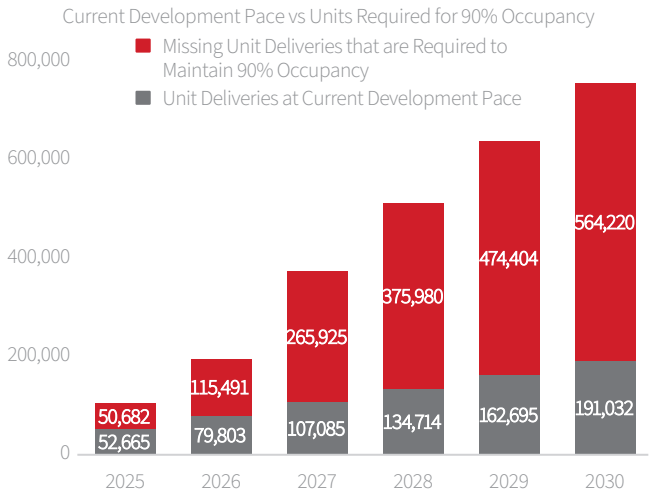
4. **Asia's GLP-1 boom: China and India to lead.** China and India are poised to become the epicentres of GLP-1 market growth in Asia, driven by surging epidemics of diabetics and obesity, rapid expansion of healthcare infrastructure, and strong government backed initiatives targeting metabolic health.

Eldercare: Demographic Inevitability

The structural case for eldercare. About one in 10 people worldwide are over 65, and by 2050, that number will double to one in every six. This demographic shift is reshaping consumption, labour markets, and fiscal systems, highlighting the rising need for eldercare—housing, services, and support tailored to an older population.

- **Senior living and housing: Meeting an urgent supply gap.** In the US, occupancy rates in senior living facilities are rebounding toward pre-pandemic highs while supply growth is lagging. Europe faces similar challenges with outdated housing stock, and in Asia, family-based care is gradually giving way to institutional solutions.

US senior housing to see widening supply-demand deficit



Source: NIC MAP Vision, US Census Bureau

- **Home care and ageing in place: The consumer's preferred path.** While institutional living is growing, most seniors still prefer to age at home. Home healthcare agencies (nursing, physical therapy, and rehabilitation) are expanding rapidly. Simultaneously, technology is enabling new forms of distributed care such as tele-consults and remote monitoring.

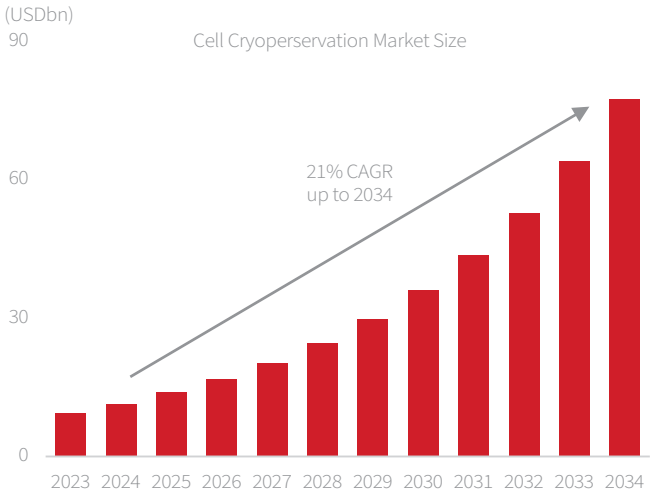
- **Healthcare services for the elderly: The spending engine.** Healthcare is the largest expenditure category for seniors. In the US, individuals over 65 account for nearly 40% of healthcare spending. Chronic diseases such as cardiovascular disease, diabetes, arthritis, chronic obstructive pulmonary disease, and neurodegenerative diseases are prevalent in older populations, creating significant opportunities in elderly-focused healthcare services companies.

Cryogenics: Banking on Time

Freezing time for medicine's future. Cryogenics is a branch of modern medicine that involves cooling cells, tissue, and organs to achieve a medically therapeutic outcome.

- **Guarding life's essence.** Cryopreservation safeguards biological assets—stem cells, embryos, and tissues—through intense freezing for future medical applications. The cell cryopreservation segment alone is valued at USD11bn in 2024 and is set to grow at >20% CAGR towards USD78bn by 2034, propelled by rising demand for fertility treatments and regenerative medicine addressing chronic diseases like cardiovascular conditions.

The cell cryopreservation market is expected to grow at 21% CAGR up to 2034



Source: Towardshealthcare, DBS

- **Icy blades cut a clean path.** Cryosurgery refers to the use of extreme cold to destroy abnormal or cancerous cells. For certain procedures, notably in oncology and dermatology, it minimises bleeding and scarring compared to traditional surgery, thereby reducing recovery times and increasing outpatient efficiency.

- **Chill heals.** A smaller slice of the cryogenics market, cryotherapy involves using cold to deliver rapid inflammation relief and recovery benefits, presenting opportunities in wellness and pain management, especially for athletes and patients with chronic conditions. The cryosurgery and cryotherapy markets combined are projected to reach USD20bn by 2034 at 7.4% CAGR as per Precedence Research.

Genetic Interventions for Longevity

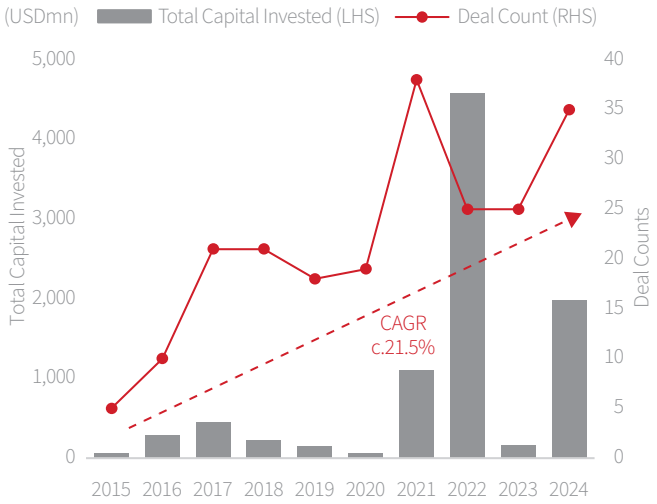
Rethinking ageing. Although ageing is not a disease per se, it is similar in that it changes the production of key aging-related proteins. For instance, genetic processes during ageing can turn down the production of collagen, causing skin laxity. Beyond skin deep, the genetic processes of ageing can also slow the production of proteins that regenerate cells in key organs. Understanding the cross-talk between genes and protein expression is the first step to the identification of biological targets to develop genetic interventions.

Towards a genetic "treatment" for ageing. Broadly speaking, there are three genetic hallmarks of ageing that researchers are targeting, namely (i) telomere attrition, (ii) genetic damage, and (iii) cellular senescence. Against these target pathways, "treatment" strategies that are currently being investigated fall broadly under (i) telomeric restoration, (ii) gene damage repair, and (iii) removal or rejuvenation of senescent cells. Majority of these investigations are driven by early-stage start-ups that have only emerged over the past decade with backing from government bodies (i.e. grants) or high-profile investors respectively.

Nascency not a dealbreaker. That said, the longevity thematic has gained significant traction over the last decade, amassing investments at c.21.5% CAGR. This growth was helped by the Covid-19 pandemic and resulting mRNA vaccines which increased awareness about therapeutic genetic interventions.

Hand in hand. Over the past decade, gene therapy has transitioned from theoretical promise to clinical reality. Since the first FDA approval in 2017, regulatory acceptance has accelerated with eight new cell and gene therapies approved in 2023 alone. A landmark milestone came with Casgevy, the first CRISPR-based therapy, validating gene editing as a safe and effective modality and signalling a new era where next-generation editors are entering trials. Against this backdrop, the gene therapy market is projected to grow from USD3.6bn in 2019 to c.USD40bn by 2027.

Longevity investments in the US are growing at c.21.5%



Source: Pitchbook, DBS

Investing in the "Live Longer" Megatrend

In the near term, the most visible and investable opportunities lie in established growth themes such as GLP-1 drugs and eldercare. The explosive success of GLP-1 drugs has demonstrated that science-driven solutions to obesity and chronic disease can achieve both commercial scale and societal impact. These treatments have reshaped global healthcare markets, driving multi-year earnings visibility and establishing a new category of "preventive pharmaceuticals". Alongside this, eldercare services, assisted living, and healthcare infrastructure continue to benefit from structural demographic tailwinds, offering investors stable, recurring demand, and predictable cash flows in an ageing world.

Further out, gene therapy, genomic medicine, and cryogenics represent long shots of the longevity landscape. While not yet commercially mature, breakthroughs in these fields could redefine the boundaries of human health, targeting ageing at its biological roots and enabling regeneration or even preservation of life. These nascent areas remain high-risk but also high-conviction long-term plays that could propel them into mainstream relevance over the coming years.

Taken together, the longevity theme offers a barbell of opportunity: Near-term growth and income from proven therapies and healthcare services on one end, and transformative upside from cutting-edge innovation on the other. This duality presents investors with a rare chance to participate in both the commercial present and the scientific future of human longevity.

Key financial ratios

Bloomberg Ticker	Company	Market Cap (USDbn)	Forward P/E	P/Book (x)	ROE (%)	OPM (%)	Net Debt to Net Equity (%)	Div. Yield (%)
GLP-1 drugs								
LLY US Equity	Eli Lilly & Co	1,017	34.9	43.9	21.8	28.6	219.8	0.6
NOVOB DC Equity	Novo Nordisk	220	13.3	8.2	50.6	44.2	53.3	3.7
Eldercare								
WELL US Equity	Welltower	143	79.0	3.6	2.8	13.8	40.7	1.4
ENSG US Equity	Ensign Group	11	26.5	5.1	20.1	8.4	78.7	0.1

Source: Bloomberg, DBS
Data as at 26 Nov 2025

While we continue to recognise the long-term potential of frontier innovations like gene therapy and cryogenics, these largely remain in the early research phase and represent longer-dated opportunities. Hence, we use established growth themes of GLP-1 drugs and eldercare as proxies for our "Live Forever" investment theme, reflecting areas with proven commercial traction and measurable impact on longevity and quality of life. Since the end of 2019, this index has outperformed global equities by c.135 %pts, reflecting the sector's structural growth momentum. Moreover, companies with exposure to these themes exhibit higher blended ROE than the broader market (28.7% vs 14.5%), underscoring both the financial strength and investment appeal of the "Live Longer" opportunity set.

Strong outperformance of "Live Forever" thematic basket

Source: Bloomberg, DBS

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Glossary

Acronym	Definition
AI	artificial intelligence
ASEAN	Association of Southeast Asian Nations
ASP	average selling price
AT1	additional tier 1
AUM	Assets under management
AxJ	Asia ex-Japan
bbl	barrel
BCOM	Bloomberg Commodity Index
BEV	battery electric vehicles
BNM	Bank Negara Malaysia
BOJ	Bank of Japan
BOK	Bank of Korea
BOT	Bank of Thailand
BSP	Bangko Sentral Ng Pilipinas
bpd	barrels per day
bps	basis points
CAA	CIO Asset Allocation
CAGR	compound annual growth rate
CET1	Common Equity Tier 1
CGB	China Government Bonds
COMEX	The Commodity Exchange
CPI	consumer price index
DM	Developed Markets
dma	day moving average
DPU	distribution per unit
DXY	US Dollar Index
EBIT	earnings before interest and taxes
EBITDA	earnings before interest, tax, depreciation, and amortisation
EC	European Commission
ECB	European Central Bank
EM	Emerging Markets
eop	end of period
EPFR	Emerging Portfolio Fund Research
EPS	earnings per share
ETF	exchange-traded fund

Acronym	Definition
EU	European Union
EV	electric vehicle
FOMC	Federal Open Market Committee
FRED	Federal Reserve Economic Data
FX	foreign exchange
G3	Group of Three
G10	Group of Ten
G20	Group of 20
GDP	gross domestic product
GPT	Generative Pre-trained Transformer
HIBOR	Hong Kong Interbank Offered Rate
HY	high yield
HVAC	heating, ventilation, and air conditioning
ICE	Intercontinental Exchange
IndoGB	Indonesian Government Bonds
IG	investment grade
IGB	India Government Bonds
ISM	Institute for Supply Management
IT	Information Technology
JGB	Japanese Government Bond
KLIBOR	Kuala Lumpur Interbank Offered Rate
KTB	Korea Treasury Bonds
LBMA	London Bullion Market Association
LGFV	local government financing vehicle
LME	London Metal Exchange
LPR	loan prime rate
LVMH	Moët Hennessy Louis Vuitton
M&A	mergers and acquisitions
MAS	Monetary Authority of Singapore
MBS	mortgage backed securities
MFN	Most Favoured Nation
MGS	Malaysia Government Securities
MIBOR	Mumbai Interbank Outright Rate
mmbpd	million barrels per day
mmt	million metric tons

Acronym	Definition
MSCI	Morgan Stanley Capital International
NATO	North Atlantic Treaty Organisation
NEER	nominal effective exchange rate
NIM	net interest margin
NYSE	New York Stock Exchange
O/N	overnight
OAS	Option-Adjusted Spread
OECD	Organisation for Economic Co-operation and Development
OIS	overnight indexed swap
OMO	Open Market Operations
OPEC+	Organisation of the Petroleum Exporting Countries
OPM	operating profit margin
OPR	overnight policy rate
P/B	price-to-book
P/E	price-to-earnings
PBOC	People's Bank of China
PCE	personal consumption expenditure
PE	Private Equity
PEG	Price/Earnings to Growth ratio
PER	price-to-earnings ratio
PMI	purchasing managers' index
PPI	producer price index
QE	quantitative easing
R&D	research and development
RBA	Reserve Bank of Australia
RBI	Reserve Bank of India
REIT	real estate investment trust
ROA	return on asset

Acronym	Definition
ROE	return on equity
RRR	required rate of return
SAA	Strategic Asset Allocation
SD	standard deviation
SEA	Southeast Asia
SGDNEER	Singapore Dollar Nominal Effective Exchange Rate
SNB	Swiss National Bank
SOE	state owned enterprise
SOFR	Secured Overnight Financing Rate
SORA	Singapore Overnight Rate Average
SPD	Social Democratic Party of Germany
SRBI	Bank Indonesia Rupiah Securities
T-bills	Treasury bills
TAA	Tactical Asset Allocation
TCJA	Tax Cuts and Jobs Act (United States)
TIPS	Treasury inflation-protected securities (United States)
TOPIX	Tokyo Stock Price Index
TP	target price
TPI	tax and price index
TSE	Tokyo Stock Exchange
TSMC	Taiwan Semiconductor Manufacturing Company
UCITS	Undertakings for Collective Investment in Transferable Securities
UST	US Treasury
VAT	value-added tax
WTI	West Texas Intermediate
YCC	Yield control curve
YTD	year-to-date
YTW	yields-to-worst

CIO Collection

4Q25 CIO INSIGHTS
Ride The Trend
September 2025

3Q25 CIO INSIGHTS
The Global Pivot
June 2025

2Q25 CIO INSIGHTS
Build Resilience Amid Tariffs
March 2025

1Q25 CIO INSIGHTS
Game Changers
December 2024

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September 2024

3Q24 CIO INSIGHTS
Risk Assets In Play
June 2024

2Q24 CIO INSIGHTS
A Broadening Rally
March 2024

1Q24 CIO INSIGHTS
Shifting Currents
December 2023

4Q23 CIO INSIGHTS
The Next Yield Play
September 2023

3Q23 CIO INSIGHTS
King, Queen & Castle
June 2023

2Q23 CIO INSIGHTS
Break in the Clouds
March 2023

1Q23 CIO INSIGHTS
The Return of 60/40
December 2022

CIO Collection

4Q22 CIO INSIGHTS
Fed in Focus
September 2022

3Q22 CIO INSIGHTS
Rising Above Inflation
June 2022

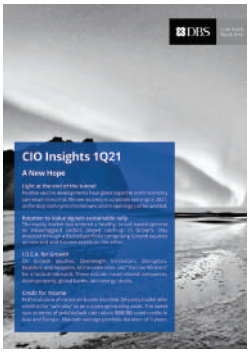
2Q22 CIO INSIGHTS
Anchor in the Storm
March 2022

1Q22 CIO INSIGHTS
A Divergent World
December 2021

4Q21 CIO INSIGHTS
Stay the Course
September 2021

3Q21 CIO INSIGHTS
Hope Into Reality
June 2021

2Q21 CIO INSIGHTS
Back on Track
March 2021



1Q21 CIO INSIGHTS
A New Hope
December 2020

4Q20 CIO INSIGHTS
On the Mend
September 2020

3Q20 CIO INSIGHTS
Resilient in the Storm
June 2020

2Q20 CIO INSIGHTS
Build to Last
March 2020

1Q20 CIO INSIGHTS
New Wine, New Skin
December 2019

CIO Collection

4Q19 CIO INSIGHTS
Ride the Wave
September 2019

3Q19 CIO INSIGHTS
A Changing World
June 2019

2Q19 CIO INSIGHTS
Lift to Win
March 2019

1Q19 CIO INSIGHTS
Tug of War
December 2018

4Q18 CIO INSIGHTS
Window of Opportunity
September 2018

3Q18 CIO INSIGHTS
Steer Through Rough Seas
June 2018

2Q18 CIO INSIGHTS
Mind the Bends
March 2018

1Q18 CIO INSIGHTS
The Bull Ain't Done
December 2017

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